



Management Board Activity Report for DINO POLSKA S.A. and the DINO POLSKA S.A. Group in 2023



This document is an unofficial translation of the official Management Board Activity Report for DINO POLSKA S.A. and the DINO POLSKA S.A. Group in 2023, which has been published in the xHTML format and signed by the Management Board Members of DINO POLSKA S.A. using qualified electronic signatures.

Dino Polska Spółka Akcyjna

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 December 2023 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document contains the Management Board Report for DINO POLSKA S.A. ("Dino Polska", "Company", "Parent Company") on the Activity of the DINO POLSKA S.A. Group ("Group", "Dino Group", "Dino Polska Group") in 2023 and the Management Board Report on the Parent Company's Activity. The Group includes the parent company and subsidiaries over which Dino Polska exercises total control ("Subsidiaries"). Unless specified otherwise, the data in this Report comes from Dino Polska. Unless specified otherwise, the data in this Report comes from the Company's standalone or consolidated financial statements.

This document was approved for publication on 21 March 2024 ("Report Date").

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2023 prepared in accordance with the International Financial Reporting Standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2023 prepared on the basis of the Accounting Act.

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1. LETTER FROM A MANAGEMENT BOARD MEMBER OF DINO POLSKA

Dear Investors, Employees and Shareholders,

The effort we made during the last year to pursue geographic expansion and mold the offering of Dino stores enabled us to make great strides in our firm's growth. In 2023 the sales of products and merchandise in Dino stores totaled PLN 25.7 billion, up 30% versus 2022. Like-for-like sales, i.e. in stores in existence for more than a year climbed 17.2%. After two years of operating in a highly volatile environment marred by high inflation and greater price sensitivity among consumers, our business is nearly double the size when comparing the sales revenue generated in 2021.

In 2023 we opened 250 new stores. At the end of the year we had 2,406 stores, some 12% more than in 2022. We invested PLN 1.2 billion in development with Dino Polska's cumulative capital expenditures during the last 5 years rising to PLN 5.8 billion. We have nearly 42 thousand employees. We created 4.5 thousand new jobs in 2023 and a total of 25.4 thousand new jobs from 2019 to 2023. We allocate a portion of our capital expenditures to curtail our environmental impact. This can be observed on the rooftops of 89% of Dino stores and three distribution centers that are outfitted with their own PV installations. The total capacity of these installations is 83 MW, up by 31% from the end of 2022. This enables us to satisfy our electricity demand to an ever greater degree using energy from renewable sources.

The growth rate of the key performance indicators characterizing our company instills in us a feeling of having a major obligation to consumers who treat Dino as the place where they do their daily shopping. We strive for this obligation to be reflected by the attributes of our activity such as stores being located close by, offering opportunities to shop quickly and conveniently, providing an outstanding product offering and pursuing a cogent market strategy with an efficient logistics network to ensure a high level of product availability and freshness. At the same time, we maintain a high level of motivation to continue growing. In this context I would like to report that we are planning more investments to expand our network and enhance our customers' shopping experience. Some of these investments are underway, such as the construction of another four distribution centers charged with the task of punctually supplying the growing number of Dino stores with consumers' favorite products, especially delivering fresh products to these stores every day. Agro-Rydzyna, our subsidiary responsible for producing fresh meat is in the process of expansion with a second plant being built.

We expect to open more stores in 2024 than in 2023, and the total number of Dino stores will increase by a percentage in the low teens. We attentively listen to consumer needs so as to be able to generate low double-digit like-for-like sales growth as disposable income continues to rise. We will expend efforts for our EBITDA margin to return to its long-term upward trend. This, however, will be a challenge as 2024 is another year that will experience higher operating expenses coupled with a more attractive price offering for consumers in Dino stores. Our rising business size and cost discipline will support our endeavors to attain this goal while simultaneously bolstering the foundations of our company so as to accomplish further growth effectively.

Respectfully,

Michał Krauze
Member of the Management Board of DINO POLSKA S.A.

2. DINO POLSKA AND GROUP FINANCIAL HIGHLIGHTS

DINO POLSKA S.A. GROUP

	PLN 000s		EUR 000s*	
	01.01.2023- 31.12.2023	01.01.2022- 31.12.2022	01.01.2023- 31.12.2023	01.01.2022- 31.12.2022
Sales revenue	25,666,255	19,801,622	5,667,842	4,223,625
Operating profit	1,875,855	1,537,819	414,242	328,012
Profit before tax	1,738,981	1,401,618	384,017	298,961
Net profit	1,405,327	1,132,087	310,336	241,471
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	14.33	11.55	3.16	2.46
Cash flow from operating activities	1,771,540	1,253,422	391,207	267,351
Cash flow from investing activities	(1,158,256)	(1,434,563)	(255,776)	(305,988)
Cash flow from financing activities	(777,613)	145,244	(171,719)	30,980
Net change in cash and cash equivalents	(164,329)	(35,897)	(36,288)	(7,657)

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period was used:

- NBP's average exchange rate in 2023: 4.5284 PLN/EUR
- NBP's average exchange rate in 2022: 4.6883 PLN/EUR

	PLN 000s		EUR 000s*	
	As at 31.12.2023	As at 31.12.2022	As at 31.12.2023	As at 31.12.2022
Total assets	10,377,715	9,003,059	2,386,779	1,919,670
Total non-current assets	7,124,550	6,296,353	1,638,581	1,342,535
Total current assets	3,253,165	2,706,706	748,198	577,135
Equity	5,605,311	4,203,783	1,289,170	896,348
Share capital	9,804	9,804	2,255	2,090
Non-current liabilities	893,111	1,109,149	205,407	236,497
Current liabilities	3,879,293	3,690,127	892,202	786,824

In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2023: 4.3480 PLN/EUR
- NBP's average exchange rate as at 31 December 2022: 4.6899 PLN/EUR

DINO POLSKA S.A.

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2023- 31.12.2023</i>	<i>01.01.2022- 31.12.2022</i>	<i>01.01.2023- 31.12.2023</i>	<i>01.01.2022- 31.12.2022</i>
Sales revenue	25,658,552	19,764,769	5,666,141	4,215,765
Operating profit	1,573,677	1,271,266	347,513	271,157
Profit before tax	1,447,799	1,106,237	319,715	235,957
Net profit	1,171,050	894,586	258,601	190,812
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	11.94	9.12	2.64	1.95
Cash flow from operating activities	1,466,285	1,022,645	323,798	218,127
Cash flow from investing activities	(1,016,961)	(1,336,081)	(224,574)	(284,982)
Cash flow from financing activities	(614,227)	275,196	(135,639)	58,698
Net change in cash and cash equivalents	(164,903)	(38,240)	(36,415)	(8,156)

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period was used:

- NBP's average exchange rate in 2023: 4.5284 PLN/EUR
- NBP's average exchange rate in 2022: 4.6883 PLN/EUR

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>As at 31.12.2023</i>	<i>As at 31.12.2022</i>	<i>As at 31.12.2023</i>	<i>As at 31.12.2022</i>
Total assets	9,626,160	8,301,811	2,213,928	1,770,147
Total non-current assets	6,122,790	5,454,529	1,408,185	1,163,037
Total current assets	3,503,370	2,847,282	805,743	607,109
Equity	4,373,060	3,202,010	1,005,764	682,746
Share capital	9,804	9,804	2,255	2,090
Non-current liabilities	737,918	911,067	169,714	194,261
Current liabilities	4,295,044	4,011,985	987,821	855,452

In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2023: 4.3480 PLN/EUR
- NBP's average exchange rate as at 31 December 2022: 4.6899 PLN/EUR

3. OPERATIONS OF DINO POLSKA AND THE GROUP

3.1. Business profile

Dino is a nationwide network in Poland consisting of medium-sized grocery supermarkets located close to customers' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

Dino Polska's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 December 2023, the Dino network consisted of 2,406 stores with a total selling area of 947,919 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 933, i.e. 63%, in the period of three years up to 31 December 2023. Its network expansion has been accompanied by significant like for like (LfL) revenue growth in its current store network, which in 2023 stood at 17.2% compared to 2022. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week. Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on eight distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation form a robust foundation for growing the Dino Polska Group's profitability.

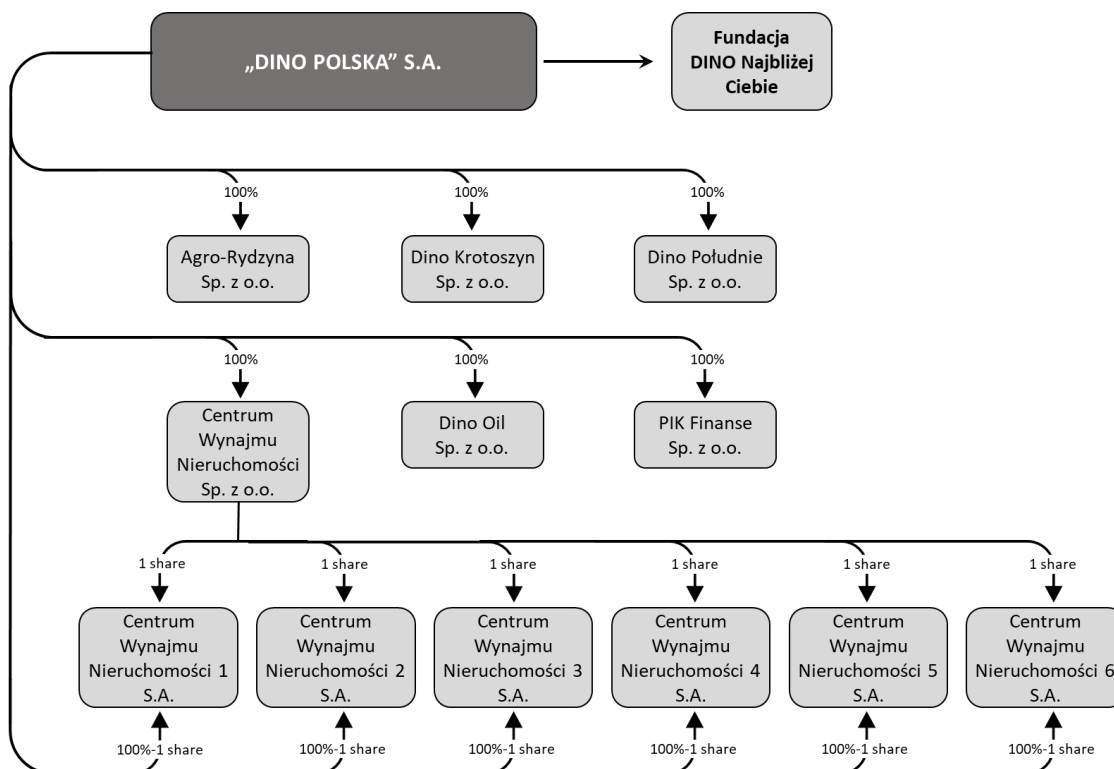
3.2. Description of the Group

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others: the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and opening the Company's new distribution centers. The Company owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at 31 December 2023 and 31 December 2022, the share Dino Polska and other Dino Polska Group entities have in their subsidiaries was equal to these entities' share of capital.

Agro-Rydzyzna Sp. z o.o. runs a meat processing plant that produces cold cuts and fresh meat. Dino Krotoszyn Sp. z o.o. and Dino Południe Sp. z o.o. own part of the warehouse space used by the Group and they render warehouse services in favor of the Group. Dino Oil Sp. z o.o. renders shipping services. PIK Finanse Sp. z o.o. is an institution rendering insurance intermediation and financial services.

The chart below depicts the Dino Polska Group's structure



In 2023 there were no major changes to the structure of the Dino Polska Group or to how it is managed. At the end of 2022 the decision was made to dissolve the company doing business as Dino Północ sp. z o.o., which was not engaged in conducting operating activity, and in 2023 it was deleted from the National Court Register.

Neither Dino Polska nor any Subsidiary holds shares and interest in other entities than the ones specified on the chart above, nor does it have any financial instruments that may exert a material impact on their operations, an assessment of its assets and liabilities, financial standing and statement of profit or loss. Neither the Company nor any Subsidiary made any equity investments outside the Group in 2023. Dino Polska did not buy any treasury stock or shares in 2023 or in prior years. Dino Polska's main investments are linked to buying property, plant and equipment in connection with the expansion of Dino's store network. They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans, bonds and financial leases.

3.3. Operating activity in 2023

The Dino Polska Group's operations are conducted in Poland. The Group runs a modern network consisting of medium-size grocery supermarkets located close to clients' place of residence. As at 31 December 2023, the Dino network consisted of 2,406 stores with a total selling area of 947,919 square meters.

The table below shows the Dino store count and the total selling area at the end of the year.

	As at 31 December									
	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Total number of stores	2,406	2,156	1,815	1,473	1,218	977	775	628	511	410
Sales area (thousand square meters)	948	848	710	573	472	376	295	238	192	151

Products

The Dino Polska Group sells solely in Poland. Dino stores offer clients roughly 5 thousand stock keeping units (SKUs) chiefly consisting of branded and fresh products. Fresh products accounted for 40% of sales revenue in 2023. Dino focuses on offering branded products at attractive prices. In 2023 branded products accounted for the

vast majority of revenue (net of fresh products, including the products of the Agro-Rydzyna meat processing plant).

Product categories

The major product categories sold by the Company and the Dino Polska Group include the following: (i) fresh groceries, including the meat products supplied by Agro-Rydzyna; (ii) other groceries; and (iii) non-grocery products. These product categories represented 40%, 48% and 12%, respectively of revenue in 2023.

The table below shows the structure of sales revenues by product in individual periods.

%	2023	2022	2021
Fresh food products	40	39	37
Other groceries	48	49	50
Non-grocery products	12	12	13

Fresh food products

In 2023 fresh products accounted for 40% of sales revenue in Dino Polska and the Dino Polska Group. In this category Dino's stores offer a wide array of products, including meat, poultry and cold cuts, fruit and vegetables, dairy products and bread. Fresh products are delivered to stores every day of the week.

Other groceries

Other groceries consist of a full range of groceries spanning the following in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen goods, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes. For the most part, these are FMCG branded products with a high level of recognition. In 2023 they accounted for 48% of sales revenue in Dino Polska and the Dino Polska Group.

Non-grocery products

In 2023 non-grocery products accounted for 12% of sales revenue in Dino Polska and the Dino Polska Group. These products include, among others, flowers, cleaning agents, sanitary articles, pet food, seasonal products and small household appliances.

Procurement of products

The Dino Polska Group has a diversified supplier base including above all producers and their main representatives. Dino Polska believes that on account of its size and the expansion of its operating activity it is one of the largest and fastest growing clients for many suppliers of grocery articles in Poland. Dino Polska has also adopted a policy of closely cooperating with the Polish producers of less recognizable brands to give clients a less expensive alternative to the leading brands. Moreover, Dino stores offer private label products, which (with the exception of the Agro-Rydzyna products) accounted for 6.1% of sales revenue in 2023 (4.5% in 2022).

Suppliers

The Dino Polska Group collaborates with many suppliers from the FMCG industry. In 2023, the top 10 suppliers (excluding Agro-Rydzyna) accounted for nearly 16% of the Dino Polska Group's revenue, while the largest supplier from outside the Dino Polska Group accounted for less than 5% of the Dino Polska Group's revenue.

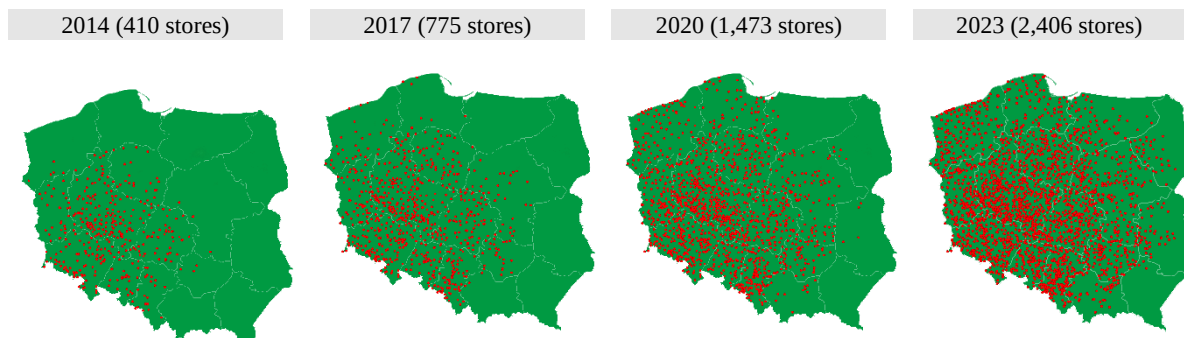
Agro-Rydzyna

Agro-Rydzyna is a producer and supplier of high quality fresh pork meat to Dino stores and the primary supplier of cold cuts. Moreover, Agro-Rydzyna acts as a middleman in the purchase of poultry meat for the Dino stores from third party suppliers. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. In 2023 products and merchandise supplied by Agro-Rydzyna generated more than 13% of Dino Polska's sales revenue.

Store network

As at 31 December 2023, the Dino store network consisted of 2,406 stores with a total selling area of 947,919 square meters. In 2023 Dino Polska opened 250 new stores compared to 344 stores opened in 2022.

The Dino store network development process is depicted on the maps below.



Dino stores feature a homogenous format. The typical Dino store is a free-standing building open from 6:00 a.m. to 10:30 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots with a parking lot for 10-30 vehicles. The store locations are diligently selected so that they are situated in sites with a large intensity of footfall or automobile traffic.

The table below shows information on the total number of Dino stores and the total selling area.

	As at 31 December		
	2023	2022	2021
Number of new store openings	250	344	343
Total number of stores at the end of the period	2,406	2,156	1,815
Total selling area (m ²)	947,919	847,817	710,433
Growth of sales area y/y	11.8%	19.3%	23.9%

Warehousing and distribution

The Dino store network is supported by an efficient, centrally-managed warehousing and distribution system spanning its own distribution centers and a network of independent transportation companies.

The products offered in Dino stores are distributed by eight distribution centers that are capable of making deliveries to a total of approx. 2,800-3,200 stores. At the end of 2023 the total space in the distribution centers was 375 thousand square meters. In 2023 the Dino Group completed the construction and launched its eighth distribution center in the community of Kaliska in the Kujawy Pomeranian voivodship and made the decision to build another four distribution centers in the following voivodships: Greater Poland, Warmia and Mazury, Lubelskie and Świętokrzyskie. The dates for opening these distribution centers are scheduled for 2024-2025.

The table below shows the area of Dino Polska's distribution centers as at 31 December 2023

	Warehouse space (thousand square meters)
Distribution Center in Krotoszyn	60.9
Distribution Center in Jastrowie	36.1
Distribution Center in Rzeszotary	46.6
Distribution Center in Wolborz	42.3
Distribution Center in Łobez	46.2
Distribution Center in Sieroniuwice	47.6
Distribution Center in Sierpc	47.6
Distribution Center in Kaliska	47.5
Total	374.8

3.4. Growth strategy

Dino Polska's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the current store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

In the pursuit of its business objectives Dino Polska gives consideration to risks related to the climate impact exerted by its operations and the climate's impact on the business model selected by Dino Polska. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group.

Continuation of rapid organic growth in the number of stores

The Dino Group has unwaveringly expanded the Dino store network by opening 237 stores per annum from 2016 to 2022 and 250 stores in 2023.

As a result, at the end of 2023, the Company had 2,406 stores versus the end of 2015 when the store count stood at 511. The Management Board of Dino Polska intends to maintain the high and safe pace of growth in the number of Dino stores in subsequent years. Considering the relatively small share of the Dino network of roughly 7% in the value of the retail grocery market in Poland (defined as the value of retail sales of food, beverages and alcohol and cigarettes in sales outlets in Poland), the Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions in the country.

In the opinion of the Company's Management Board, the attainment of this goal will be supported by the potential of the Polish market, still leveraged by the Company only to a small extent, extensive experience of Dino Polska's management in selection of attractive locations and uniform store format which supports fast opening of new stores.

In the next few years the Dino Group intends to make additional investments supporting new openings, including:

- regularly secure sites for further development in existing and new regions;
- build further distribution centers, assuming that one center is able to service approx. 350-400 stores; and
- develop the production capacities of the current meat processing plant operated by Agro-Rydzyna through its expansion and replacement of the production lines with new ones, commission another meat processing plant in a new location and open smaller meat separation plants in selected regions.

In exceptional instances the Company may consider acquiring smaller businesses whose scope of business is complementary to Dino Polska's. The purpose of such small-scale acquisitions could be in particular to accelerate the Dino Group's development, expand the product offering, improve trade conditions or launch new sales channels.

Continued growth in LFL sales revenue in the current store network

Dino Polska anticipates that it will be able to continue growing LFL sales revenue in the current store network. For this purpose the Company will undertake efforts to increase the number of clients doing their shopping in Dino stores and the value of purchases per client.

Dino Polska is aware of the key trends contributing to a change in the lifestyle led by consumers and the customs concerning the purchases of groceries, also including the following:

- looking for stores close to their place of residence and striving for convenience when making purchases;
- demanding high quality and branded products; and
- ever higher health awareness and greater interest in fresh and healthy food, including Polish products.

The model adopted by Dino Polska of having modern medium-sized supermarkets situated close to peoples' place of residence is aligned to the consumer trends described above. The Company expects that this will continue to translate into the ability to sustain a high growth rate of opening new stores and to sustain a high pace of sales growth in the current store network (LFL) compared to the overall market.

The Company intends to continue an active product range policy, providing for constant adaptation of the Dino stores' offering to customer expectations, which will evolve together with consumers' increasing disposable income.

The Dino Group's ability to utilize (i) direct access to reputable domestic and regional producers of branded products, (ii) its own Agro-Rydzyna meat processing plant and (iii) efficient logistics network to make daily deliveries of fresh products enables Dino Polska to derive benefit from these trends, which should support revenue growth in the current store network (LFL).

Consistent improvement in profitability

In past years the Dino Polska Group has generated a robust gross margin and EBITDA margin and it expects that it will be capable of improving its profitability thanks to the increase in the magnitude of its operations, the favorable nature of its business model and several strategic initiatives. They comprise:

- benefits of scale leading to further improvement in the terms of trade due to the rapid store network expansion and the sales growth in the current store network, and consequently, the rapidly growing volume of purchased products;
- greater cost effectiveness at the individual store level thanks to the systematically conducted actions to cut the costs of running a store;
- operational leverage pushing up the EBITDA margin on account of relatively fixed costs rising more slowly than revenue;
- planned investments to optimize the logistics network by opening further distribution centers, thereby shortening the supply routes and this should make it possible to further improve the cost effectiveness of transport; and
- continuing the Dino Polska's effective and savings-minded marketing policy.

Dino Polska expects that all these strategic initiatives and characteristic attributes of its business model will contribute to further improvement in the Company and Dino Polska Group's profitability.

Development incorporating the natural environment

Dino Polska gives consideration to risks related to its climate impact and the climate's impact on the business model selected by Dino Polska. The Environmental Protection Division is responsible for monitoring Dino Polska's environmental impact and undertaking initiatives in this area.

The execution of Dino Polska's environmental policy focusing on gradually curtailing the Dino Group's environmental impact calls for maintaining a high level of standardization and refining Dino's store format and distribution centers to facilitate the implementation of environmentally-friendly initiatives and enhance their effectiveness. These initiatives are followed in particular in the following three areas:

- using electricity originating from renewable energy sources, in particular by installing PV panels on store rooftops and distribution centers and curtailing electricity consumption by implementing electricity management systems and consistently replacing equipment with equipment that saves more and more energy and facilitates energy recovery;
- improving the effectiveness of the transport network by doing the following: i) shortening the distance between stores and distribution centers (in line with the growing density of the Dino store network and the development of the network of distribution centers; ii) using a fleet of trucks that meet more and more stringent environmental standards, especially with ever lower exhaust emissions; and iii) optimizing the usage of delivery vehicles and loading space and collaborating with Dino Polska's suppliers to reduce the number of trips made by trucks that do not carry a full load or are empty;
- following rational waste management and minimizing the mass of waste produced in particular by doing the following: i) adhering to and promoting waste segregation procedures in all areas of its business; ii) recycling all return packaging made using film, cardboard and glass; iii) reusing selected return packaging in the order assembly process; iv) using multi-use packaging in product distribution (subject to appropriate disinfection), to prevent the emergence of disposable plastic waste with every delivery; v) cooperating with suppliers to employ multi-use packaging for fruit and vegetables so that waste is not created in the form of disposable bulk packaging.

3.5. Growth prospects in 2024

The objective of the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The following trends and events will affect Dino Polska's and the Group's business until the end of 2024:

- macroeconomic situation in Poland, also accompanied by the minimum wage hike and the operation of social programs augmenting consumers' disposable income and spending on the consumption of consumer staples;
- low unemployment, which coupled with higher salaries in Poland will translate into the Group's operating costs continuing to rise.
- lower electricity prices and Dino's subsequent investments in renewable energy sources, which should produce savings in electricity purchase costs.
- significant volatility in the prices of agricultural commodities and the costs at which store chains purchase products from food producers, which calls for constantly adjusting the price offering to consumers and may contribute to greater volatility of the gross margin;
- the pace of new store openings by Dino Polska and the related capital expenditures; the Company's Management Board expects that in 2024 the total number of Dino stores will grow by a low double digit percentage figure while total capital expenditures will be roughly PLN 1.5-1.6 billion (which, on top of store network rollout consists of capital expenditures for the logistics base and the expansion of the Agro-Rydzyna meat processing plant and the construction of a smaller meat separation plant);
- changing trends and habits among consumers (in particular an active lifestyle, less leisure time, higher frequency and shortened duration of shopping, attaching greater attention to the convenient location of stores) which lead to sales stagnation in large-format stores and sales growth in those segments that make it possible to do shopping quickly.

One special factor that may affect Dino Polska's business in 2024 is the war in Ukraine. Although Dino Polska does not operate outside Poland and it does not procure products in Russia while products from Ukraine represent a small portion of sales, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural products and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to even higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers. To ensure greater product availability in Dino stores the Company strives to maintain high levels of inventories in its distribution centers. Concurrently, to ensure that Dino stores are attractive to consumers, and thereby to sustain the favorable growth rate in revenue, the prices of several hundred key products are regularly checked and set at a competitive level in respect of discount networks.

Due to uncertainty about future economic conditions, the Company's expectations and projections are subject to a high dose of uncertainty. Moreover, the following factors will have a significant impact on the development of the Company and the Group in the future:

- Dino Polska's ability to open the number of stores assumed in the strategy and develop the related logistics functions comprising new distribution centers and increased transportation capacities, as well as increasing the production capacities in the meat processing plant operated by Agro-Rydzyna;
- improved efficiency of operations, benefits resulting from economies of scale and optimization of operating expenses, in particular in the face of rising labor costs;
- improved efficiency of logistics services provided to all stores;
- accessibility of funding sources;
- competition from other retail sales networks;
- changing legal regulations and standards, including tax burdens on business operators;
- costs of operating retail trade business caused by the introduction of new provisions of consumer law, labor law, sanitary law and environmental law;
- unstable and uncertain situation on the labor market in various regions of the country;
- prices of fuel and other energy carriers, translating into operating expenses for the Group's companies, including costs of merchandise purchases.

4. ECONOMIC AND FINANCIAL STANDING

The objective of Dino Polska and the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The Company expects to run a profitable business in the foreseeable future.

4.1. Recap of the Dino Polska Group's results

In 2023, the Dino Polska Group generated sales revenue of PLN 25,666.3 million, up 29.6% compared to the year before. The cumulative average growth rate (CAGR) of sales revenue for 2021-2023 was 36.3%.

The table below presents selected line items from the consolidated statement of profit or loss.

	For the year ended 31 December			Change
	2023	2022	2021	2023 / 2022
	(audited; thousands of PLN)			(%)
Sales revenue	25,666,255	19,801,622	13,362,012	29.6
Cost of sales	(19,741,459)	(15,038,630)	(10,038,342)	31.3
Gross profit on sales	5,924,796	4,762,992	3,323,670	24.4
Other operating income	13,477	16,282	14,364	-17.2
Sales and marketing expenses	(3,878,421)	(3,080,061)	(2,181,963)	25.9
General administration expenses	(173,736)	(143,217)	(117,285)	21.3
Other operating expenses	(10,261)	(18,177)	(14,793)	-43.5
Operating profit	1,875,855	1,537,819	1,023,993	22.0
Financial income	10,442	5,092	1,119	105.1
Financial expenses	(147,316)	(141,293)	(46,703)	4.3
Profit before tax	1,738,981	1,401,618	978,409	24.1
Income tax	(333,654)	(269,531)	(173,106)	23.8
Net profit	1,405,327	1,132,087	805,303	24.1

Sales revenue

Sales revenue rose PLN 5,864.6 million, or 29.6% to PLN 25,666.3 million in 2023 versus PLN 19,801.6 million in 2022. This growth was driven by sales revenue on goods and materials climbing by PLN 5,049.1 million, or 28.8% to PLN 22,606.5 million in 2023 versus PLN 17,557.4 million in 2022. Sales revenue on products and services climbed PLN 815.6 million, or 36.3% to PLN 3,059.8 million in 2023 from PLN 2,244.2 million in 2022. The increase in sales revenue was driven mainly by the higher magnitude of the Dino Polska Group's business, predominantly by the following: (i) store count up 11.6% and (ii) higher LFL sales in the current store network by 17.2%, which was caused to a certain extent by high food price inflation.

Cost of sales

In 2023, cost of sales represented 76.9% of sales revenue, whereas in 2022 it stood at 75.9% of sales revenue. Cost of sales increased by PLN 4,702.8 million, or 31.3% to PLN 19,741.5 million in 2023 versus PLN 15,038.6 million in 2022, with a 29.6% increase in sales revenue. This growth was caused mainly by the Dino Polska Group's growing business size in connection with the expansion of the Dino store network and rising sales in existing stores (LFL). It was also driven by higher prices to purchase merchandise.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 798.4 million, i.e. 25.9% to PLN 3,878.4 million in 2023 compared to PLN 3,080.1 million in 2022. This growth was mainly driven by the Group's growing business size and the related expansion of the store network and rising LFL sales in its existing stores, thereby necessitating higher costs associated with store upkeep and storage of merchandise. The ratio of sales and marketing expenses to sales revenues in 2023 was 15.1%, while in 2022 it stood at 15.6%.

General administration expenses

General administration expenses rose by PLN 30.5 million, or 21.3%, to PLN 173.7 million in 2023 compared to PLN 143.2 million in 2022. The ratio of general administration expenses to sales revenue was 0.68% in 2023 and was lower than in 2022 when it was 0.72%.

Costs by nature

The following table presents costs by nature.

	For the year ended 31 December			Change
	2023	2022	2021	2023 / 2022
	(audited; thousands of PLN)			(%)
Depreciation and amortization	356,828	300,129	247,343	18.9
Consumption of materials and energy	2,445,930	1,757,535	1,041,193	39.2
External services	709,976	645,100	446,303	10.1
Taxes and fees	461,675	354,519	242,787	30.2
Costs of employee benefits	2,784,726	2,132,245	1,577,930	30.6
Other costs by nature	111,988	77,325	53,988	44.8
Cost of goods and materials sold	16,926,567	13,004,763	8,730,389	30.2
Total costs by nature, including:	23,797,690	18,271,616	12,339,933	30.2
Items captured in cost of sales	19,741,459	15,038,630	10,038,342	31.3
Items captured in sales and marketing expenses	3,878,421	3,080,061	2,181,963	25.9
Items captured in general administration expenses	173,736	143,217	117,285	21.3
Movement in products	4,074	9,708	2,343	-58.0

Total costs by nature rose by PLN 5,526.1 million, or 30.2% to PLN 23,797.7 million in 2023 versus PLN 18,271.6 million in 2022, chiefly due to growth in the following: (i) value of goods and materials sold (up PLN 3,921.8 million), (ii) costs material and energy consumption (up PLN 688.4 million) and (iii) costs of employee benefits (up PLN 652.5 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

Consumption of materials and energy

The costs of materials and energy consumed increased by PLN 688.4 million, or 39.2%, to PLN 2,445.9 million in 2023 versus PLN 1,757.5 million in 2022. This growth was mainly caused by the higher consumption of materials and raw materials due to the growing business size and the related store network rollout and growing LFL sales, higher prices for the raw materials used and hike in the price of electricity.

Employee benefits

The costs of employee benefits moved up PLN 652.5 million, or 30.6% to PLN 2,784.7 million in 2023 versus PLN 2,132.2 million in 2022. This growth resulted primarily from the number of Dino Polska Group employees growing from 37,386 as at 31 December 2022 to 41,883 as at 31 December 2023 in connection with the Dino Polska Group's expanding business size and the related expansion of the Dino store network as well as rising sales in the existing stores (LFL) and higher average employee compensation in the Dino Group.

External services

External services, which comprised in particular transportation services, lease and tenancy services, supervision services, maintenance services and garbage removal services increased by PLN 64.9 million, or 10.1%, to PLN 710.0 million in 2023 compared to PLN 645.1 million in 2022. This growth was mainly caused by the Group's expanding size and the related store network rollout and growing LFL sales, and also by inflation in the prices of external services, which was partially offset by diminishing fuel prices.

Financial expenses

The Dino Polska Group's financial expenses increased by PLN 6.0 million, or 4.3%, to PLN 147.3 million in 2023 versus PLN 141.3 million in 2022. This growth ensued from higher interest rates, which was partially offset by the reduction in the overall level of doubt.

Income tax and other taxes and fees

In 2023, the Dino Polska Group's income tax was PLN 333.7 million compared to PLN 269.5 million in 2022. The effective tax rate was 19.2% and 19.2% in 2023 and 2022, respectively, while the statutory corporate income tax (CIT) rate was 19%.

Other taxes and fees remitted by the Group in 2023 totaled PLN 461.7 million PLN and were up PLN 107.2 million, i.e. 30.2% above 2022. The retail sales tax (implemented under the Retail Sales Tax Act of 6 July 2016) accounted for the bulk of other taxes and fees. Under the regulations of this law, the Company is required to pay a retail sales tax of 0.8% of its monthly revenues in excess of PLN 17 million and up to 170 million, and 1.4% of monthly revenues above PLN 170 million. The total retail sales tax paid in 2023 by the Company was PLN 339.6 million versus PLN 258.4 million in 2022.

Total income tax and other taxes and fees in 2023 in the Dino Group was PLN 795.3 million, signifying an increase of PLN 171.3 million (27.4%) versus 2022.

EBITDA result

In 2023 the Dino Group recorded an increase in the EBITDA result by PLN 394.7 million, or 21.5%, to PLN 2,232.7 million from PLN 1,838.0 million in 2022. The EBITDA margin in 2023 was 8.7% while in 2022 it was 9.3%. Operating profit (EBIT) in 2023 totaled PLN 1,875.9 million and was PLN 338.0 million (22.0%) higher than in 2022. The operating profit margin dipped from 7.8% in 2022 to 7.3% in 2023. The inflation in the prices for the goods purchased from food producers coupled with an accordingly lower rate of growth in the prices at which these goods are subsequently sold in Dino stores adversely affected the Company's profitability in 2023. This factor was offset by the Company's rigorous discipline in sales and marketing expenses and general administration leading to improved in their effectiveness.

The following table presents the split of the EBITDA result.

	For the year ended 31 December			Change
	2023	2022	2021	2023 / 2022
	(PLN thousand)			(%)
Net profit	1,405,327	1,132,087	805,303	24.1
Income tax	(333,654)	(269,531)	(173,106)	23.8
Result on financing activity	(136,874)	(136,201)	(45,584)	0.5
EBIT	1,875,855	1,537,819	1,023,993	22.0
<i>EBIT margin</i>	7.3%	7.8%	7.7%	
Depreciation and amortization	356,828	300,129	247,343	18.9
EBITDA	2,232,683	1,837,948	1,271,336	21.5
<i>EBITDA margin</i>	8.7%	9.3%	9.5%	

4.2. Structure of the Group's assets and liabilities

Assets

The table below shows highlights on the Dino Polska Group's assets.

	As at 31 December			Change
	2023	2022	2021	2023 / 2022
	(audited; thousands of PLN)			(%)
Non-current assets				
Property, plant and equipment	6,874,672	6,070,032	4,911,353	13.3
Right-of-use assets	93,499	105,116	139,931	-11.1
Intangible assets	115,056	94,737	96,947	21.4
Deferred tax assets	41,323	26,468	35,116	56.1
Total non-current assets	7,124,550	6,296,353	5,183,347	13.2
Current assets				
Inventories	2,638,859	1,978,778	1,373,463	33.4
Trade and other receivables	330,492	274,872	144,067	20.2
Other non-financial assets	64,049	69,096	47,712	-7.3
Other financial assets	1,376	1,242	1,327	10.8
Cash and cash equivalents	218,389	382,718	418,615	-42.9
Total current assets	3,253,165	2,706,706	1,985,184	20.2
Total assets	10,377,715	9,003,059	7,168,531	15.3

Total assets rose by PLN 1,374.7 million, i.e. 15.3%, from PLN 9,003.1 million as at 31 December 2022 to PLN 10,377.7 million as at 31 December 2023.

In 2021-2023, the main assets were as follows: (i) property, plant and equipment (representing 68.5%, 67.4% and 66.2% of total assets as at 31 December 2021, 2022 and 2023, respectively) and (ii) inventories (representing 19.2%, 22.0% and 25.4% of total assets as at 31 December 2021, 2022 and 2023, respectively).

As at 31 December 2023 non-current assets accounted for 68.7% of total assets, or 1.2 percentage points less than in 2022, while current assets accounted for 31.3% of total assets.

Non-current assets increased by PLN 828.2 million, or by 13.2% from PLN 6,296.4 million as at 31 December 2022 to PLN 7,124.6 million as at 31 December 2023. This increase was caused mainly by an increase in property, plant and equipment (by PLN 804.6 million, or 13.3%), which in turn was caused primarily by the growth of the Dino sales network (new stores) and greater business size (launch or completion of construction of new Dino stores and distribution centers, capital expenditures for technical equipment and machinery, vehicles and other property, plant and equipment).

Current assets rose by PLN 546.5 million, or 20.2% from PLN 2,706.7 million as at 31 December 2022 to PLN 3,253.2 million as at 31 December 2023. This increase was caused mainly by the increase in inventories (by PLN 660.1 million, or 33.4%), which was chiefly the result of Dino Polska's expanding business size.

Liabilities

The table below shows highlights on the Dino Polska Group's liabilities.

	As at 31 December			Change
	2023	2022	2021	2023 / 2022
	(audited; thousands of PLN)			(%)
Non-current liabilities				
Interest-bearing loans and borrowings	469,629	690,862	583,014	-32.0
Lease liabilities (LT)	35,612	34,673	46,621	2.7
Liabilities by virtue of outstanding securities (LT)	370,000	370,000	450,000	0.0
Other liabilities	90	120	150	-25.0
Provisions for employee benefits	10,900	5,794	4,827	88.1
Deferred tax liability	6,880	7,700	8,187	-10.6
Total non-current liabilities	893,111	1,109,149	1,092,804	-19.5
Current liabilities				
Trade and other payables	3,274,908	2,794,077	2,454,051	17.2
Current part of interest-bearing loans and borrowings	278,588	410,157	196,169	-32.1
Lease liabilities (ST)	14,565	17,893	27,721	-18.6
Liabilities by virtue of outstanding securities (ST)	4,784	260,947	171,642	-98.2
Income tax liabilities	176,736	120,034	93,017	47.2
Accruals and deferred revenue (ST)	128,264	86,054	60,993	49.1
Provisions for employee benefits and other provisions	1,448	965	1,944	50.1
Total current liabilities	3,879,293	3,690,127	3,005,537	5.1
Total liabilities	4,772,404	4,799,276	4,098,341	-0.6

In 2021-2023, the main components of liabilities were: (i) trade and other payables representing 59.9%, 58.2% and 68.6% of liabilities as at 31 December 2021, 2022 and 2023, respectively; (ii) interest-bearing loans and borrowings (non-current part) representing 14.2%, 14.4% and 9.8% of liabilities as at 31 December 2021, 2022 and 2023, respectively.

Total liabilities fell PLN 26.9 million, i.e. 0.6%, from PLN 4,799.3 million as at 31 December 2022 to PLN 4,772.4 million as at 31 December 2023.

Non-current liabilities

As at 31 December 2023 non-current liabilities accounted for 18.7% of total liabilities, down 4.4 p.p. from the year before.

Total liabilities fell PLN 216.0 million, i.e. 19.5%, from PLN 1,109.1 million as at 31 December 2022 to PLN 893.1 million as at 31 December 2023, due to the amortization of a portion of the loans.

Current liabilities

As at 31 December 2023 current liabilities accounted for 81.3% of total liabilities.

Current liabilities climbed PLN 189.2 million, or 5.1%, from PLN 3,690.1 million as at 31 December 2022 to PLN 3,879.3 million as at 31 December 2023, predominantly as a result of an increase in trade and other liabilities (by PLN 480.8 million, or 17.2% in connection with the Dino Polska Group's greater business size), which was partially offset by the decline in current loans and liabilities under outstanding bonds.

Net debt

The Dino Group's net debt stood at PLN 954.8 million as at 31 December 2023, signifying a decline of PLN 447.0 million (31.9%) compared to 31 December 2022. The net debt to EBITDA ratio was 0.4x as at 31 December 2023 and was lower than at the end of 2022 (0.8x).

Equity

The table below shows information on the Dino Polska Group's equity.

	As at 31 December			Change
	2023	2022	2021	2023 / 2022
	(audited; thousands of PLN)			(%)
Share capital	9,804	9,804	9,804	0.0
Supplementary capital	4,652,148	3,512,022	2,707,720	32.5
Retained earnings	935,859	674,457	345,166	38.8
Other equity	7,500	7,500	7,500	0.0
Total equity	5,605,311	4,203,783	3,070,190	33.3

As at 31 December 2023, total equity was PLN 5,605.3 million, increasing by PLN 1,401.5 million, or 33.3%, compared to PLN 4,203.8 million as at 31 December 2022.

Liquidity and financial resources

Dino Polska and the Dino Polska Group finance their liquidity and capital needs mainly through: (i) cash generated in operating activities, (ii) loans (overdrafts and investment loans) and (iii) the issue of debt securities (bonds). The company intends to continue financing its growth using the aforementioned sources with the caveat that the Company's priority will be to curtail external financing.

The principal capital needs of the Company and the Dino Polska Group are related to operating activities, financing of capital expenditures (related in particular to further development of the Dino store network) and repayment of debt and trade and other payables. The financial strategy of the Dino Polska Group is to secure suitable financial resources and liquidity allowing it to repay its liabilities when they fall due, both in the normal course of business and in extraordinary circumstances, to protect the Dino Polska Group against the risk of losses or damage to its reputation. The capital expenditures required for further Dino store network roll-out are financed mainly from own funds on current operating activities.

As at 31 December 2023, there was an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Company and the Group intensively develop its network using free cash and funding from bank loans and bond issues to increase the number of its operational stores. The covenants related to the loan agreements and outstanding bonds are monitored on an ongoing basis. As at 31 December 2023, there was no default on the terms and conditions of loan agreements and bonds and the Management Board of Dino Polska believes there is no risk that banks may terminate such agreements or bondholders request early redemption of the bonds within 12 months of 31 December 2023. As at the Report Date, no circumstances have been found that would indicate a threat for Dino Polska and other Group companies to continue as a going concern.

The Company believes that the level of working capital, the financing available to the Dino Polska Group and its ability to generate positive cash flows from operating activities are sufficient to cover its current needs and conduct its business for at least 12 months from the Report Date.

4.3. Group's Statement of cash flows

The following table presents basic information on the Dino Polska Group's cash flows.

	For the year ended 31 December			Change
	2023	2022	2021	2023 / 2022
	<i>(audited; thousands of PLN)</i>			<i>(%)</i>
Net cash from operating activities, including:	1,771,540	1,253,422	1,326,331	41.3
<i>profit before tax</i>	1,738,981	1,401,618	978,409	24.1
<i>depreciation and amortization</i>	356,828	300,129	247,343	18.9
<i>movement in working capital</i>	(220,803)	(391,609)	205,253	-
<i>other</i>	(103,466)	(56,716)	(104,674)	82.4
Net cash from investing activities	(1,158,256)	(1,434,563)	(1,330,728)	-19.3
Net cash from financing activities	(777,613)	145,244	(57,406)	-
Net change in cash and cash equivalents	(164,329)	(35,897)	(61,803)	
Cash at the beginning of the period	382,718	418,615	480,418	
Cash at the end of the period	218,389	382,718	418,615	

Net cash flows from operating activities

The Dino Polska Group generated PLN 1,771.5 million net cash flow on operating activity in 2023, some PLN 518.1 million (41.3%) more than in 2022. The negative movement in working capital (PLN -220.8 million) stemmed from Dino's active policy regarding inventory management and the related increase in the inventories of selected product categories. Concurrently, to reach the desired level of inventories the Company elected to shorten payment deadlines.

Net cash flows from financing activities

In 2023 the Dino Polska Group's cash flows on financing activities were negative and stood at PLN -777.6 million. Cash flows included mainly proceeds from loans and borrowings (PLN 61.4 million) and outflows totaling PLN 839.0 million consisting mainly of the following: (i) repayment of loans and borrowings (PLN 414.2 million), (ii) redemption of outstanding securities (bonds; PLN 250 million) and (iii) interest paid (PLN 149.0 million).

Net increase in cash and cash equivalents

As a result of negative net cash flows at the end of 2023, the balance of cash and cash equivalents in the Dino Polska Group slipped by PLN 164.3 million compared to the end of 2022. At the end of 2023 cash and cash equivalents totaled PLN 218.4 million.

4.4. Capital expenditures

In 2023 the cash flow on the Dino Polska Group's investing activity was negative and totaled PLN -1,158.3 million. The negative flows were caused mainly by the expenditures incurred for the purchase of property, plant and equipment and intangible assets associated with the Dino store network rollout and development of logistics functions. Total capital expenditures understood in this way stood at PLN 1,172.9 million (on a cash basis). All the expenditures were incurred in Poland and financed by the Dino Group from its own funds earned on operating activity, interest-bearing bank loans and outstanding bonds.

Capital expenditures in 2023 comprised mainly expenditures to expand the Dino store network (new store openings in 2023, stores under construction at the end of 2023 and sites prepared to roll out the Dino store network in 2024) and deploying PV installations on Dino rooftops as well as expenditures for logistics, including expenditures to build and outfit warehousing space in Bolewicko (the Company's 9th distribution center slated to be opened at the turn of Q1 and Q2 2024), increase Agro-Rydzyna's production capacity, purchase refrigerated semi-trailers and purchase equipment.

4.5. Investment obligations

As at 31 December 2023, the Dino Polska Group's off-balance sheet investment obligations totaled PLN 1,126.4 million (PLN 567.8 million as at 31 December 2022). These obligations ensue from executed preliminary agreements and pertain to the purchase of property, plant and equipment involving purchases related to the further expansion of the Dino store network and expansion of warehouse space as well as purchases related to store and warehouse fit-outs.

4.6. Ratio analysis

The Management Board assesses the Dino Group's performance using key profitability, debt and financial liquidity ratios which do not come from the Consolidated Financial Statements but have been calculated on the basis of the financial information found in the Consolidated Financial Statements. The ratios presented in this section should be treated as measures of the financial results or operating cash flows and treated as alternative to profit. The ratios are not defined in a uniform manner and calculated by other entities and, as a result, may not be comparable to the ratios presented by other entities, including entities conducting activity in the same sector as the Dino Group.

The table below shows selected Alternative Performance Measurements used by the Management Board in the analysis of the Dino Group's activity.

	As at or for the period of 12 months ended 31 December		
	2023	2022	2021
		(unaudited)	
LFL sales growth rate (%)	17.2	28.5	12.4
EBITDA (thousands of PLN)	2,232,683	1,837,948	1,271,336
EBITDA margin (%)	8.7	9.3	9.5
Net debt (thousands of PLN)	954,789	1,401,814	1,056,552
Net debt/EBITDA	0.43	0.76	0.83
Current liquidity ratio	0.84	0.73	0.66
Quick liquidity ratio	0.16	0.20	0.20
Days receivable	4.3	3.9	3.2
Days inventory	42.7	40.7	40.9
Days payable	56.1	63.7	75.4
Days payable trade liabilities	46.8	52.5	61.0
Capex (thousands of PLN)	1,157,660	1,423,658	1,350,379
OCF / (CAPEX + financial expenses)	1.4	0.8	0.9

Definition of Alternative Performance Measurements and the justification for their application.

Name of the Alternative Performance Measurement	Definition	Justification for application of a given Alternative Performance Measurement
Like-for-Like / LFL sales growth rate	This ratio is calculated as the ratio of revenue from a comparable store panel in the current period (quarter or year) to revenue in the same store panel in the corresponding period of the previous year minus 100%. A store becomes an LFL store in the 13th full month of its operation. Only revenue from comparable months in both periods is used in this calculation.	LFL makes it possible to compare sales in precisely the same group of stores (in existence in the current and comparable period) without incorporating the stores that were opened during the last 12 months.
EBITDA (thousands of PLN)	The Dino Group defines EBITDA as operating profit plus depreciation and amortization.	EBITDA is also a measure of operating results not taking into account the impact of depreciation and amortization of fixed assets and intangible assets, which makes it possible to compare the results regardless of the changes in the level of fixed assets held that may affect other performance measures through depreciation and amortization.
EBITDA margin (%)	The Dino Group defines and calculates the EBITDA margin as EBITDA/ sales revenue.	The EBITDA margin is a measure of the ability to generate cash on core business (operational efficiency).

Name of the Alternative Performance Measurement	Definition	Justification for application of a given Alternative Performance Measurement
Net debt (thousands of PLN)	The Dino Group defines and calculates net debt as the sum total of current and non-current loans and borrowings, outstanding bonds and financial lease agreements minus cash and cash equivalents.	The net debt ratio is a measure of the Dino Group's debt minus cash and cash equivalents.
Net debt/EBITDA	The Dino Group defines and calculates the net debt/EBITDA ratio as net debt as at the end of the period / EBITDA.	The net debt/EBITDA ratio shows the Dino Group's ability to repay its interest-bearing debt with cash generated on the operating level.
Receivables turnover ratio	The Dino Group defines and calculates the days receivable ratio as receivables in days (365 x the average (at the beginning and end of the period) trade and other receivables / sales revenue).	The days receivable ratio makes it possible to analyze the turnover ratio on the payment of amounts due by the Dino Group's buyers.
Days inventory	The Dino Group defines and calculates the days inventory ratio as inventories in days (365 x the average (at the beginning and end of the period) inventories / cost of sales).	The days inventory ratio makes it possible to analyze the renewability of the Dino Group's inventories for realized sales.
Days payable	The Dino Group defines and calculates the days payable ratio as payables in days (365 x the average (at the beginning and end of the period) trade and other payables / cost of sales).	The days payable ratio makes it possible to analyze the period required for the Dino Group to repay its current trade and other payables.
Trade payables turnover ratio	The Dino Group defines and calculates the days trade payable ratio as trade payables in days (365 x the average (at the beginning and end of the period) trade and other payables / cost of sales).	The days payable ratio makes it possible to analyze the period required for the Dino Group to repay its current trade payables.
Capex (thousands of PLN)	The Dino Group defines and calculates the Capex ratio as the sum of purchases of property, plant and equipment (Note on Property, plant and equipment - Consolidated Financial Statements) and purchases of intangible assets (Note on Intangible assets - Consolidated Financial Statements).	The ratio constitutes the basic measure of the Dino Group's expenditures on purchase of property, plant and equipment and intangible assets, mainly for expansion of the store network, and thus makes it possible to determine the scale of development of the Dino Group's operations.
OCF / (CAPEX + financial expenses)	The Dino Group defines and calculates the OCF / (Capex + financial expenses) ratio as net cash from operating activity / sum of Capex and financial expenses.	The ratio makes it possible to analyze the expenditures on purchase of property, plant and equipment, intangible assets and financial expenses by cash flow from operating activities.

4.7. Recap of Dino Polska's results

Statement of profit or loss (selected line items)

	For the year ended 31 December		Change
	2023	2022	2023 / 2022
	(audited; millions of PLN)		(%)
Net revenues on sales and equivalents	25,658.6	19,764.8	29.8%
Operating expenses	24,086.0	18,492.3	30.2%
Sales profit / (loss)	1,572.6	1,272.5	23.6%
Other operating income	11.3	14.3	-20.4%
Other operating expenses	10.2	15.5	-33.8%
Operating profit / (loss)	1,573.7	1,271.3	23.8%
Financial income	36.4	10.0	264.9%
Financial expenses	162.3	175.0	-7.3%
Gross profit / (loss)	1,447.8	1,106.2	30.9%
Income tax	276.7	211.7	30.8%
Net profit (loss)	1,171.1	894.6	30.9%

In 2023 the Company generated revenue of PLN 25,658.6 million, or 29.8% more than in 2022. This increase is attributable to the growth of net revenue on the sales of goods and materials conducted in the Dino store network, which, in turn, resulted from a higher number of stores and higher year-on-year revenue in the existing stores. Operating expenses increased by 30.2% to PLN 24,086.0 million. This growth was caused mainly by Dino Polska's growing business size in connection with the expansion of the store network and rising sales in the current store network (like-for-like). Net profit was PLN 1,171.1 million and was up 30.9% versus 2022. The increase in net profit results from growth in the scale of the Company's business.

Balance sheet (selected line items)

	As at 31 December		Change
	2023	2022	2023 / 2022
	(audited; millions of PLN)		(%)
Total non-current assets	6,122.8	5,454.5	12.3%
Intangible assets	15.4	18.9	-18.5%
Property, plant and equipment	5,245.6	4,590.2	14.3%
Non-current investments	755.8	755.8	0.0%
Non-current prepayments and accruals	105.9	89.6	18.2%
Total current assets	3,503.4	2,847.3	23.0%
Inventories	2,560.4	1,918.3	33.5%
Current receivables	396.2	336.0	17.9%
Current investments	541.7	587.7	-7.8%
Current prepayments and accruals	5.1	5.4	-5.0%
Total assets	9,626.2	8,301.8	16.0%
Equity	4,373.1	3,202.0	36.6%
Share capital	9.8	9.8	0.0%
Supplementary capital	3,161.9	2,267.3	39.5%
Net profit (loss)	1,171.1	894.6	30.9%
Liabilities and provisions for liabilities	5,253.1	5,099.8	3.0%
Provisions for liabilities	101.9	98.7	3.3%
Non-current liabilities	737.9	911.1	-19.0%
Current liabilities	4,295.0	4,012.0	7.1%
Accruals and deferred revenue	118.2	78.1	51.4%
Total liabilities and equity	9,626.2	8,301.8	16.0%

As at 31 December 2023, the Company's assets totaled PLN 9,626.2 million and consisted of the following:

- non-current assets of PLN 6,122.8 million,
- current assets of PLN 3,503.4 million.

In 2023 and 2022, total assets consisted mainly of the following: property, plant and equipment (54.5% and 55.3% of total assets, respectively), inventories (26.6% and 23.1% of total assets, respectively), non-current investments (7.9% and 9.1% of total assets, respectively) and current investments (5.6% and 7.1% of total assets, respectively).

Non-current assets rose by PLN 668.3 million, or 12.3% in 2023. This growth was caused mainly by higher property, plant and equipment (up PLN 655.4 million or 14.3%) which, in turn, was caused primarily by the Dino Polska's network rollout (new Dino stores) and capital expenditures.

The main current assets are: (i) inventories (which represent 73.1% and 67.4% of current assets as at 31 December 2023 and 2022, respectively), (ii) current investments (15.5% and 20.6% of current assets as at 31 December 2023 and 2022, respectively).

Current assets rose by PLN 656.1 million, or 23.0%. This increase was caused mainly by the increase in inventories (up PLN 642.1 million or 33.5%), driven mainly by an increase in the size of Dino Polska's business and Dino's active policy regarding inventory management and the related increase in the inventories of selected product categories.

As at 31 December 2023 equity was positive and totaled PLN 4,373.1 million. Non-current liabilities fell by PLN 173.1 million, or 19.0%, while current liabilities increased by PLN 283.1 million and were 7.1% higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding size of business of the Dino store network and the significant increase in inventories.

Statement of cash flows

Dino Polska generated net cash from its operating activities in 2023 and 2022 totaling PLN 1,466.3 million and PLN 1,022.6, respectively. The increase in net cash flow from operating activities was chiefly caused by the larger scale of business.

In 2023 the cash flow on Dino Polska's investing activity was negative and totaled PLN - 1,017.0 million. The negative cash flows were caused mainly by the expenditures to purchase property, plant and equipment and intangible assets in connection with the Dino store network rollout.

4.8. Dividend policy

Taking into account the rapid organic growth strategy regarding the Dino store count, the Company's Management Board does not plan to recommend payment of a dividend for 2023 to the Shareholder Meeting. The Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

As at the Report Date, the Management Board has not made any decision whether to recommend a dividend payment to the Shareholder Meeting and its possible amount for subsequent years. Decisions in this respect will be made at the appropriate time after the end of each financial year.

The future dividend distribution policy will be reviewed by the Management Board as necessary depending on the circumstances, and decisions will be made on this matter by taking into account a variety of factors relating to the Company, including future business prospects, future profits, demand for cash, financial standing, indebtedness, expansion plans and legal requirements in this respect.

Historical data on dividend

The Company did not pay dividends for 2022 or for previous years. Instead, it allocated the entirety of its profits to further business development.

4.9. Drivers of the operating and financial results

The key drivers of the Company's and the Dino Polska Group's operating and financial results in 2022-2023 are discussed below. These factors may still impact the business activity, operating and financial results, financial standing, cash flows and growth prospects of the Dino Polska Group and present the trends which, in the Company's opinion, will apply to Poland's grocery retail market over the next few years.

The Dino Polska Group's operating and financial results are impacted primarily by: (i) the business environment in Poland and the trends and customs among consumers, (ii) the pace of opening new stores by Dino and increase of revenue in the current store network (LFL), (iii) the purchasing power of Dino Polska and (iv) the level of debt and interest rates.

Business environment in Poland and trends and customs among consumers

The Dino Polska Group does business solely in Poland. Poland's macroeconomic conditions, driven by the economic environment in the region and the global economy, have significant importance for the activity of the Dino Polska Group. All changes in the macroeconomic conditions, such as GDP growth rate, unemployment rate, wages (including minimum wages), individual consumption, customer trust ratio or interest rates and inflation/deflation rates, impact the overall affluence of the society, consumers' purchasing power and propensity to spend money, thus shaping the customers' habits as regards disposal of income. The above factors also influence Dino Polska's product prices and the value of sales, and thus have a significant impact on the financial performance of Dino Polska and the Dino Polska Group.

The Polish economy is the sixth largest economy in Europe (in terms of GDP in 2023). It is believed that Poland's economic growth, the pro-social programs introduced in previous years and the increase in minimum wages have brought or will bring in the near future more affluence and higher consumption spending, which translates among other things into higher demand for Dino Polska's products.

Pace of opening new stores and growth in sales revenue in the current store network (LFL)

Dino Polska and the Dino Polska Group's financial performance is influenced by (i) the pace of opening new stores by the Dino Group and (ii) growth in LFL sales revenues in the current store network.

Opening new stores

As part of implementation of its growth strategy, the Dino Polska Group quickly expands its operations through growing its store network and increasing sales in the current store network (LFL). In 2021-2023, the Dino Polska Group increased the total number of stores by 933, from 1,473 as at 1 January 2021 to 2,406 as at 31 December 2023. The Company's strategy calls for ongoing rapid expansion of the store network in Poland.

The Company's strategy pertaining to opening new stores contributed to the business results of Dino Polska and the Dino Polska Group, in particular through (i) high growth of sales revenue, (ii) high level of capital

expenditures associated with rolling out the network and the logistics base and (iii) retention of earnings in the Company to finance ongoing development.

Sales in the current store network (LFL)

Sales revenues in Dino's current store network (LFL) depend on the sales volume and value, and customer preferences regarding the purchased products.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2023				2022				2023	2022	2021
	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1			
Inflation (deflation)	6.4	9.7	13.1	17.0	17.3	16.3	13.9	9.7	11.4	14.4	5.1
Food price inflation	7.1	12.9	18.8	22.9	21.9	17.4	13.4	8.7	15.1	15.4	3.2
Dino's LFL*	8.7	16.3	20.3	27.2	28.9	33.2	29.8	20.4	17.2	28.5	12.4

*stores are included in the calculation of the LFL ratio starting from the 13th full month of their existence

source: Central Statistical Office of Poland (GUS), Dino Polska

In 2023, the increase in LFL revenues was 17.2%. High food inflation contributed to this level, as did the favorable location of the Dino stores and the Company's initiatives regarding its product offering and attractive pricing policy.

Purchasing power

The purchasing power of Dino Polska is growing as its business size grows. In 2021-2023 the Company sourced most products directly from producers or their main representatives. The large volumes of orders placed with suppliers accrued benefits in the form of economies of scale. They enabled Dino Polska to make purchases on increasingly favorable terms. In 2021-2023 this effect was partially dampened by inflationary pressure in terms of the prices of agricultural goods and the producers of groceries. The entire retail sales food sector was grappling with this pressure.

Debt and changes in interest rates

In 2021-2023, to finance the store network rollout, Dino Polska and the Dino Polska Group used external financing to an increasingly lesser degree, mainly in the form of loans and bonds. As at 31 December 2023, interest-bearing loans and borrowings, outstanding bonds and lease liabilities of the Dino Polska Group totaled PLN 1,173.2 million, compared to PLN 1,784.5 million as at 31 December 2022.

In connection with the existing debt, the volatility of interest rates and other indicators have had and still may have an influence on the operations of Dino Polska and the Dino Polska Group. In 2021-2023, the majority of the financial debt bore interest based on the WIBOR 1M or WIBOR 3M rate, as a result of which each change of interest rates triggered movement in financial expenses.

War in Ukraine

Dino Polska does not operate outside Poland and it does not source products from Russia, while the products produced in Ukraine represent a small portion of the Company's sales. As of the Report Date, no material direct influence of the war on the Company's operations as been ascertained.

The war in Ukraine exerts a substantial impact on the situation on the global markets for raw materials and agricultural products, which in 2023 led to rising costs of food. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers. To ensure greater product availability in Dino stores the Company strives to maintain high levels of inventories in its distribution centers, which in 2023 exerted an unfavorable effect on the Company's working capital. Concurrently, to ensure that Dino stores are attractive to consumers, and thereby to sustain the favorable growth rate in revenue, the prices of several hundred key products are regularly checked and set at a competitive level in respect of discount networks. Faced with significant inflation in the prices at which the Company buys products from suppliers, this generated an adverse impact on the Dino Group's profitability.

4.10. Financial risk management

The main financial instruments used by Dino Polska and the Dino Polska Group include bank loans, finance leases, cash and short-term deposits. In addition, in 2017, Dino Polska established a bond issue program up to PLN 500 million, which was extended to PLN 1 billion in 2021. The main objective of these financial instruments is to raise funding for the Dino Polska Group's activities.

According to the policy applied by the Dino Group in 2023, it did not actively trade in financial instruments. The Company did not hold, nor did it issue financial derivatives held for trading.

The main types of risk arising from the financial instruments of Dino Polska and the Dino Polska Group include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The exposure faced by Dino Polska and the Dino Polska Group to the risk of interest rate changes refers primarily to non-current financial liabilities. Lease liabilities, bank loans and outstanding securities bear interest at a floating interest rate. The interest rate on variable interest rate financial instruments is updated in periods shorter than one year. The Company does not hedge its investments and liabilities using derivative financial instruments. The sensitivity of profit (loss) before tax to interest rate changes is portrayed in note 32.1 Interest rate risk to the Dino Group's Consolidated Financial Statements in 2023.

Credit risk

The Group has a policy in place governing its transactions with business partners. For this reason, in the opinion of management, there is no additional credit risk extending beyond the level delineated by the impairment loss on uncollectible receivables applicable to the Group's trade receivables.

Transactions effected by the Group are settled mainly in cash. The credit risk for benefits under agreements with suppliers is inconsequential on account of the purchases made and the option to offset the settlements.

Liquidity risk

The Company and the Dino Group monitor the risk of having a shortage of funds using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities. The aim is to maintain a balance between continuity and flexibility of financing by using different financing sources, such as overdrafts, bank loans, other loans, bond issues, lease contracts and reverse factoring.

4.11. Significant contracts, loans, borrowings, guarantees and sureties

Contracts significant for the business

To the Company's best knowledge, there are no agreements that are significant for the issuer's operations concluded between the Company's shareholders.

Agreement with eZebra

On 17 October 2023 the Management Board of DINO POLSKA SA (Company) entered into a Preliminary Conditional Share Purchase Agreement and Shareholder Agreement ("Agreement") with the company doing business as eZebra.pl sp. z o.o. with its registered office in Lublin ("eZebra") and its shareholders ("Founders"). Pursuant to the Agreement, by acquiring secondary shares from the Founders and following the registration of a share capital increase in eZebra in which the Company will subscribe for newly-created shares the Company will ultimately be the owner of a 75% equity stake in eZebra ("Shares").

eZebra runs an internet drug store at the ezebra.pl website. It offers an extensive array of cosmetics and perfumes and accessories in the beauty, health, personal hygiene and house and home categories.

The Company's intention is to cooperate with the Founders and the eZebra management to further the business development of the eZebra.pl drug store and jointly build competences in e-commerce. The Founders will continue to serve in the eZebra Management Board to oversee the execution of its growth strategy.

According to the Agreement, the Company will assume control over eZebra and its subsidiaries, i.e.: 3Boom sp. z o.o. with its registered office in Lublin (“3BOOM”) and JTG Polska sp. z o.o. with its registered office in Lublin (“JTG”) which has its own warehouse and renders warehousing and shipping services.

The Company will purchase the Shares (“Closing Date”) provided that the following conditions precedent are satisfied by 31 March 2024:

- the consent of the President of the Office of Competition and Consumer Protection to acquire the Shares is secured,
- the Founders obtain the consent of JTG’s banking lender to execute the aforementioned transaction and perform the other actions required by the agreements with this bank.

The Price for the Shares will be approximately PLN 61 million (“Sales Price”), with PLN 11.5 million forming a contribution to eZebra made by the Company subscribing for new shares in eZebra’s share capital to support its ongoing development, while approximately PLN 49.5 million will constitute the payment made by the Company to the Founders for the secondary shares. The Sales Price will be adjusted by net debt and the difference in the share capital of eZebra, JTG and 3BOOM on the Closing Date.

Pursuant to the Agreement, the Founders have granted a call option (Call Option) to the Company to acquire the remaining 25% equity stake in eZebra, and the Founders have a put option (Put Option) to sell it to the Company. The Call and Put Options will be in force for 6 months following the elapse of 5 years and 6 months (for the Call Option) and 5 years and 9 months (for the Put Option) from the Closing Date.

The Price for the shares under these options has been set as 25% of the product of eZebra’s EBITDA in the year preceding the execution of the option and the multiplier of 9 under the Call Option and 8 under the Put Option. In both cases eZebra’s net debt will be subtracted from this amount.

The Company received the consent of the President of the Office of Competition and Consumer Protection to acquire the shares on 6 November 2023, and it learned on 19 December 2023 that the Founders had obtained the consent of JTG’s banking lender to execute the transaction and perform the other actions required by the agreements with this bank, whereby the conditions precedent facilitating the execution of the transaction were satisfied.

On 21 November 2023 the Company learned from eZebra’s shareholders that the First Civil Division of the District Court in Lublin had issued a decision on 20 November 2023 in which it granted a temporary injunction for the applicant’s claim regarding the recognition that the Agreement is ineffective with respect to the applicant. The court’s foregoing decision precipitated a delay in the execution of the share purchase agreement and the Company’s subscription for shares in eZebra. The Company and the shareholders of eZebra did not concur with the foregoing decision at all and took legal steps that led to the dismissal in 2024 of the application for a temporary injunction.

Loans and borrowings

In 2023, the Company or its subsidiaries entered into the following loan agreements (not all of the loans had been originated as at the end of 2023).

Date	Company	Bank	Amount (PLN)	Type of loan	Interest rate	Currency	Date of maturity
09.03.2023	Dino Polska	Bank 1	100,000,000	investment	WIBOR 1M + margin	PLN	09.03.2028

In 2023 Dino Polska received six loans for a total of PLN 298 million (with a 12-month term of maturity and bearing interest of 9%) from Subsidiaries and it extended the following loans to its Subsidiaries.

Date	Company	Amount (PLN)	Interest rate	Currency	Date of maturity
31.01.2023	CWN	8,000,000	9%	PLN	12 months
06.03.2023	CWN	15,000,000	9%	PLN	12 months
20.03.2023	Dino Oil	1,500,000	9%	PLN	12 months
03.04.2023	CWN	10,000,000	9%	PLN	12 months
26.04.2023	CWN	5,000,000	9%	PLN	12 months
18.08.2023	Dino Oil	300,000	9%	PLN	12 months
04.09.2023	CWN 4	40,000,000	9%	PLN	12 months
13.10.2023	CWN 4	18,000,000	9%	PLN	12 months
09.11.2023	CWN 4	19,000,000	9%	PLN	12 months
20.12.2023	Dino Oil	700,000	9%	PLN	12 months
22.12.2023	Dino Południe	20,000,000	9%	PLN	12 months
28.12.2023	CWN	240,000,000	9%	PLN	12 months
28.12.2023	CWN 4	75,000,000	9%	PLN	12 months
28.12.2023	Dino Oil	5,500,000	9%	PLN	12 months

Sureties and guarantees

In 2023 Dino Polska and the Subsidiaries did not grant any sureties.

In 2023 Dino Polska extended more than a dozen guarantees to various entities for a total amount of PLN 6.1 million.

4.12. Other information

Due to the profile of the conducted activities, the Dino Polska Group has not adopted a research and development strategy and does not fund research and development activities. The Company does not publish financial forecasts.

5. RISKS AND THREATS

Described below are the risk factors and threats the materialization of which might have an adverse impact on the results and operations of the Company and the Dino Polska Group. As at the Report Date, the Company's Management Board does not see any significant grounds that might indicate a significant likelihood of the occurrence of these risks, while the probability of their materialization in the foreseeable future is considered low, save for risks related to the macroeconomic situation, interest rates and competition.

The Company has exercised the highest degree of diligence in order to identify properly significant risks and threats; yet it cannot be claimed with absolute certainty that all risks have been identified and correctly recognized or that their impact on the business and performance of the Company and the Dino Polska Group has been accurately estimated. Some risks are described in the section "Dino – Closest to You. Corporate Social Responsibility Report of Dino Polska – Risks".

Risk associated with macroeconomic conditions

Changes to the general economic situation, which are beyond Dino Polska's control, may result in lower consumer demand, which may have an adverse impact on Dino Polska's business

The Dino Polska Group operates in the retail grocery market in Poland, whose position depends on the demand generated by consumers. The demand generated by consumers is a result of multiple factors beyond Dino Polska's control, in particular the macroeconomic situation and political conditions. Change of the economic factors in Poland, in the EU or globally, including the change in the GDP growth rate, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Group operates, including the sales revenues generated by the Dino Group or its costs.

Deterioration of the general economic situation in Poland and Europe as a result of the aforementioned economic factors or for political reasons or downgrading of Poland's rating, may have an adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects. The above factors may result in, among others, decline of demand for the Dino Polska Group's products, limited access to external financing, difficulties on the part of suppliers, customers and other entities with which the Dino Polska Group cooperates, which, in turn, may exert an adverse impact on the activities of the Dino Polska Group, its financial standing, results and prospects.

The Dino Group may be exposed to interest rate risk, which may adversely affect its floating-rate debt

The Dino Polska Group is exposed to risk of changes in interest rates. Changes in interest rates and other financial market parameters may affect the activity of the Company and the Group. Most of the Dino Polska Group's financial debt bears interest at a floating rate. As a result, any increase in interest rates may lead to higher current financial expenses. The Dino Polska Group does not hedge its investments or floating rate interest bearing liabilities by using financial derivatives. We cannot rule out that future changes in interest rates may have a negative impact on the Company and the Dino Group, which may adversely affect the activities, financial standing and results of the Dino Group.

Risks related to the achievement of strategic objectives

The Dino Polska Group may not be able to implement its store rollout strategy

Dino Polska's strategy calls for, among others, further growth through continuation of fast organic growth of the store network and the accompanying logistic infrastructure. Successful implementation of the growth strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding and acquisition (or to a lesser extent, lease or rental) of real estate on acceptable terms which satisfy the requirements set by Dino Polska, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain in a manner ensuring high profitability.

To date the Dino Polska Group was able to finance its capital needs primarily from operating cash flows, bank loans and bonds. If the operating cash flows drop below the assumed levels or new financing is not available, Dino Polska may not be able to implement its development plans, which may have adverse impact on the activities, financial standing and results of the Group and its prospects.

Even if Dino Polska manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the current store network (LFL) may turn out lower than assumed by the Management Board, and Dino Polska may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Company before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. Additionally, if Dino Polska opens new stores in areas where it already conducts activities, it is possible that the revenues generated by the stores opened in the area earlier will drop.

The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Polska Group's business, financial standing, performance and prospects.

Possible delays in opening new stores

Most Dino Polska stores were built from the ground up by an entity related to the Company. The process of building and opening new stores hinges on securing approvals from various administrative authorities. It cannot be ruled out that in the future the time needed to obtain the administrative permits may be extended. If Dino Polska will not be able to finalize the administrative proceedings as efficiently as in the past, it is possible that there will be delays affecting the whole new store launch process in the future.

Also an increase in the average construction cost of a new store is probable, e.g. in the event of an increase in the costs of construction work, the prices of construction materials or a change in the applicable construction standards.

Dino Polska's cooperation with a single general contractor responsible for new stores entails the risk that if the contractor for any reason is unable to perform the construction services to the Company or only to a limited extent or its services are not of the same quality in the future, or the contractor demands termination of the contracts or a change in the commercial terms of its services to Dino Polska's disadvantage, Dino Polska may be forced to alter the schedules for building and opening new stores, find a different contractor or contractors or accept the new unfavorable commercial terms of the contracts with contractors, which may have an adverse impact on the activities of Dino Polska, its financial standing, results or prospects.

Owning a significant number of properties may curtail in the future the flexibility to close unprofitable stores, while a decline in real estate prices may put Dino Polska in jeopardy of incurring significant losses

The Dino Polska Group is the owner of most of the real estate in which it operates. That means that any drop in the market value of the real estate portfolio may exert an unfavorable impact on the asset value of the Company and the Dino Polska Group as well as on the results generated by the Company or its subsidiaries.

One cannot preclude that if a store built on a piece of real estate owned by the Dino Polska Group fails to generate performance at the originally intended level and if as a result the decision is made to close such a store, the Dino Group may not be able to sell or lease the real estate in which the closed store was located at all or on commercially viable terms. Due to the above, the Dino Group may generate an inferior return on invested capital, it may generate lower profits or incur losses, or it may also be obligated to incur additional expenses, which may adversely affect the operations of the Company and the Dino Group, their financial standing, performance or prospects.

Competition-related risks

The market on which the Dino Polska Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Polska Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail networks, including supermarkets, discount stores and convenience stores. Changing consumer preferences towards shopping in stores located near the place of residence and increasing consumer demand spur many players to develop a network of medium-sized grocery stores located near the consumers' place of residence, which increases the competition in the market segment where the Dino Group operates.

Players conducting competitive activity may have higher purchasing power and financial, distribution, technical, personal or marketing resources, giving them competitive advantages over the Dino Group. Retail grocery networks compete mainly in terms of location, prices and quality of the products and services and diversity of the product assortment. Dino Polska's ability to compete with other players depends partly on the maintaining

the attractiveness of the store format and opening new stores in favorable locations, which is the area where the Company may face greater competition.

The demanding competitive environment may cause the Dino Polska Group's pace of growth to slacken and reduce its profitability, which may have an adverse effect on the operations of the Company and the Dino Polska Group, their financial standing and results.

The retail grocery market in Poland is fragmented, and a large number of retail sellers have a relatively small market share. Mergers and acquisitions in this market lead to consolidation of the sector. In the case of consolidation of the Dino Polska Group's competitors which will allow them to leverage the economies of scale in their operations, there may be a stagnation or loss of the Dino Polska Group's shares in the market in favor of entities participating in such consolidation. Increased competition from bigger competitors who have stronger bargaining power with suppliers and higher financial resources may also lead to decrease and stagnation of the Dino Group's growth rate or decrease of its profitability, which may have an adverse impact on the activities, financial standing and results of the Company and the Dino Group.

Risks factors related to the activity of the Group

The demanding situation on the labor market may unfavorably affect the Dino Polska Group's operations

One of the key factors driving the Dino Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. The low level of unemployment in Poland, which is accompanied by a high level of competition for employees between entities operating in the retail trade sector, may contribute to the Dino Group sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages. There are also risks related to the dependence of the Dino Group on persons acting in key functions. The loss of managers or employees discharging key functions may affect further growth prospects, lead to the loss of know-how or, in certain circumstances, the acquisition of know-how by the competition. The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Group's business, their financial standing, performance or prospects.

The Dino Polska Group's IT systems may fail, may turn out insufficiently secure or insufficient to satisfy the needs of the Dino Polska Group

The Dino Polska Group manages its stores, including the sales process, inventories, logistic operations, and financial and accounting processes through different solutions provided by information technology. Hence it is key to ensure a correct maintenance process for the existing IT systems, their security, including the data constituting trade secret or personal data, and deploy optimum solutions at the right time which will ensure stable and uninterrupted operation of these systems. The inability to procure the effective operation of IT systems may pose a threat to the Dino Polska Group's capacity to manage the store network roll-out, including provision of inventories management services or product supply for the stores, which may result in disruptions in their ongoing activities.

The Dino Polska Group's operating systems may be susceptible to damages and disruptions as a result of actions associated with cybercrime, human error, natural disasters, power cuts, computer viruses, refusal to provide services, breach of security principles, limitation of access to the internet or similar events. In addition, attempts may be made to obtain access to the Dino Polska Group's systems to its detriment and the Dino Polska Group may not have the possibility to protect its systems against all attacks. If such attacks occur, the problems that the Dino Polska Group will have to face include theft or destruction of data, in particular commercial, financial and product information, which may be harmful to the Dino Polska Group in commercial terms and may result in loss of reputation.

System failures and the related delays may also cause unexpected sales disruptions, loss of inventories, reduced level of services and, as a consequence, affect customer satisfaction and harm Dino Polska's reputation.

The aforementioned circumstances may have material negative impact on the activities, financial standing and results of the Company and the Dino Polska Group.

Change of the terms of purchase of the goods offered by Dino Polska may have a material adverse impact on the activity of the Dino Polska Group

Dino Polska sources most goods directly from producers or their main representatives. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale. They enable

Dino Polska to make purchases on favorable terms that may should improve steadily as the sales network expands. The loss of good relations with numerous suppliers, termination of supply agreements or change of the commercial terms on which goods are supplied to Dino Polska to less favorable ones could reduce the competitiveness of the Company and the Dino Polska Group in terms of the prices offered and the product assortment and have an adverse impact on the profitability of the Company and the Dino Group.

The prices of the goods purchased by Dino Polska and then offered to clients, in particular fresh products, are subject to regular changes and are the biggest part of the cost of sales. The prices of the goods may increase significantly as a result of local or global events beyond the control of Dino Polska.

Although Dino Polska has a diverse supplier base, one cannot rule out that some suppliers, as a result of higher production costs or to increase their profits, will decide to raise the prices of the goods sold to Dino Polska. Dino Polska, in turn, may try to cover these higher purchase prices with higher prices for the products sold to maintain the margin of its gross profit on sales. However, it may prove to be impossible for Dino Polska to raise retail prices on account of competitive or business conditions, which may have a significant adverse effect on the operations, financial standing and results of the Company and the Dino Polska Group.

Distribution of products to Dino Polska stores may be disrupted

The products offered in the stores run by Dino Polska are currently supplied by distribution centers belonging to the Dino Polska Group. Any interruptions in the activity of the distribution centers may result in disruption of the operation of the supply chain or may cause significant losses. In the event of disruption to one or more of the distribution centers, inter alia as a result of technical crashes, events of chance or events largely outside the control of the Dino Polska Group, it is possible that the operation of the supply chain may experience a major disruption, in particular, the lack of deliveries of fresh products, and also the incurring of major losses. There is a risk that the Company will be not able to resume or restart its operations due to the aforementioned circumstances sufficiently quickly, and its insurance cover may be insufficient to cover the losses suffered in terms of its assets or revenue. The occurrence of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group may not be able to efficiently manage its inventories

Dino Polska conducts retail sales and accordingly it must secure frequent deliveries of products to its store network. Accordingly, Dino Polska is required to maintain a certain level of inventories at its distribution centers in order to effectively secure the supply of products to the entire store network without significant delays.

Dino Polska maintains inventories for the purposes of deliveries to its stores based on the experience of its relevant supply teams that have a broad range of IT solutions at their disposal. However, Dino Polska cannot rule out a possibility that, a result of an incorrect assessment, a failure of an IT system, a sudden change in consumer preferences or other factors beyond the control of Dino Polska, the level of deliveries will be insufficient or excessive and Dino Polska will not be able to sell its surplus inventories. Consequently, Dino Polska may not be able to secure sufficient quantities of the products that are offered in stores or, in case of surplus inventories, to sell its products, which may adversely affect Dino Polska's revenue or increase the level of its losses, which may in turn have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Ineffective identification and failure to satisfy consumer preferences may have a negative effect on the activities of Dino Polska

Consumer demand for stores in the format adopted by Dino Polska and offering a similar product range results from consumer trends, consumer needs and preferences. Consumer preferences on the market and in the geographical area where Dino Polska operates or intends to operate may change and the store format adopted by Dino Polska or the offered products will no longer be attractive to consumers, for example as a result of changes in lifestyles and dietary preferences or as a result of national or local economic conditions. Customers can make most of their purchases on the Internet, which is a sales channel not currently used by Dino Polska. Changes in customer preferences may adversely affect traffic and purchases in Dino stores. If Dino Polska fails to identify and adapt to changes in consumer preferences quickly and efficiently, which includes Internet sales, revenues and profitability may decline, which in turn may adversely affect the activities, financial standing and results of the Company and the Dino Polska Group.

An increase in costs could have a material adverse effect on the activity of Dino Polska

Although the Dino Polska Group determines its planned costs partly on the basis of expected future revenues on sales, a significant part of the costs by nature is fixed or may increase and cannot be adjusted quickly if the future revenues prove to be lower than expected or if costs rise faster than revenue or if unexpected costs arise. Accordingly, if sales revenue in any period is significantly lower than expected, it may not be possible to adjust the main costs by nature in an appropriate proportion and quickly enough, which may reduce the profitability of Dino Polska and the Dino Polska Group. In addition to the cost of goods and materials sold, which is the largest cost item by nature, the operating and financial results are also affected by other material costs, the most important of which are costs related to the consumption of materials and energy, employee benefits and external services. The increase in the costs described above depends largely on factors beyond the control of Dino Polska.

An increase in costs may have a direct impact on the results and financial standing of the Company and the Dino Polska Group. The Dino Polska Group cannot give an assurance that it will be possible to cover higher costs with higher revenues from sales. If it proves impossible then it may have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Dino Polska Group may not be able to repay its financial debt, provide financing on favorable terms, or lose strategic assets if it defaults on the terms of financing

To finance its activity, the Dino Polska Group uses, among others, external funding that consists of loans and borrowings from financial institutions and outstanding bonds. The Management Board cannot guarantee that the Dino Polska Group will be able to finance its operations on favorable terms and, once it has obtained funding, that it will be able to pay interest and principal or perform other obligations under the financing agreements. If the Dino Polska Group is unable to obtain additional funding in accordance with its expectations, it may be forced to change its strategy, limit growth, and as a result the pace of achieving its strategic objectives may be slower than expected.

The property, plant and equipment of the Dino Polska Group, including the properties on which the Dino Polska Group operates or intends to operate have been encumbered with numerous security interests (e.g. mortgages). In the event that the Dino Polska Group is unable to pay its liabilities under its financing agreements, the lenders will be able to satisfy themselves from its assets, which will result in the loss of the assets on which the security interests are created.

Moreover, the financing agreements concluded by the Dino Group contain many standard obligations, including covenants to maintain certain financial ratios, not to allow third party rights to be established on assets, cross-default clauses or change of business clauses. A breach of covenants may result in a default on financing agreements, a negative change in the terms of financing granted or, if a proper waiver of any covenant is not obtained from the financing entities, they may refuse to continue the financing and may demand repayment of the extended loans, declare them due and payable or satisfy themselves from Dino Polska Group's assets, which will be lost.

Each of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group's insurance cover for its operations may not be sufficient or available.

The Dino Polska Group's insurance policies may not cover all the losses that the Dino Polska Group may incur in the course of its business, and certain insurance policies may not be available on economically justified terms.

The Dino Polska Group's insurance cover may not be sufficient to cover its losses or to satisfy claims raised against the Group. Insurance cover may also not be available in this respect. Moreover, an insurer may, in the circumstances specified in the pertinent insurance contracts, refuse to satisfy the Dino Polska Group's claims or cover the losses it incurs. There may also be risks that are not insurable or where insurance is not economically justified or, in the opinion of Dino Polska Group, the proposed terms and limits of insurance are not sufficient to minimize the possible high loss coverage costs. In that way the Dino Polska Group may not obtain full damages based on the executed insurance contracts to cover the losses related to the business it conducts, and the Dino Polska Group's insurance cover may be insufficient. In addition, the insurance policies held by the Dino Group are subject to limits on the amount of insured claims.

As a result, the Dino Polska Group may have insufficient protection against losses that it could suffer in the course of its business. Any uninsured loss or loss exceeding the sums insured may have an adverse effect on the activities, financial standing and results of the Dino Group.

The Dino Group is exposed to risk related to the significant usage of cash in its operations

On account of the nature of the retail grocery market and since the customers of the Dino store network frequently pay for their purchases with cash, Dino Polska handles a large quantum of cash transactions in its operations. Accordingly, it is exposed to the risk of loss, theft, robbery and other fraudulent activity, which in total, if they are considerable, may exert an adverse impact on the activities, financial standing and results of the Company and the Dino Polska Group.

The violation of regulations regarding the production and distribution of food may lead to disruptions in the operation of stores, distribution centers and the meat processing plant

In addition, Dino Polska, as a producer and distributor of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers. Accordingly, Dino Polska is obligated to adhere to many sanitary requirements and procedures, in particular requirements and procedures pertaining to health and safety, and also to monitor and conduct laboratory analyses of the quality of raw materials and finished products.

If Dino Polska or its subsidiaries fail to satisfy the qualitative requirements and the requirements pertaining to health protection and the sanitary requirements ensuing from the relevant regulations, the production or distribution of goods may be suspended or curtailed. In the event of a disruption to production in the meat processing plant run by the Dino Polska Group, the Company may be compelled to find some other supplier or suppliers, which may be impeded in the short-run.

The occurrence of any of the above risk factors may have a material adverse effect on the reputation, activities, financial standing and results of the Company and the Dino Group.

Risks related to regulatory environment

Bad interpretation or change of law may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations (among others, in respect to food production, fire and safety regulations, provisions of labor law and environmental law). These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Moreover, the substantial number of rules and regulations of importance in the operations of the Dino Polska Group may become more stringent, which could slow down the growth or cause a decline of the Dino Polska Group's revenue, which would not be covered by the possible decline in operating expenses.

The occurrence of the foregoing factors may heighten the risk of incurring additional and unforeseen costs, which may adversely affect the operations of the Company and the Dino Polska Group, their financial standing, growth prospects and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations in the field of tax law. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative. One cannot preclude the possibility of the tax authorities challenging the correctness of tax settlements made by the Company or the Dino Group companies, which may have an adverse effect on the Dino Group's business, its financial standing and results. There is also a risk that, as new regulations, new taxes or changes to VAT tax rates are phased in, the Company or the Dino Group companies will have to undertake adaptive efforts, which may lead to higher expenses or possibly to a decrease in the level of sales and revenues of the Dino Group.

6. CORPORATE GOVERNANCE

6.1. Representation on the application of corporate governance

Dino Polska, as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of WSE Listed Companies 2021. The document is available at the Stock Exchange website (<http://www.gpw.pl>) in the section devoted to corporate governance of listed companies.

The Best Practices of WSE Listed Companies 2021 is a set of rules of conduct applicable in particular to the governing bodies of listed companies and their shareholders. If a given principle is not permanently applied by a listed company or it has been incidentally breached, the listed company is obligated to report that fact in the form of a current report. Moreover, a listed company is obliged to attach to the annual report a report containing information on the scope of its application of the Best Practices of WSE Listed Companies 2021.

In 2023 Dino Polska observed most of the standards included in the Best Practices of WSE Listed Companies 2021, except for the following:

- Standard 1.4 – To ensure proper communication with stakeholders regarding the adopted business strategy, a company publishes information on its website regarding the tenets of its strategy, the measurable objectives, especially long-term objectives, planned activities and progress in their achievement as specified with the help of financial and non-financial metrics.

Company's commentary: The Company has a long-term growth strategy published on its website. In this strategy, however, the Company has not defined precise long-term goals. Having regard for its current phase of dynamic growth, the highly competitive market on which it operates, the changes transpiring on this market and the frequent changes in the legal environment, this gives the Company extensive flexibility in adapting to the evolving business conditions while enhancing its competitive resilience. The Company is of the opinion that in the foregoing circumstances the most effective way to grow the company's value is to blend its long-term strategy identifying the key growth areas with the process of defining annual objectives aligned to the strategy to be achieved by its employees.

- Standard 1.4.2 – Information on the ESG strategy should present the equality ratio for pay paid to employees calculated as the percentage difference between the average monthly salary (including bonuses, awards and other allowances) received by women and men for the last year, and present information regarding the actions taken to eliminate any inequalities along with a statement of the related risks and the time horizon over which the plan is to reach equality.

Company's commentary: The Company takes care that all employees have equal access to professional development opportunities and receive equal pay for equal work. There is a standard base salary scale that is identical for women and men to eliminate the pay gap problem in the Company's various business areas. In turn, bonuses and awards are paid according to the completed tasks and therefore they may vary among employees. In one area of its business the Company applies an employee remuneration system based on piece work. Its principles are identical for all employees. Pay under this system hinges on the quantity of work done and therefore pay may vary by employee. Accordingly, in the Company's opinion, the salary equality ratio encompassing bonuses, awards and other allowances is not the right ratio to evaluate equal pay for the Company's employees.

- Standard 2.1 – The Company should have a diversity policy for the management board and the supervisory board adopted by the supervisory board or shareholder meeting, respectively. The diversity policy lays down the objectives and criteria for diversity, among others, in areas such as gender, education, expert knowledge, age and professional experience; it also specifies the deadline for, and the method of, monitoring the execution of these objectives. In terms of gender differentiation the prerequisite for ensuring diversity in the company's corporate bodies is for the minority to hold a share of no less than 30% in a given corporate body.

Company's commentary: The Company pays attention to building a diverse composition in its Management Board and Supervisory Board; however, it does not have a formalized diversity policy applicable to these corporate bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and

experience, notwithstanding their age, gender, education and other attributes. The composition of the Company's corporate bodies is shaped in the way that is most closely aligned to the execution of its business objectives based on candidates selected from among the Company's employees (in the case of the Management Board).

- Standard 2.2 – Decision-makers involved in the selection of the company's management board or supervisory board members should provide for the comprehensiveness of these corporate bodies by choosing people to join them who ensure diversity, making it possible, among other things, to achieve the target minimum percentage held by a minority at a level of no less than 30% in accordance with the targets specified in the adopted diversity policy referred to in standard 2.1.

Company's commentary: The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The composition of the Company's corporate bodies is shaped in the way that is most closely aligned to the execution of its business objectives based on candidates selected from among the Company's employees (in the case of the Management Board). On the date of publication of this information the composition of the Management Board satisfies the criterion pertaining to the share of gender differentiation. This criterion is not satisfied by the Company's Supervisory Board.

- Standard 2.11.6 – The Supervisory Board's annual report contains information regarding the progress in the diversity policy in the management board and the supervisory board, including the achievement of the objectives referred to in standard 2.1.

Company's commentary: The standard is not applied in connection with the fact that the Company does not apply standard 2.1.

- Standard 4.1 – The Company should enable shareholders to take part in shareholder meetings by using electronic communication means (e-shareholder meetings) if this is justified on account of shareholder expectations voiced to the company, provided that it is capable of providing the technical infrastructure required to hold such a shareholder meeting.

Company's commentary: In the opinion of the Company, providing the necessary technical infrastructure would call for the Company to incur costs and commit other resources that are disproportionate to the potential interest of its shareholders. Therefore, the Company does not plan to conduct a shareholder meeting using electronic means of communication.

- Standard 4.3 – The Company provides for a generally available broadcast of the shareholder meeting in real time.

Company's commentary: The Company does not plan to broadcast the shareholder meeting in real time because of the additional costs and organizational resources it would have to devote to this undertaking. Nevertheless, the Company will consider transmitting the Shareholder Meeting, if its shareholders advance such a need.

- 5.3. No shareholder should be privileged in respect of other shareholders in terms of transactions with related entities. This also pertains to transactions executed by company shareholders with entities belonging to the group.

Company's commentary: The Company expresses its support for the foregoing standard. However, it cooperates with a single general contractor related to the Company's major shareholder in the area involving the expansion of its store network. The Company is not thinking about changing this model. In the past the Company cooperated with many entities operating in the construction industry and based on its experience it deemed that close cooperation with a single credible entity sharing the same goals as the Company is a key condition for the dynamic and effective rollout of the store network. To mitigate the operating risk associated with cooperating with a related party, the following mechanisms are employed: i) the Company regularly collects information regarding other entities operating in the construction industry and analyzes the costs of store construction services; ii) cooperation with the general contractor is conducted on the basis of a long-term master agreement that standardizes the costs of store construction and ensures the constancy of the conditions of cooperation over its term of validity (the current master agreement is valid until 30 June 2025); and iii) the Company's Articles of

Association stipulate that the consent of the majority of the independent Supervisory Board members participating in a meeting must be given to make changes to significant agreements involving related parties.

Moreover, Dino Polska reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino – Najbliżej Ciebie Foundation, which has held the status of a public benefit organization since October 2015. The foundation aims to selflessly help people in need, especially individuals suffering from diseases and children.

6.2. Internal control and risk management system in the process of preparation of financial statements

The Parent Company's standalone financial statements have been prepared in accordance with the following:

- Accounting Act of 29 September 1994 (consolidated version: Journal of Laws of 2023, items 120 and 295, as amended),
- internal accounting procedures based on the accounting policies in effect in Dino Polska,
- applicable law and provisions of the articles of association of Dino Polska.

The financial statements have been prepared under the historical cost convention. The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

The consolidated financial statements are prepared in accordance with the International Financial Reporting Standards ("IFRS") endorsed by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board.

The Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

The process of preparing financial statements is covered by an internal control and risk management system, which contributes to the credibility and accuracy of financial reporting, and compliance with the law and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Polska Group companies as part of their tasks and duties (the current allocation of duties rules out the possibility of one employee performing activities related to the execution and documentation of business operations from beginning to end),
- functional control performed by all the employees in managerial positions who oversee the organizational cells reporting to them,

Risk management in the process of preparing the financial statements is based on risk identification and assessment combined with defining and taking actions aimed at minimizing or eliminating risks in their entirety. The Chief Accountant and the Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the financial statements of the Parent Company and the consolidated financial statements of the Dino Polska Group. The risk management process starts already at the Group's lowest levels, so as to ensure fulfillment of the intended objectives. Risk management in the Dino Polska Group is a process overseen by the Management Board and key managerial personnel.

The accuracy of preparation of the financial statements is also verified by Supervisory Board members as part of the Audit Committee's duties entrusted to the Supervisory Board. To confirm the consistency of the data contained in the financial statements with the facts and records in the accounting ledgers kept by the Company, the financial statements are audited by a statutory auditor who issues an opinion in this respect. All actions taken by the company aim to ensure compliance with the provisions of law and the facts, and early identification and elimination of potential risks so that they do not affect the credibility and accuracy of presented financial data.

6.3. Internal audit and the compliance management system

Dino Polska has a separate department responsible for internal audit. Internal audit in the Company is an independent and objective activity to ensure, advise and support the Group in achieving its intended goals by regularly and consistently improving the effectiveness of management. The audit function follows the guidelines of the Institute of Internal Auditors. It involves a regular and structured assessment of processes: risk management, control and organizational governance and it contributes to their improvement. Internal audit may span all aspects of the Group's business.

Compliance management in the Dino Group aims to ensure that the Group companies will achieve their business targets in a manner consistent with the law while respecting best practices and business ethics and striving to avoid conflicts of interest and abiding by the principles of fair competition. In addition, this system is supposed to mitigate the risk of sanctions, financial losses and loss of reputation, while simultaneously contributing to building and entrenching the Dino Group's positive image.

The Dino Group's compliance is predicated on risk analysis, which defines the tasks for complying with legal and ethical standards and forms the basis for enacting solutions dedicated to the Group.

Compliance management in the Dino Group is carried out through preventive measures (preventing the emergence of non-compliance), remedial measures (detecting and eradicating identified cases of non-compliance and mitigating their adverse consequences) and analytical measures (analysis of the identified cases of non-compliance to avoid similar events in the future).

The Dino Group acts in the following areas within the framework of compliance management:

- monitoring the regulatory environment for business processes,
- evaluating and analyzing companies' compliance risk with the laws, guidelines, internal regulations and standards,
- coordinating the process of creating, implementing and updating internal regulations in the Company,
- monitoring the observance of standards embraced in internal regulations and compliance management,
- controlling compliance between the operations of organizational cells and the Company's internal decisions and regulations,
- delivering training to employees.

6.4. Share capital, shares and shareholders of Dino Polska

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The shares are not preferred in terms of voting rights, dividend rights or distribution of assets in the case of liquidation of the Company. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares. As of the Report Date:

- there are no shares which do not represent the Company's share capital (do not constitute a stake in the share capital),
- The Company does not hold any treasury shares, and no Subsidiary or third party acting for or on behalf of the Company holds any Dino Polska shares,
- neither the Company nor any of its Subsidiaries acquired treasury shares (of Dino Polska) in 2023,
- neither the Company's nor any Subsidiaries' capital is subject to options, and it has not been agreed, conditionally or unconditionally, that the capital of any such entities will become subject to options,
- there are no convertible securities or securities exchangeable for securities (including shares) of the Company or securities with warrants issued by the Company,
- the Articles of Association do not contain any provisions authorizing the Management Board to increase the Company's share capital as part of authorized capital.

DINO POLSKA S.A.'s shareholder structure as at the end of 2023

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary*	50,160,000	51.16%
Other shareholders.....	47,880,000	48.84%

* - BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 160 thousand Company shares

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the Q3 2023 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the Q3 2023 report). Piotr Ściagała, a Management Board Member, did not hold any Company shares as at the Report Date.

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 36,307 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of shares in the Company held by Supervisory Board members has not changed since the publication date of the Q3 2021 report. Piotr Borowski, who was appointed to the Supervisory Board in January 2024, held 10 shares in the Company as at the Report Date.

Dino Polska Management Board and Supervisory Board Members do not hold any shares in Dino Polska's subsidiaries. The Company does not have an employee share ownership plan and hence it does not have an employee share ownership plan control system. The Company is unaware of any agreements which may result in future changes to the proportions of the Dino Polska shares held by the shareholders. No other changes to the Company's share capital took place in 2023 or up to the Report Date.

6.5. Dino Polska Bonds

On 21 September 2017, the Management Board of Dino Polska adopted a resolution to establish a program for the Company to issue bonds up to the amount of PLN 500 million ("Program"). A modification was made to the program on 10 September 2021 through a resolution of the Management Board to increase it from PLN 500 million to PLN 1 billion up to which the Company can issue bonds.

Under the Program the Company may conduct multiple issues of secured bearer bonds in electronic form (not in paper form) denominated in Polish zloty. Decisions regarding the launch of further issues under the Program and their amounts are made based on the Company's current funding needs. Detailed parameters of bond issues are determined before the issue of a given bond series. The various series of bonds issued under the Program may contemplate registration of the bonds in the securities depository run by Krajowy Depozyt Papierów Wartościowych S.A. and of introducing them to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. or BondSpot S.A.

This Program's objective is to diversify the sources of funding and optimize the Company's operating expenses. The cash funds obtained through the Program are allocated to develop the Company's operations under the adopted growth strategy entailing in particular the roll-out of its own store network with distribution centers and logistic network.

The total nominal value of the bonds issued by Dino Polska (and that are outstanding for redemption) was PLN 370 million as at the Report Date.

On 28 July 2022 Dino Polska issued 170,000 secured bearer bonds with a nominal value of PLN 1,000 each and a total value of PLN 170 million. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.20 percentage points per annum. The bonds are secured under a surety provided by selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. Proceeds from the bond issue were used by the Company in accordance with the purpose specified in the Program. The maturity date of the bonds is 28 July 2026.

On 20 October 2021, as part of the Program, the Company issued 200,000 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 200 million. The proceeds from the bond issue were used by the Company in accordance with the purpose specified in the Program. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.20 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. The final maturity of the bonds is 20 October 2025.

6.6. Management Board of Dino Polska

Members of the Dino Polska Management Board are appointed for a joint term of three years. The mandate of a member of the Management Board expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year of serving as a member of the Management Board.

Composition of the Management Board

The Management Board comprises of between one and five persons. The number of members of the Management Board of a given term is set by the Supervisory Board.

Management Board Members, including the President of the Management Board, are appointed and dismissed by the Supervisory Board. Each Management Board member may be dismissed by the Supervisory Board at any time both for cause and without cause. The Supervisory Board may suspend some or all of the members of the Management Board due to important reasons. A Management Board member may also be dismissed or suspended in performance of his/her duties by a resolution adopted by the Shareholder Meeting.

Management Board's powers

The Management Board manages the Company's operations and assets and represents the Company externally before courts, authorities and third parties. The Management Board makes decisions in all the matters that are not reserved by the law or the Articles of Association as exclusive powers of the Supervisory Board or the Shareholder Meeting. Management Board Members do not have the power to decide on share issues or buyouts. All of the Management Board members are obligated and entitled to manage the Company's business jointly. Two Management Board members acting jointly or one Management Board member acting jointly with a commercial proxy are authorized to submit representations of will and sign on behalf of the Company.

Management Board Members

At the end of 2023 the Management Board consisted of three members, i.e.: Izabela Biadała, Michał Krauze and Piotr Ścigała.

Composition of the DINO POLSKA S.A. Management Board at as at the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Izabela Biadała	49	Management Board Member	3.09.2021
Michał Krauze.....	41	Management Board Member	3.09.2021
Piotr Ścigała	67	Management Board Member	2.12.2022

Izabela Biadała and Michał Krauze have been employees of the Dino Group since 2002, and Piotr Ścigała has been an employee since 2003.

From 2002 to 2011 Izabela Biadała worked in jobs in administration, logistics and accounting. She has held managerial functions in the Company since 2011. In November 2019 she took the position of Director of Administration and then from 2020 to 2024 she was the Director of Operations and Administration. As of March 2024 she is the Director of Logistics and Warehouses.

In 2002-2007, Michał Krauze was an accountant, then, in 2007-2011, an independent accountant, and then, in 2011-2016, a financial controller. He was appointed to the Management Board in May 2014, and since July 2016 he has also been acting in the capacity of Chief Financial Officer.

Piotr Ścigała served as a Dino store manager in 2003-2004. He served in managerial functions in the head office from 2004 to 2014 where he was responsible for supporting current and new Dino stores and for the operational control of stores. In 2014 he took the post of Director of the Control Department to organize and supervise the operation of departments engaged in quality assurance and the operation of Dino stores.

Compensation and terms of employment contracts of Management Board members

Compensation and rules for compensating Management Board members and rules governing the employment of Management Board members

Contracts between Management Board members and the Company

Management Board members are employed under employment contracts. Such contracts contain the fundamental provisions required by the provisions of labor law, including the job description and the amount of employee compensation. Contracts with the Management Board members have been entered into for an indefinite term and may be terminated with three months' notice. Moreover, these contracts contain confidentiality clauses applicable to the Management Board members and they require Management Board members to refrain from involvement in any business competitive to that of the Company or of the Subsidiaries during the employment relationship and for a period of 12 months following the expiration or termination of the employment contract for any reason. A contractual penalty is provided for a breach of the non-competition clause during the term of the employment contract, equal to 6 times the average gross monthly compensation obtained by the pertinent Management Board member prior to the cessation of the employment relationship, with an option allowing for the Company's pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. A contractual penalty is provided for a breach of the non-competition clause after the termination of the employment contract, equal to twice the amount obtained by the pertinent Management Board member as compensation for refraining from involvement in competitive activity, with an option allowing for the pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. Each Management Board member is entitled to (lump-sum) compensation for adherence to the non-competition clause after the termination of the employment relationship in an amount equivalent to 12 times the average gross monthly compensation obtained by the relevant Management Board member prior to such termination. The said compensation is payable in twelve monthly installments. The contracts between the Management Board members and the Company do not provide for any other compensation in the event of a Management Board members' resignation or dismissal without a significant reason or if such dismissal results from the Company's merger with another entity by way of an acquisition. Management Board members may not, without the consent of the Supervisory Board, accept the function of a member of the management board or supervisory board in any companies other than Dino Polska's related entities.

Contracts between Management Board members and the Subsidiaries

In addition to the employment contract with the Company, Michał Krauze has entered into a mandate agreement with Agro-Rydzyna and Dino Krotoszyn under which he performs activities related to the discharge of the function of a management board member in these entities. These agreements contain provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from involvement in any competitive business provided for in the employment contract with the Company is also treated as compensation for refraining from involvement in any business competitive to that run by Subsidiaries.

In addition to the employment contract with the Company, Izabela Biadała has entered into a mandate agreement with Dino Południe and Dino Krotoszyn under which she performs activities related to the discharge of the function of a management board member in these entities. These agreements contain provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from involvement in any competitive business provided for in the employment contract with the Company is also treated as compensation for refraining from involvement in any business competitive to that run by Subsidiaries.

Management Board members may obtain discretionary bonuses from Subsidiaries in which they discharge managerial functions.

Amounts of compensation and other benefits for Management Board members in the Company and the Subsidiaries

The compensation for Dino Polska's Management Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Supervisory Board sets the amount of compensation for the Members of the Company's Management Board while taking into consideration the following: (i) the Company's financial position, (ii) the results achieved, (iii) the experience and professional qualifications of a given Management Board Member and (iv) the level of responsibility ensuing from the position held. Compensation of the Members of the Company's Management Board is set in a way that supports the achievement of strategic objectives of Dino Polska and ensures the maintenance of the Company's secure financial standing.

Compensation for the Management Board Members includes fixed (monthly) and variable compensation. According to the adopted policy and having regard for the Company's rapid growth and its strategic objectives, more weight is placed on variable or bonus compensation in the total compensation payable to the Members of the Company's Management Board. The fixed compensation of Management Board Members should not be higher than 10 times the average compensation of a full-time employee in the Company. Variable compensation is paid in the form of quarterly bonuses (at the discretion of the Supervisory Board) and annual bonuses (depending on the amount of the Company's consolidated net profit earned in the financial year for which it is paid).

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2023.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Izabela Biadała	120.0	444.5	240.0	-
Michał Krauze.....	120.0	1,424.5	240.0	-
Piotr Ścigala.....	300.0	735.1	0.0	-

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2022.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Izabela Biadała	120.0	698.8	240.0	-
Michał Krauze.....	119.7	1,310.3	240.0	-
Michał Muskala*.....	50.0	70.5	160.0	-
Piotr Ścigala**.....	10.0	70.5	0.0	-

* for the period up to 31 May 2022 (DINO POLSKA S.A.) and to 31 August 2022 (Subsidiaries)

** for the period of serving in the capacity of a Management Board Member (since 2 December 2022)

The Management Board members are covered by third party liability insurance.

Other than the benefits described above, as at the end of 2023 the Management Board members were not covered by any contingent or deferred benefits granted by the Company or the Subsidiaries.

There are no contracts between the Management Board members and the Company or the Subsidiaries providing for any benefits payable upon termination of the employment relationship. There are no liabilities arising from pension obligations or similar benefits payable to former members of management, supervisors or former members of administrative bodies.

6.7. Shareholder Meeting, shareholder rights and rules for amendment of the articles of association

A Shareholder Meeting is convened by way of an announcement published on the Company's website and in the manner provided for in the Commercial Company Code as well as in compliance with the Public Offering Act. Such an announcement should be published at least 26 days prior to the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered seat or in Warsaw or in some other venue in Poland designated by the Company in the announcement regarding the convening of the Shareholder Meeting.

The Management Board convenes the Shareholder Meeting. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it within the prescribed time limit and may convene an extraordinary Shareholder Meeting if it considers that to be expedient. The right to convene an extraordinary Shareholder Meeting is also vested in Company's shareholders representing at least half of the Company's share capital or at least half of all votes in the Company. In such a case, the Company's shareholders have the right to appoint the chairperson of the Shareholder Meeting.

Moreover, a shareholder or shareholders representing at least one-twentieth of the Company's share capital may request that an extraordinary Shareholder Meeting be convened and that specified items be placed in the agenda of the Shareholder Meeting. Such a request to convene an extraordinary Shareholder Meeting must be submitted to the Management Board in writing or in electronic form. If, within two weeks from the date of submission of the request to the Management Board, the latter fails to convene the extraordinary Shareholder Meeting, the court of registration may authorize the Company's shareholders who have submitted the request to convene the extraordinary Shareholder Meeting themselves. In such a case, the court appoints the chairperson of the Shareholder Meeting.

The right to participate in the Shareholder Meeting is vested only in those persons who are the Company's shareholders sixteen days prior to the date of the Shareholder Meeting (date of registration of participants). Shareholders have the right to participate in the Shareholder Meeting and exercise their voting rights in person or through a proxy. Furthermore, each shareholder is entitled to have a say on the matters included in the agenda. A detailed description of the procedures governing participation in Shareholder Meetings and the exercise of voting rights is always provided along with the announcement on convening a Shareholder Meeting.

The powers of the Shareholder Meeting include making decisions concerning issues related to the organization and operations of the Company, except for the cases specified in the Commercial Company Code (CCC) and the Articles of Association. The rules for holding the Company's Shareholder Meetings are defined by the Rules and Regulations of the Shareholder Meeting in DINO POLSKA S.A. published on the website grupadino.pl.

The rights of the shareholders and the method of exercising them at the Shareholder Meeting are specified in the Commercial Company Code and the Articles of Association. In accordance with the Articles of Association, the powers of the Shareholder Meeting include:

- appointing and dismissing Supervisory Board members;
- defining the rules for compensating Supervisory Board members and setting the amounts of such compensations,
- establishing, utilizing and dissolving reserve capital and other special-purpose funds as well as utilizing supplementary capital.

An amendment to the Articles of Association requires the adoption of a Shareholder Meeting resolution by a majority of three-fourths of the votes. An amendment to the Articles of Association materially changing the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require a buyout of the shares held by the shareholders objecting to such an amendment if the relevant resolution of the Shareholder Meeting is adopted by a 2/3 (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

6.8. Supervisory Board and its committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity. Members of the Supervisory Board are appointed for a joint term of three years. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the Shareholder Meeting approving the

financial statements for the last full financial year during which they held the position of a Supervisory Board member. The Supervisory Board consists of five to eight members.

As at the Report Date, according to the Articles of Association, Supervisory Board members are appointed and dismissed in the following manner:

- as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the Shareholder Meeting plus one share, Tomasz Biernacki will be authorized to appoint and dismiss one member of the Supervisory Board who will also serve as the Supervisory Board Chairman, by way of written representation to appoint or dismiss a Supervisory Board member, which becomes effective upon delivery to the Company;
- the other Supervisory Board members are appointed and dismissed by the Shareholder Meeting and the Supervisory Board Deputy Chairperson is elected by Supervisory Board members from among themselves.

In the case of voting in separate groups in accordance with the procedure prescribed by Article 385 of the Commercial Company Code, the Supervisory Board will have eight members, however, until the expiry of the powers referred to in the first item above, Tomasz Biernacki will have the right to appoint the Supervisory Board Chairman from among the Supervisory Board members elected in connection with voting in separate groups. If the powers referred to in the first item above expire, then the Supervisory Board Chairman will be elected by the Supervisory Board members from among themselves.

Supervisory Board members

As at the Report Date, the Supervisory Board consists of five members.

On 11 December 2023 Piotr Nowjalis tendered his resignation from serving in the capacity of a Dino Polska Supervisory Board member with effect as of 31 December 2023. Piotr Nowjalis stated that the reason for his resignation was linked to his intention to start working in an entity conducting operations that in part compete with the DINO POLSKA S.A Group.

On 24 January 2024 the Company's Shareholder Meeting appointed Piotr Borowski to the Company's Supervisory Board.

The following table presents basic information on the Supervisory Board members as at the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Tomasz Biernacki.....	50	Supervisory Board Chairman	18 June 2021
Maciej Polanowski	54	Supervisory Board Vice-Chairman	18 June 2021
Eryk Bajer	55	Supervisory Board member	18 June 2021
Piotr Borowski	57	Supervisory Board member	24 January 2024
Sławomir Jakszuk.....	60	Supervisory Board member	18 June 2021

Eryk Bajer, Tomasz Biernacki and Maciej Polanowski have served as Supervisory Board members since 2010. Sławomir Jakszuk has served as a Supervisory Board member since 2015 while Piotr Borowski started to serve in 2024.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practices of WSE Listed Companies. The Company's Audit Committee was appointed by a Supervisory Board resolution of 1 December 2016.

The tasks of the Audit Committee include, in particular (i) monitoring the financial reporting process; (ii) monitoring the effectiveness of the internal control, internal audit and risk management systems; (iii) monitoring the performance of the financial review activities; (iv) monitoring the independence of the statutory auditor and the entity authorized to audit financial statements, also if services other than financial review are performed for the Company; and (v) recommending the entity authorized to audit financial statements to the Supervisory Board to perform the financial review activities for the Company.

On 21 June 2021 the composition of the Audit Committee of the current term of office of the Company's Supervisory Board was appointed. The following persons were appointed to it: Piotr Nowjalis (Audit Committee Chairman), Sławomir Jakszuk and Maciej Polanowski. In connection with the resignation tendered by Piotr Nowjalis from sitting on Dino's Supervisory Board, on 24 January 2024 the Company's Shareholder Meeting appointed Piotr Borowski to the Company's Supervisory Board, and then the Dino Supervisory Board appointed Piotr Borowski to the audit committee in which serves in the capacity of Chairman.

Piotr Borowski satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act and holds qualifications in accounting. Sławomir Jakszuk satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act.

Piotr Borowski has accounting knowledge and skills, which he acquired during his career serving as a Management Board Member of the Warsaw Stock Exchange where he was responsible among other things for the Finance Division and Audit Committee Chairman in Izba Rozliczeniowa Giełd Towarowych S.A. with its registered office in Warsaw and Audit Committee Member in Bondspot S.A. with its registered office in Warsaw.

Sławomir Jakszuk is a partner and legal advisor in the *Prof. Wierzbowski i partnerzy* law firm. He has extensive experience in capital markets and has advised a number of securities issuers on matters associated with discharging their statutory duties.

The Audit Committee held 6 meetings in 2023.

Compensation and rules for compensating Supervisory Board members

The compensation for Dino Polska's Supervisory Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Shareholder Meeting sets the compensation of the Company's Supervisory Board Members.

The table below shows the annual compensation received by the various Supervisory Board members from the Company in 2023 and 2022.

	Compensation from the Company in 2023	Compensation from the Company in 2022
	(PLN thousand)	
Tomasz Biernacki.....	0.0	0.0
Eryk Bajer	82.0	82.0
Sławomir Jakszuk.....	82.0	82.0
Piotr Nowjalis.....	99.6	99.6
Maciej Polanowski	82.0	82.0

The total value of the benefits received from the Company by the Supervisory Board members in 2023 was PLN 345.6 thousand (in 2022 the compensation for Supervisory Board members was PLN 345.6 thousand). These benefits included compensation for discharging the function of a Supervisory Board member. Supervisory Board members do not receive compensation from Subsidiaries.

6.9. Auditor

Pursuant to § 17 Sec. 1 Item 6 of Dino Polska's Articles of Association, selection of the statutory auditor to audit the financial statements of the Company and the Dino Polska Group is within the powers of the Dino Polska Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation of the Audit Committee.

On 2 July 2021, the Company, based on a Supervisory Board decision and based on the Audit Committee's recommendation satisfying the required conditions, extended the agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, to review the interim financial statements of Dino Polska and the interim consolidated financial statements of the Dino Polska Group for 2021, 2022 and 2023, and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2021, 2022 and 2023.

In 2021-2023 Ernst & Young Audyt Polska sp. z o.o. sp. k. did not provide to the Company or to its Subsidiaries any services other than the review or audit of the financial statements. Other audit services rendered in 2022 and

2023 pertained to auditing the report on the performance of the compensation policy for the Company's Management Board and Supervisory Board.

The table below presents the fees charged by the entity authorized to audit the financial statements paid or due for the years ended 31 December 2023 and 2022, by type of service.

Type of service	2023	2022
Mandatory audit of financial statements	556	524
Review of the interim financial statements	123	115
Other audit services	20	14
Tax advisory services	-	-
Total	699	653

Below the Company presents selected assumptions of the policy for selecting an audit firm:

- an audit firm to audit the standalone financial statements and the consolidated financial statements is selected for a maximum of up to 10 years,
- launch of the audit firm selection procedure is preceded by an Audit Committee resolution which obligates the Company to appoint a team to carry out a tender and prepare requests for proposal; the proposals sent to the Company, after they are collectively opened by the tender team, are submitted to Audit Committee members,
- The Company evaluates the proposals submitted by the audit firms in accordance with the selection criteria laid down in the tender documentation and prepares a report comprising the findings of the selection procedure approved by the Audit Committee.
- Evaluating the proposals, the Audit Committee takes into account: a) experience in auditing financial statements of public companies; b) professionalism; c) knowledge of the retail business; d) position of the statutory auditor in the audit service market; e) content and presentation of the proposal; f) price,
- The Audit Committee selects at least two proposals by a majority of votes (if the selection does not pertain to extension of the mandate) or indicates the current audit firm if the mandate is being extended, which are recommended, together with a justification, to the Supervisory Board for selection,
- if the Supervisory Board's decision regarding the selection of the audit firm deviates from the Audit Committee's recommendation, the Supervisory Board is required to present a justification stating the reasons for refusing to follow the Audit Committee's recommendations. The Supervisory Board forwards such justification to the Shareholder Meeting.

The Company has a policy for the provision of permitted non-audit services by the audit firm carrying out the audit, by related parties of such audit firm and by a member of the audit firm network. In line with its assumptions, the provision of non-audit services, save for forbidden services, is possible after the Audit Committee evaluates the threats and safeguards of the independence (the Audit Committee refuses the give consent to the provision of services if there is a risk that the threat to independence cannot be reduced to an acceptable level that does not threaten the Company's interest). In addition, the aforementioned policy defines the periods in which non-audit services cannot be provided and comprises catalogs of services whose provision by the statutory auditor or audit firm is prohibited, and of permitted services.

6.10. Transactions with related parties

Neither the Company nor its subsidiaries entered into transactions with related parties that deviated from arm's length basis. Detailed information about transactions with related parties is presented in Note 41 to the Company's Financial Statements for the year ended 31 December 2023, and in Note 30 to the Consolidated Financial Statements for the year ended 31 December 2023 prepared in accordance with the International Financial Reporting Standards endorsed for application in the EU.

6.11. Legal proceedings

As at 31 December 2023, Dino Polska and certain Subsidiaries were parties to several legal actions which, in the Company's opinion, did not generate any major receivables or payables. According to the Company's best knowledge, as at 31 December 2023 and the Report Date, there were no pending proceedings pertaining to liabilities and/or receivables of the Company or its subsidiaries whose value would exceed 10% of the Company's equity.

7. “DINO – CLOSEST TO YOU”. CORPORATE SOCIAL RESPONSIBILITY REPORT OF DINO POLSKA

7.1. Dino Polska’s business model and growth strategy

Dino Polska is one of the biggest and fastest growing nationwide grocery store networks. At the end of 2023 its network consisted of 2,406 stores. Dino Polska’s business model blends its superior capacity to roll out the network rapidly with the advantages offered by modern mid-sized stores and their attractive locations.

A standard Dino store is about 400 square meters in size and has a parking lot with several dozen parking spaces for customers, including parking spots for people with disabilities and a bicycle parking rack. Most of the stores are outfitted with their own PV installations whereby they can benefit from electricity generated by renewable energy sources.

Dino stores are located close to our customers’ place of residence to ensure that customers are able to shop for their first-need articles quickly and conveniently. The rapidly growing Dino store network shortens the distance between consumers and a modern, organized grocery retail network enabling them to save time and save on the costs associated with traveling to more distant stores. This also means that they have to use their cars to a lesser degree.

Dino’s product range comprises about 5 thousand stock keeping units (SKU), including mainly fresh products in the fruit and vegetable, dairy, meat and bakery sections, as well as other food, chemical and cosmetic products sold under well-known brands. To provide customers with products of the highest quality Dino’s stores are supplied with fresh products daily.

Every Dino store has a traditional fresh meat counter with counter staff. Agro-Rydzyna, a Dino Polska wholly owned subsidiary operating a meat processing plant, supplies its high quality meat and cold cuts to these counters. Agro-Rydzyna is the sole supplier of high-quality fresh meat and the main supplier of cold cuts to the Dino stores. The whole production of Agro-Rydzyna is sold through the Dino store network. The meat processing plant operated by Agro-Rydzyna is located in Kłoda in Wielkopolskie voivodship.

Dino stores are supported by eight distribution centers owned by the Dino Group and the transport network comprised by independent transport companies and managed by Dino Polska.

Dino Polska’s growth strategy calls for further growth by focusing on the following:

- continued rapid organic growth in store count (+250 new stores in 2023),
- continued sales growth in the current store network (LFL; +17.2% in 2023),
- consistent improvement in profitability (-0.6 p.p. movement in the EBITDA margin in 2023).

Dino Polska’s intention is to execute its growth strategy by further utilization of the Dino Polska Group’s strengths and its competitive advantages. In the pursuit of its business objectives Dino Polska gives consideration to risks related to its climate impact and the climate’s impact on the business model selected by Dino Polska. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group.

Growth of the Dino Group’s business size is plausible thanks to the capital expenditures incurred (PLN 1.2 billion in 2023, PLN 5.8 billion from 2019 to 2023). This has produced higher headcount (41.9 thousand employees at the end of 2023, + 4.5 thousand new jobs in 2023, + 25.4 thousand from 2019 to 2023).

7.2. Dino Polska Group and corporate governance

The Dino Group consists of the parent company DINO POLSKA S.A., with its registered office in Krotoszyn, and its subsidiaries: Agro-Rydzyna sp. z o.o. operating a meat processing plant, which produces cold cuts and fresh meat for the needs of Dino Polska, as well as other companies whose aim is to support the Dino network in logistics and store network roll-out. Dino Polska and the Subsidiaries operate in the Republic of Poland. The Company’s registered office is located at ul. Ostrowska 122, 63-700 Krotoszyn. Dino Polska does not have any branches outside of Poland.

Dino Polska is a joint stock company that has been listed on the Main Floor of the Warsaw Stock Exchange since April 2017. Dino Polska is majority-owned by Polish capital. The Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The Company's dominant shareholder is Tomasz Biernacki, Dino Polska's Supervisory Board Chairman, who holds 51.16% of shares. The remaining 48.84% of Dino Polska shares form the free float on the Warsaw Stock Exchange.

The activity of Dino Polska is directed by the Management Board, which defines the strategy and oversees its execution, takes key decisions, manages the Company's assets and represents it outside of the organization. All the Management Board members jointly direct the Company's affairs and closely cooperate in making decisions, including decisions related to corporate social responsibility.

On the Report Date Dino Polska is represented by a Management Board consisting of the following three people:

- Izabela Biadała (49), Management Board Member,
- Michał Krauze (41), Management Board Member,
- Piotr Ścigała (67), Management Board Member.

As at the Report Date, the Dino Polska Supervisory Board consists of five members:

- Tomasz Biernacki (50) – Supervisory Board Chairman,
- Maciej Polanowski (54) – Supervisory Board Vice-Chairman,
- Eryk Bajer (55) – Supervisory Board Member,
- Sławomir Jakszuk (60) – Independent Supervisory Board Member,
- Piotr Borowski (57) – Independent Supervisory Board Member.

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Best Practices of WSE-Listed Companies and the regulations of the Act of 11 May 2017 on Statutory Auditors, Audit Firms and Public Supervision. The Audit Committee comprises the following Supervisory Board Members: Piotr Borowski – Chairman of the Audit Committee, Sławomir Jakszuk – Audit Committee Member and Maciej Polanowski – Audit Committee Member.

Transactions executed by and between Dino Polska and related entities and Dino Polska's subsidiaries and related entities are done on an arm's length basis. In 2023, neither Dino Polska nor any of its subsidiaries provided any direct or indirect financial or non-financial support for political purposes.

7.3. Our values – pillars of Dino Polska's sustainable growth

The values of importance in our daily operations pertain to four crucial areas of our impact on the environment:

- caring about a good place of work for the Dino Group's employees and associates,
- building long-term business relations based on trust, responsibility and integrity,
- mindfulness of, and sensitivity to, the social context and the natural environment,
- activity in line with the idea of "Dino – Closest to You".

We strive for Dino Polska and its Subsidiaries to be a friendly workplace. In employee relations we focus on working in line with our ethical values, legal regulations, standards and norms. We attach importance to respecting human rights and counteracting all manifestations of discrimination and hence ensuring mental comfort and feeling of safety for our employees.

The overarching principle in the Dino Group is to do business while observing the highest ethical standards and complying with the regulations of law in a responsible and honest manner. It is extremely important to us for the Dino Group's employees and associates to take measures to prevent all manifestations of unethical behavior and corruption in particular.

The products offered in the Dino network affect the health and quality of life of our customers. This is why we attach great importance to ensuring the highest standards of safety and quality of the whole assortment we offer. We attach special importance to the fresh products we deliver to our stores every day.

We are consistently deploying solutions to reduce the intensity of our operations' impact on the natural environment. We are benefiting to an ever greater degree from energy originating from renewable sources. We selectively collect and recycle waste. We optimize the logistics network to utilize means of transport more effectively. The execution of Dino Polska's environmental policy calls for maintaining a high level of

standardization and refining Dino's store format and distribution centers to facilitate the implementation of environmentally-friendly initiatives and enhance their effectiveness.

The Company's mission statement of "Dino – Closest to You" is executed mainly through location of the stores. The benefits stemming from this growth strategy work on several levels. The Company's willingness to open stores in smaller towns brings benefits in the following form:

- making a positive contribution to local labor markets – every store gives jobs to roughly a dozen people; Dino Polska is an attractive and major entity on local labor markets, creating employment opportunities near their place of residence, often in places which offer limited, stable employment job opportunities based on an employment contract,
- shortening distance – Dino stores make it possible to shop for staples close to home without having to travel greater distances to other stores; Dino's product range spans groceries, fresh meat, cold cuts and dairy products, fruit and vegetables, household goods and chemicals,
- reducing burdens on the natural environment – our stores to an ever greater degree are powered by renewable sources. As the store format is not large, stores are well suited to the places where they operate, and they do not generate a major burden for these sites or the natural environment; due to the local nature of Dino stores and the growing density of the network, Dino employees and customers traverse shorter distances to work and do their daily shopping, thereby cutting emissions of the greenhouse gases generated by the means of transport they use.

7.4. Our stakeholders

Dino Polska is an important element of the environment in which it operates – it is an employer, business partner, part of the local community and organization whose activity exerts an impact on society and the natural environment. We ourselves are also prone to external influences and feel the impact stemming from our surroundings. For this reason we have defined our key stakeholders.

Customers (consumers)

Customers (consumers) are our most important stakeholder. Our core business and, at the same time, our key responsibility is to satisfy their needs and expectations in line with the highest standards. In our daily work we strive to be close to our customers and respond to their needs on an ongoing basis. We discharge this commitment by delivering safe, high quality products, ensuring diverse product range, locating our stores near places of residence, but also by managing our waste responsibly, ensuring efficient consumption of natural resources and limiting emissions of harmful substances into the environment.

Having direct contact with customers, helping them solve problems, responding to issues they raise and constantly improving each aspect of how our stores operate are important to us. That is why we have a unit responsible for handling customers' comments and complaints in our Quality Development Department. Customers can communicate with us through a contact form on our website at www.marketdino.pl. In our marketing communication we use the Dino promo instore flyer and Dino's official profiles in social media, we place information in Dino store space, we distribute a regular newsletter and publish content on the www.marketdino.pl website.

Employees and associates

Employees and associates are the people who directly contribute to the intensive development of Dino Polska, the execution of its strategy and building competitive advantages and market power. The employees and associates of Dino Polska and its Subsidiaries are key assets in the Dino Group on account of their knowledge, skills and competences. We strive to create room for professional and personal development for our employees. Employees may report any irregularities or critical comments to their direct managers as part of their daily work. On top of direct contact, we communicate with employees using the Intranet, employee mailings, notice boards and an internal system of rules and regulations, policies and procedures.

Suppliers

Jointly with suppliers, we demonstrate on a daily basis that we care about our customers being afforded the broadest possible product offer in accordance with all security and food quality standards. We advocate partnership, responsibility, integrity and long-term cooperation in our relations with suppliers. We openly communicate our values by which we are guided in our daily business. We have assembled them together in Dino Polska's Supplier's Code. We communicate with suppliers primarily through bilateral relations.

Non-governmental organizations and social entities

We cooperate with local and nationwide social entities. Dino – Najbliżej Ciebie Foundation, directly or indirectly, donates grocery and non-grocery products to organizations and social entities in line with the social and charitable tasks pursued by those entities. Non-governmental organizations can communicate with us through a contact form on the www.marketdino.pl website or directly with the Foundation.

Residents in the vicinity of our stores and local communities

Our stores become permanent fixtures of the local community landscape. Dino Polska's role is not limited to the role of employer or place where daily shopping is done. We strive to have a much broader impact on the surrounding communities and environment. In specific situations we make donations in the form of investments in safe motor traffic (among others, by building sidewalks and bicycle paths and modernizing roads) to the municipalities and local governments where our stores are located. The above investments make it possible for our clients to shop safely and other traffic participants to safely use the existing road infrastructure. We are open to dialog and where necessary we also take part in consultations. The residents living in the vicinity of stores and distribution centers and local communities can communicate with us through a contact form on our website at www.marketdino.pl.

Local public administration authorities

We want our stores to function well in the local communities; this is why we are cooperating with local public administration authorities in respective towns at the stage of consulting further investments and by providing grocery and non-grocery products to hold events and activities for residents. We communicate with local authorities in daily contacts through employees nominated by the Group for this purpose. Local authorities can also contact us through a contact form on our website at www.marketdino.pl.

Shareholders and investors

Since April 2017 we have been a public company listed on the main floor of the Warsaw Stock Exchange. We are majority-owned by Polish capital; in addition to the founder of Dino Polska, our shareholders (co-owners) include Polish investment and pension funds, retail investors on WSE and foreign investors. We make disclosures in accordance with the law and we adhere to the Best Practice of WSE Listed Companies. We communicate with shareholders and investors through current and periodic reports and the www.grupadino.pl website. We engage in dialogue with shareholders and investors by holding conference calls after the publication of financial results and regularly having Company representatives participate in investor conferences and shareholder meetings.

7.5. Our impact

We realize that our activity has an impact on our surroundings. To better define the areas which we impact, in the first place we focused on the key values concerning the workplace, social environment, natural environment and business relations. In these impact areas we identified the following key topics:

The "Workplace" area:

- principles of ethics,
- privacy and data security,
- occupational safety and health,
- working conditions,
- employees' professional development,

The "Social Environment" area:

- product quality and safety,
- preventing food wastage,
- product information,

The “Natural Environment” area:

- waste management and recycling,
- reduction of harmful emissions into the environment,

The “Business Relations” area:

- cooperation with suppliers,
- sourcing products from domestic suppliers,
- business ethics.

7.5.1. The “Workplace” area

Principles of ethics

We have collected the ethical values we follow in daily business life in the document entitled “Code of Ethics of DINO POLSKA S.A. and subsidiaries”. The code is a guide for all employees, associates and managers of Dino Polska and its Subsidiaries alike, describing how to conduct business in compliance with ethical standards, legal regulations and accepted social standards.

To identify potential violations effectively and for purposes of prevention the Group has a dedicated channel of communication for the confidential reporting of violations of the law, procedures and standards of ethics. All of the Company’s stakeholders can use it, especially Group employees and associates as well as the Group’s partners, contractors, sub-contractors and customers. We advise people of the existence of this channel of communication in the Code of Conduct, in the Code of Conduct for Suppliers, in our anti-corruption policy and in our internal procedure for employees to act as anonymous whistleblowers on violations of the law, procedures and ethical standards.

Whistleblowers can report information regarding breaches by sending an e-mail to dedicated e-mail addresses, by telephone or in person to the Legal Department, a Management Board Member or a Supervisory Board Member. In accordance with the pertinent procedure the Company provides for the anonymity of whistleblowers and gives them suitable protection against any retaliatory actions.

Dino Polska has in place an internal anti-mobbing procedure applicable to all employees and the position of a Management Board Representative on preventing mobbing reporting directly to the Company’s Management Board has been established. An anti-mobbing survey is conducted among Dino employees to provide support for the internal anti-mobbing procedure in preventing the occurrence of mobbing incidents. In 2023, no instance of discriminatory conduct, human rights violation or mobbing was found in the Dino Group.

In the Dino Group we abide by the human rights set forth in the Universal Declaration of Human Rights. We do not tolerate any form of discrimination based on differences of gender, religion, mental and sexual orientation, any form of disability, political views or other convictions, nationality, education, professional experience, social background, assets, birth, age, marital status or based on any other differences.

It is important to us for the Dino Group’s employees and associates to take measures to prevent all manifestations of unethical behavior and corruption in particular. The employees of Dino and the Dino Polska Group companies cannot engage in any deceitful or unfair activities that are illegal, including ones that pertain to Dino Polska and Group companies, its clients, suppliers, contractors, business partners or other persons with whom the Group has established contacts or with whom it conducts commercial activity. The violation of the foregoing rule constitutes grounds for disciplinary action, including dismissal, and in special cases, it may also constitute grounds for prosecution under criminal liability. The “Anti-corruption and Gift Policy of the Dino Polska Group” lays down the responsibilities of the Group, employees and associates in terms of preventing corruption; it provides guidelines to identify manifestations of corruption and conflicts of interest and guidelines on how to act in those instances. Dino Polska is of the opinion that the methods for identifying the areas of operations at risk of corruption and bribery devised to date by the Dino Polska Group and the mechanisms for preventing them effectively curtail the risk of their occurrence. In the operation to date of Dino Polska and the Dino Group, there have been no cases of corruption or bribery that put the organization’s reputation, or its brand, in jeopardy.

Privacy and data security

We are committed to high standards of personal data protection. For this purpose Dino Polska has a Data Protection Inspector and a GPRD team to support the Data Protection Inspector in discharging the duties stemming from the law on personal data protection.

The Company has a Personal Data Protection Policy in place. This document defines in detail the methods used to secure and handle personal data and identifies the individuals responsible for personal data processing and protection and the principles of personal data processing. The Policy applies to all areas of the Dino Polska Group's activity and all employees who process personal data within their scope of duties are familiarized with its content. This document and the training materials pertaining to the rules for protecting personal data are available to all employees in the intranet. In 2023 the Company ran a series of training sessions for employees on personal data processing and protection.

The Personal Data Protection Policy provides for audits to check the compliance of personal data processing with the regulations and implemented procedures. In addition, it includes procedures and rules to make it easier for a given person to exercise his or her rights (among others data access, revision and deletion). The policy is subject to review for adequacy, carried out no less frequently than once a year. Dino Polska regularly monitors the purposes of processing, the legal grounds therefore and the scope of personal data.

Occupational safety and health

Providing conditions ensuring occupational safety and health to every employee and associate of the Group is our top priority as the employer. Activities in this respect are pursued in accordance with internal procedures, which regulate the OSH issues, separately for the area of stores, offices and distribution centers.

Dino Polska has a dedicated department responsible for OSH, whose goal is to ensure safety of employees and associates, take preventive measures, monitor and register accidents at work and take corrective actions. This section provides initial (for new employees) and periodic occupational safety and health (OSH) training (for employees with a longer tenure) covering all Group employees in accordance with legal regulations. In 2023, Dino Polska delivered a total of 50.7 thousand hours of OSH training versus 41.8 thousand in 2022. In the entire Group, the number of OSH training hours in 2023 was 57.9 thousand (42.4 thousand in 2022).

In addition, to provide for the safety of operators of electric forklifts, dedicated training sessions were held on how to operate this machinery. A total of 8.7 thousand hours of training were delivered on this subject in 2023 (9.1 thousand in 2022).

Within the framework of OSH prevention activities, the Dino Group performs the following actions:

- we carry out regular checks of the safety condition and compliance with OSH procedures in stores and distribution centers; remedies are introduced in lower scoring areas; 1,625 OSH inspections per day were conducted in distribution centers in 2023, and 5,271 inspections were conducted in stores,
- we conduct regular meetings on OSH for distribution center employees. 141 such meetings were held in 2023,
- we stage evacuation drills for the employees of distribution centers,
- we deliver pre-medical first aid training sessions to the staff overseeing distribution centers,
- we supervise OSH through internal OSH inspectors in all of the distribution centers on a daily basis,
- we take care that our employees who use company cars behave safely and responsibly in motor traffic; we have gathered the rules on this subject in a document entitled "Eco-driving – the most important rules on driving economically and safely"; a dedicated Fleet Department is responsible for implementing and verifying these principles. It also operates the online system to monitor the behavior of employees in motor traffic on an ongoing basis; if necessary, the employees of the Fleet Department provide users of company cars with support and guidance on safe and ecological driving,
- we allocate protective clothing to employees who work in jobs with such a requirement,
- we have an internal system on how to proceed in crisis situations – this system includes a hotline used to receive reports from employees on emergency situations, including reports related to occupational safety and health and food safety and quality.

In 2022 the accident ratio (the number of events per 1,000 employees) in the Company's stores, distribution centers and head office was 22.9. In 2023 the accident rate was 25. These were mainly light accidents, especially cuts.

We have identified a list of occupational diseases to which our employees may be exposed. We include the following among these diseases: chronic diseases of the peripheral nervous system caused by the way the work is performed (i.e. carpal tunnel syndrome and cubital tunnel syndrome), to which office workers and those working at checkouts are particularly exposed, and diseases caused by high or low ambient temperatures (i.e. frostbite), to which freezer employees may be exposed.

Working conditions

Dino Polska's recruitment and staff policy is based on four pillars:

- store format and location – we are making the Dino store network denser, as a result of which we are an attractive employer located near the places of residence of our employees; one Dino store has a dozen or so employees to whom we offer full-time employment on the basis of a full-time employment contract,
- employee satisfaction – we regularly review the working conditions and the staffing of Dino's various stores; employees are able to voice their comments on working conditions and other employee and organizational matters, which are analyzed by the Customer Service Department that handles reports in the Company's head office; we provide for comfort in the work place through clearly defining duties, work standardization, giving support through a team of inhouse trainers and a regional manager; we have a sophisticated internal training system and we have devised mechanisms thanks to which we successfully employ disabled persons without experience and then train them to work in the retail trade,
- professional development, promotions – we attach importance to the professional development of our employees, which is backed up with a training system and advocating for promotion opportunities in the stores and in administrative functions alike.
- competitive salary matching the employee's competence and conditions on local labor markets.

The employees, their knowledge, experience and competences are one of the pillars of the Dino Group and determine its strength. We do our utmost for our place of work to be conducive not only to the development of the Group but also to employee development, good employee relations and for it to support Dino Group employees and associates in contacts with our business partners and customers. We create dignified working conditions for all of the Group's employees and associates and we provide a friendly atmosphere that fosters development.

Many of our stores are located in less urbanized areas. In that manner we enhance the chances for residents of a given region to find an attractive and stable job under an employment contract close to their place of residence. In 2023 we created almost 4.5 thousand new jobs.

Our HR policy is founded on having a straightforward organizational structure in the Group and its individual company members as well as the well-defined areas of responsibility of each department and employee in accordance with the strategy adopted by the Group. Dino Polska and Dino Group staff members act on the basis of precisely defined objectives, and the boundaries of their actions, in each of the four main areas: stores, distribution centers, the meat processing plant and the head office, are defined by core HR procedures.

The distinguishing features of Dino Polska and the Dino Group's organizational culture are: efficient execution of business processes, high productivity and resource efficiency. A key role in the process of HR management is played by the HR Department, which operates in consultation with the heads of each business area within the Group who are responsible for backing the development of their subordinate staff, transferring knowledge, building a friendly atmosphere and ensuring safe working conditions. The principal framework of Dino Polska's employee policy is defined by the Work Rules and Regulations and the Compensation Rules and Regulations. These documents are made available to employees via the Intranet or are provided to them to review their contents when entering into an employment contract.

A significant element of HR management in Dino Polska and the Dino Group is short and long-term planning which provides a great deal of flexibility in internal recruitment and a strong capacity to source new staff. As part of the HR management process, Dino Polska has established a compensation committee and an employment planning committee, among others that operate regularly. Meetings are held at least once per month. In addition to a representative of the HR Department, are attended also by key managers. The effects of HR management and the policy in this area are evaluated on an annual basis by the Dino Polska Management Board.

In Dino Polska we conduct an annual employee assessment to evaluate the competences of the persons employed and their career development potential. This assessment is of assistance in supporting employee development in Dino Polska. At the end of 2023 the Dino Group had 41,883 employees, representing 4,497 (12.0%) more jobs than in the previous year. At the end of 2023, 88% of the employees in the Dino Group were women.

Employment diversity

No formal diversity policy is in operation in the Company with respect to the managing and administering bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences, experience and familiarity with the Company, notwithstanding their age, gender, education and other attributes.

The Company does not accept any forms of employee discrimination. The Code of Conduct is the highest ranking document governing all of the issues related to manifestations of any discrimination whatsoever. To undertake any possible remedial measures to counter discriminatory behavior, the pertinent employee training is administered. By having a diverse team in terms of age, education, competences, gender and experience, among other aspects, Dino Polska secures diversity, creativity and dynamism while the combination of these factors makes it possible to execute its growth strategy effectively.

We create conditions to employee people with disabilities. At the end of 2023 Dino Polska had employees with a registered disability constituting 7.5% of total headcount.

We do our utmost to ensure that all employees have equal opportunities in terms of professional development and promotions, regardless of any differences. At the end of 2023 women accounted for 75% of middle and upper level management. At the end of 2023, the three-person Management Board of Dino Polska included one woman, while the five-person Supervisory Board consisted of men.

Headcount structure by gender

	Dino Polska			Dino Group		
	2023	2022	Change yoy	2023	2022	Change yoy
women	35,664	31,959	11.6%	36,721	32,900	11.6%
men	3,959	3,440	15.1%	5,162	4,486	15.1%
all employees	39,623	35,399	11.9%	41,883	37,386	12.0%

Headcount structure by gender and job level at the end of 2023

	gender	Dino Polska		Dino Group	
		number of people	percentage of the total number of employees	number of people	percentage of the total number of employees
blue-collar employees	female	26,520	66.9%	27,414	65.5%
	male	2,810	7.1%	3,919	9.4%
office employees	female	2,030	5.1%	2,143	5.1%
	male	754	1.9%	796	1.9%
lower level management	female	6850	17.3%	6,865	16.4%
	male	322	0.8%	379	0.9%
middle and upper level management*	female	263	0.7%	277	0.7%
	male	71	0.2%	90	0.2%
management board	female	1	0.00%		
	male	2	0.01%		

* management board members are additionally included for the Dino Group

Headcount structure by age and job level at the end of 2023

	age	Dino Polska		Dino Group	
		number of people	percentage of the total number of employees	number of people	percentage of the total number of employees
blue-collar employees	up to 30 years	8,729	22.0%	9,437	22.5%
	31 to 50 years	15,934	40.2%	16,902	40.4%
	over 50 years	4,667	11.8%	4,994	11.9%
office employees	up to 30 years	1,427	3.6%	1,469	3.5%
	31 to 50 years	1,235	3.1%	1,323	3.2%
	over 50 years	122	0.3%	147	0.4%
lower level management	up to 30 years	2,111	5.3%	2,125	5.1%
	31 to 50 years	4,711	11.9%	4,758	11.4%
	over 50 years	350	0.9%	361	0.9%
middle and upper level management*	up to 30 years	42	0.1%	46	0.1%
	31 to 50 years	270	0.7%	293	0.7%
	over 50 years	22	0.1%	28	0.1%
management board	31 to 50 years	2	0.01%		
	over 50 years	1	0.00%		

* management board members are additionally included for the Dino Group

Remuneration system

The remuneration system offers a fixed salary and variable compensation stemming from the incentive system. The fixed salary paid at monthly intervals is set at a decent level enabling employees to have at least a safe living standard while ensuring that the Company is competitive on the labor market. The motivational portion takes the form of bonuses. Store employees earn financial bonuses, the amount of which is derived from the fulfillment of sales targets achieved by a specific store and the level of product spoilage. The Company takes care that all employees have equal access to professional development opportunities and receive equal pay for equal work. There is a standard base salary scale that is identical for women and men to eliminate the pay gap problem in the Company's various business areas. Bonuses and awards are paid according to the completed tasks and may vary among employees.

A compensation committee is held regularly in the company to review the level of compensation for various positions and examine applications to change the level of compensation for various positions.

All Dino Group employees are offered the same non-financial benefits regardless of the type of employment contract or working time. As part of the benefits mentioned, we offer the option on preferential terms and conditions to select life insurance, insurance for children, take out a loan or purchase sports memberships giving extensive access to sports facilities and classes. In addition, Group employees and their family members can join a private medical care program on attractive terms and conditions. This program includes, among other things, access to physicians in many different specializations, procedures and tests, medical consultations and reimbursement for the costs of tests and doctor's visits.

Principles of employment

The Company adheres to and applies the provisions of the Labor Code. Dino Polska has in place, among others, Work Rules and Regulations and Compensation Rules and Regulations, which clearly define the rules for scheduling work and working time. Both documents are available to the Group's employees. Staff hired by the Dino Group, depending on the type of duties they perform, may be subject to a primary, task-based or balanced work system.

Employees in Head Office departments and field project offices operate on a basic system, on a full-time basis of 8 hours a day and 40 hours a week in a five-day work week. Employees who have a certified status of moderate or substantial disability are bound by a shorter time of work up to a maximum of 7 hours a day and 35 hours a week.

All of the people employed in Dino Polska's stores and distribution centers work in an equivalent system of work during which the time of work cannot exceed 8 hours a day with an option of being extended to 12 hours and 40

hours a week during a five-day work week. Employees work under an individually set work schedule prepared for a calendar month. The schedule defines the starting and ending time and days off work. The extension of working time to 12 hours a day follows from the type of work done or the organization of work in the place of employment, and is equivalent to the shorter daily length of work on other days or days off work.

The main form of employment is a full-time employment contract. Most employees, women and men alike are employed on a full-time basis. We also offer the option of working part-time, especially to persons caring for young children or people with disabilities. A total of 2,355 Dino Group employees benefited from this form of employment at the end of 2023. We strive to give our employees the option to adapt their work schedules and working time to their individual needs, especially related to education. In exceptional situations, we agree to employment under a civil law agreement. At the end of 2023 we cooperated with 219 people on the basis of civil law contracts.

Employment structure by the type of FTE at the end of 2023

	Dino Polska			Dino Group		
	full time	part time	total	full time	part time	total
women	33,439	2,225	35,664	34,491	2,230	36,721
men	3,851	108	3,959	5,044	118	5,162
total	37,290	2,333	39,623	39,535	2,348	41,883

We attach importance to overall satisfaction and job satisfaction. The Company has in place a satisfaction research system for newly-hired employees. Measures to enhance work comfort and streamline the onboarding process for future employees are being implemented on that basis.

At the end of 2023 Dino Polska had one trade union. No collective bargaining agreements operated in the Dino Group in 2023.

Professional development of employees

We endeavor to ensure that all employees and associates, regardless of their type of contract, position held or any other differences have equal opportunities in professional development through access to the training system based chiefly on our internal resources. We endorse continuous employee development, we promote ambitious attitudes and we cultivate the skills of the people who make up the Dino Group.

Creating professional development opportunities is the essence of human resource policy in the store operation area. People who work in pre-existing neighboring Dino stores customarily become the managers of new stores. Focusing on internal promotions means that hiring a person from outside the firm to take a managerial position in a store requires special consent from the HR Department. Store managers and deputy store managers may then be promoted to higher positions in the Company's structure.

The Company has two systems to allow for professional development opportunities: internal promotions and changing departments. They enable employees to direct their professional development - vertically and horizontally - and pursue their career path so that it is aligned to their expectations, knowledge and competences. Information regarding both programs is communicated to employees using internal channels of communication.

The training policy assumes that various actions and tools are used, in particular:

- on-the-job training, including among others the operation of specific devices or machines,
- education in a training room and multi-media training,
- e-learning,
- self-education based on procedures and manuals available on the intranet,
- job rotation and participation in different types of projects,
- coaching focused on bolstering selected employee competences.

We have a cogent business strategy and therefore we have clearly defined the strategic directions of employee training, which are linked to the type of work done, employee experience and the directions for our company to grow. The principal purpose of our training policy is to provide the Dino Group's employees with the suitable knowledge and skills for them to be able to execute operational processes in a responsible and safe manner, meaning in particular that they are capable of stocking our stores without disruption with groceries and offering the highest quality consumer service in Dino stores. In 2023 the Dino Group delivered a total of 259.7 thousand hours of training.

The Company has in place an on-boarding system for new administrative employees. New office employees take part in the training whose purpose is to familiarize them with the Company's organizational culture and internal procedures and provide them with basic information regarding the Company. In this system, experienced workers are designated to take care of a new office worker during his or her first days at work. Each new administrative employee during onboarding goes through training on the clauses in our Code of Conduct.

We have developed a system of internal training courses and worked out mechanisms that allow us to hire people with no experience and train them to work in our stores, distribution centers and head office. The 6-month "First Job" program in place in the Company provides support to people at the outset of their career to gain practical skills and allows them to check their professional plans. After completing the program we are able to plan and align a given person's subsequent career path in the Dino Group.

Dino Stores are our principal business backbone. Nearly every area of the Group's business is subordinated to stores and their efficient functioning: the head office, distribution centers, the transport network and the meat processing plant. In order to ensure a good grasp of store operations and their significance in the context of how the entire Group operates, we employ a practice according to which new administrative employees participate in two-week internships at a Dino store before they commence work at their target job. They share responsibilities nearly equally with other store employees (except for tasks requiring familiarity with operating specialized machinery) and learn about the specific nature of a store's operations. This fosters the development of good relations between employees in different areas, increases quality and efficiency of mutual communication and has a positive effect on the origination and implementation of improvements in accordance with mutual needs.

We encourage employees to share their knowledge, competences and innovative ideas actively. Dino Polska has in place a program for submitting good ideas, as a result of which stores employees are able to propose solutions streamlining processes, procedures and the ways in which the stores function.

7.5.2. The "Social Environment" area

The "social environment" area is managed through the operation of procedures and policies in respect to food safety and quality and in respect to support provided to social entities and public institutions.

One of our main obligations is to ensure safety and the highest quality of our products, which has a direct influence on the health and quality of life of our customers and employees, who are often Dino store customers as well. Our commitment in this area can be discharged only through the active participation of Dino employees who show their care every day for safety and the quality of products offered in Dino.

Product quality and safety

The products offered in the Dino network affect the health and quality of life of our customers. This is why we attach great importance to ensuring the highest standards of safety and quality of the assortment of grocery and non-grocery products we offer, at every stage of marketing products.

The Product Quality Development Department is responsible in Dino Polska for the safety standards and quality of products. It enforces the observance of internal procedures and provisions of law and oversees the quality management system known as the Hazard Analysis and Critical Control Point (HACCP) System.

The principles and the method of handling food products to ensure food safety have been specified in the GHP / GMP Books (good health practices / good manufacturing practices) dedicated to Dino stores and distribution centers. The procedures describe in detail the rules for the receipt, storage, transport and sale of foodstuffs for the purpose of giving Dino customers safe products of the appropriate quality.

We devote special attention to the fresh product assortment. For every product from the fruit and vegetables offering, we have created a detailed catalogue of the features and quality requirements it must satisfy. Based on this catalogue we order products, we accept them from suppliers, we train our staff and we take care of quality on fruit and vegetable stands in the stores. In the Inspection Department a specialized Fruit and Vegetables Quality Control Team has been formed.

The quality of products is tested based on the following items:

- new supplier inspection and selection and regular inspections of current suppliers,
- inspection of merchandise by the quality control team upon acceptance in the distribution center,
- inspection of merchandise in the requisition completion process,
- inspection by store employees after the merchandise is accepted in the store,
- regular quality checks in the store.

The proper operation of procedures related to the safety and quality of our products is possible thanks to employee training sessions. They have contact with food at every stage of its turnover, i.e. warehousing, transporting, storage in the store and sales. We conduct internal audits on HACCP and GMP in every Dino store at least once a year. Training sessions provide employees with the required knowledge pertaining to the rules for checking products. As a result, Dino employees properly respond to any detected irregularities in terms of product safety and quality.

The Quality Development Department carries out inspections and audits of our suppliers with respect to safety and quality of products supplied to Dino. Before commencing cooperation with a new supplier we conduct an audit on the basis of the requirements laid down in Dino's standard and if necessary we communicate to the supplier our reservations and expectations in terms of enhancing product quality and safety. Our suppliers are subject to a certification process as part of which we check whether they satisfy Dino standards and the standards applied by GFSI (Global Food Safety Initiative). Suppliers are obligated to present a specification of the merchandise supplied and current certificates recognized by GFSI. We are consistently working on developing our audit procedures among suppliers on whose basis we administer the following:

- audits to approve new suppliers of private label products that are preceded by a consumer assessment of its products,
- partial audits pertaining to a selected aspect of how our supplier functions,
- audits conducted as part of the periodic evaluation of suppliers,
- preventive audits conducted in the event of irregularities whose purpose is to identify the causes of the irregularities and formulate a remedial program so that the supplier will be able to regain its status as a qualified supplier.

There are a number of units in the Quality Development Department that specialize in managing the quality of private label products, grocery products produced by third-party branded products, non-grocery products and specialized quality control products received from suppliers in our distribution centers. Examining complaints submitted by Dino customers that are submitted through a dedicated channel of communication is also one of the areas of responsibility of the Quality Development Department.

We are aware that regularly testing products may materially contribute to maintaining constant control over the quality and safety of our stores' offering. The procedures in effect in Dino Polska point to the necessity of submitting all products to a periodic organoleptic evaluation. Having regard for the forgoing recommendation, we set up a sensory evaluation laboratory that will provide for suitable testing conditions making it possible to obtain accurate product evaluations. We also cooperate with external laboratories to which physical, chemical and microbiological tests are outsourced.

We are gradually developing our offer by adding products for people with food intolerances (for instance, lactose-free and gluten-free products) or GMO-free products. In 2023 we continued collaboration with the producers of selected categories of products to reduce their sugar content. The outcome in many of these cases has been that the product formulas have been modified to utilize healthier sugar substitutes.

The revenue on the sales of private label products accounted for 6.1% of total sales proceeds in 2023. The private label catalogue includes an offering spanning grocery, sanitary and cosmetic products. The Private Label Department and the Quality Development Department are responsible for developing our private label products; they care for the quality of product formulas, or recipes and for the nutritional values of the products. We constantly monitor the possibilities of improving the recipes for these products.

Agro-Rydzyna meat processing plant

The operations of the Agro-Rydzyna meat processing plant owned by the Dino Group include the separation of half carcasses (the “production” of fresh meat), the production of cold cuts and the distribution of merchandise that is sold in its entirety in the Dino store network. The main raw materials Agro-Rydzyna uses are pork half carcasses sourced from suppliers whose activity is registered on the list of plants approved pursuant to Regulation (EU) no. 853/2004 on hygiene for food of animal origin.

The extensive experience and qualifications of the plant’s workers, high quality raw material utilized in production and the modern machines and technological solutions guarantee the best quality and taste of the meat products sold by the Dino network. Adhering to the current legal regulations and the HACCP health quality system consistent with the rules prescribed by Codex Alimentarius (a set of internationally accepted food standards) is a guarantee of maintaining the high quality and safety of products. Employees participate in training sessions and are aware of the importance of adhering to the rules applicable to the health safety of consumers.

All of the production processes in Agro-Rydzyna comply with veterinary requirements, EU standards and the rules laid down by the HACCP food safety and health system. The plant is subject to the constant supervision of the Veterinary Inspection Service which is responsible for controlling the observance of food safety and quality regulations and occupational health. Employees are trained on the rules of Good Manufacturing Practice and Good Hygienic Practice in accordance with the internal training program approved by the County Veterinarian. The HACCP Team is responsible for running internal audits to confirm adherence to the foregoing rules.

To enhance the quality of cold cuts, the meat processing plant’s Quality Department works closely with the suppliers of raw materials used for production. In addition, the slaughterhouses and the meat cutting plants that supply raw materials to Agro-Rydzyna regularly undergo quality audits to verify sanitary and hygiene procedures, among other topics. According to the company’s policy, Agro-Rydzyna’s products do not contain mechanically separated meat (MSM) or palm oil. Every year, product formulas are reviewed in terms of the content of fat, salt, preservatives and other additives among others. Products with improved formulas are then served to taste test panels and provided that they pass those tests, they become part of the regular offering in Dino stores. Detailed parameters are defined in the specifications for the raw materials supplied to Agro-Rydzyna whereby the meat processing plant selects the raw materials with the appropriate content of fat, while the customers in Dino stores obtain fresh meat with the lowest possible fat content. To maintain high product quality Agro-Rydzyna chiefly uses natural casings, not artificial casings to produce cold cuts.

In 2023 Agro-Rydzyna maintained the “Highest Quality” certificate for all of Agro-Rydzyna’s finished goods and the “Appreciate Polish Products” certificate for its frankfurters, raw smoked sausage and exquisite ham for the highest quality of meat processing based on modern technologies, old Polish recipes and Polish culinary tradition and model company management awarded by the Greater Poland Quality Research Association.

Preventing food wastage

We pay attention to ensuring that the fresh products delivered to Dino stores are of the highest quality so that they can be stored longer after purchase by our customers. In order to maintain the highest quality of our fresh offering and at the same time prevent food waste in our store and logistics operations, we employ the following actions:

- at least three times a day in every Dino store we service the fruit and vegetable stand; during this activity, we remove biodegradable waste in the form of individual fruits or vegetables that do not comply with the food laws,
- our store order system has been designed in such a way to make it easier for our store managers to requisition products based on historical sales levels, which prevents excessive inventories and reduces the danger of surpluses and the resulting food losses,
- in the store operations area, we have developed an incentive bonus system with the product spoilage level as one of the criteria,
- a team has been established in the Inspection Department, which analyzes product spoilage and implements initiatives to reduce its level,
- we regularly discount products with approaching best-by or shelf-life dates; in every Dino store there is a designated area for discounted fresh products with prices reduced by 30-50%,
- when laying out merchandise we follow the FIFO principle (the products produced first should also be sold first), which helps in properly managing products’ shelf-life dates,

- due to vertical integration with the meat processing plant that is responsible for stocking all the Dino stores with meat and cold cuts, the Company is capable of efficiently managing the process of production and handling the logistics to get them to stores, thereby contributing to curtailing product spoilage; according to Dino Polska vertical integration with the meat processing plant contributes to a relatively low level of product spoilage in the Dino store network.

In 2023 by taking advantage of the channels of communication in our stores we ran a campaign entitled “Buy, Eat, Don’t Waste”. Part of this campaign was for us to advise consumers on the rules for storing food products and on how to support initiatives on not wasting food.

We donate all the food that meets the food law requirements and is fit for consumption for social purposes, but that is removed from the distribution process mainly because of packaging defects. Products with packaging defects are conveyed to the Dino – Najbliżej Ciebie Foundation. The Foundation subsequently passes it on, in the form of a donation, to non-governmental organizations and institutions for social and charitable activities.

To the extent possible, we respond to the needs of non-governmental organizations, public institutions, schools and kindergartens, to which we donate grocery and non-grocery products for the organization of events for local communities, in particular for children and youth and seniors. Food drives and pet food drives are held in our stores as part of the initiatives of organizations such as schools, societies, associations, social assistance centers, townships and fire stations. 399 food drives were held in Dino stores in 2023.

In 2023 we donated a total of 625 tons of food to charitable and aid organizations, or 55 tons (9%) more than in 2022.

Product information

We do our best so that all the information that has an influence on the choices made by consumers is always provided truthfully, comprehensibly and unambiguously. We provide accurate information to customers about our products, their origin, ingredients, appearance and price. We observe the provisions of law. To ensure compliance in this respect, we train employees, we give them support and assistance through regional managers and we conduct regular inspections whose purpose is to check the correctness of information and correct it as necessary.

We utilize advertising tools sparingly, by using our own communication channels only (that is, among others, Dino’s promotional instore flyer, the network’s profile on social portals, newsletters for customers and our own billboards next to Dino stores). We do not give information that may confuse, mislead or offend our customers.

7.5.3. Natural Environment area

Conserving and managing natural resources rationally are firmly entrenched in our organizational culture. The environmental policy we pursue aims to diminish consistently the Dino Group’s impact on the natural environment.

Agro-Rydzyňa, the Dino subsidiary running a meat processing plant has held an ISO 14001 certificate (this is one of the leading standards for environmental management systems) since 2022.

Dino stores are opened based on a tested and standardized format, as a result of which they can pursue the efficient use of natural resources more effectively. The Environmental Protection Department operating in Dino Polska ensures compliance with the environmental law, monitors our impact on the natural environment and undertakes initiatives in this respect. In all areas of the Group’s operations, we operate in accordance with internal procedures and regulations, which obligate and encourage employees to use water and electricity efficiently and use company devices in a rational manner.

We strive to limit the adverse environmental impact also in our supply chain and in cooperation with our suppliers, jointly looking for efficient solutions. These initiatives include among others:

- efficient management of the transportation network – where trucks after stocking stores on their return journey collect products from our suppliers and transport them to our distribution centers. This is making

- it possible to reduce the number of empty logistics trips while our suppliers do not travel separately to our warehouses, thereby contributing to cutting exhaust emissions through reduced fuel consumption;
- using reusable return packaging for fruit and vegetables whereby jointly with suppliers (the process of using reusable return packaging starts at the stage when suppliers pack products) we will not utilize waste from disposable bulk packaging; we cooperate with the company doing business as IFCO SYSTEMS in terms of using reusable plastic containers (PPWU) in the Dino network; these containers for food transport use less natural resources over their lifetime than disposable packaging, starting with the energy and materials used to produce them, through cleaning and repair, up to final recycling; in addition, they meet the highest standards in food safety and limit damage to products, and in this manner they help secure a more sustainable supply chain for fresh fruit and vegetables in Dino Polska;
 - testing alternative (more environment-friendly) power sources for trucks;
 - cooperation with suppliers to replace the truck fleet with vehicles compliant with higher environmental requirements (most vehicles in our transportation network satisfy the EURO 6 standard); recommendation for transportation companies to use low-emission vehicles.

Dino's Fleet Management Department aims to promote environmentally-friendly attitudes on the road by reminding the users of company cars about always adjusting velocity to suitable conditions and driving slower and not leaving cars with their engines running when that is not necessary. In addition, the Fleet Management Department propagates a safe and environmentally-friendly driving style, and if there are any questions or doubts, it helps employees taking advantage of our car fleet.

The initiatives and activities we undertake are taken in conformance with the legal regulations in force. The Company satisfies the environmental and social standards imposed by national law and holds the requisite environmental approvals and licenses required in its operations. We regularly monitor the operations of Dino Polska and the Dino Group and their internal procedures to ensure that they are compliant with the law. The environmental audits conducted by independent entities show that the Company's operations do not pose a material threat to the environment. No environmental accidents have occurred in the Company's business to date.

The "Natural Environment" area is managed by observing our procedures and policies related to environmental protection; these activities are within the purview of the Environmental Protection Team and are reviewed by a designated Management Board Member.

We monitor risks and opportunities associated with the Group's impact on the climate as well as the climate's impact on the business model we have selected. Dino Polska owns a grocery store network operating in Poland with the primary business of distribution and sales of grocery and non-grocery products. In our opinion, climate-related risks and opportunities are not material in the short term. We also assume that, in the short term and under the Company's current strategy, we will be able to prevent the emerging risks to a large extent, among others by pursuing an active product assortment policy and a flexible policy in respect of creating inventories in the Company's distribution centers. The short-term risks related to climate-change pertain in particular to the intensification of extreme weather phenomena such as extremely high ambient temperatures, extreme rainfall and windstorms. They may lead to higher operating expenses related to disruptions in the supply of electricity, or the need to store food in safe conditions and in the right temperature; they may also cause damage to the Company's property and adversely affect the timeliness of food supplies to Dino distribution centers and stores. These same factors may cause damage to crops and disrupt food production and therefore they may ratchet up the volatility of the prices of foodstuffs.

We also think that in the short-term the impact exerted by the Group's business model on the climate is not significant. Although the Group is growing intensively, and has opened 937 new stores in the last three years, which involves a generally higher demand for electricity and means of transport, and also for higher air emissions of coolants used in the Group's equipment, where however thanks to the Company's business model which makes it possible to open stores in less urbanized areas and close to consumers' place of residence, it is substantially reducing the distance separating consumers from a grocery store, which frequently enables them to reach our stores on foot or by bike, or cuts the distance they travel by car. Concurrently, we are launching initiatives to attenuate consistently the environmental impact exerted by our stores. Based on the extensive standardization of the Dino store format and the initiatives taken to reduce the consumption of natural resources gradually and

regularly (which is shown by the Group's declining consumption of electricity and water per PLN 1 million of revenue), we can predict that the Group's impact on the climate will decrease relatively as it grows.

In the long term and with the intensification of climate change, the risks and opportunities may increase, which may require additional initiatives to be undertaken within the current business model, as well as changes in strategies and financial plans in various areas of the Company's and the Group's operations. In the long-term, the warming of the climate may pose a threat to crops, reduce the area and productivity of crops, which in the face of climbing global food demand contributes to the risk of limited availability and substantial price growth. As a result, the Company may be compelled to search for alternative products and incur incremental expenses, which it may not be able to offset through efficiency gains or suitable price hikes. These phenomena may also directly affect the production capabilities of the Dino Group itself, which is the owner of the Agro-Rydzyna meat processing plant.

Climate changes may generate what is referred to as transition risk in the Company, involving the necessity to adapt to the new environmental regulations along with the need to implement new low-emission technology solutions, or generally related to the need to reduce the intensity of emissions of greenhouse gases produced as a result of the Dino Group's operations. The improper identification of needs and the requisite measures in this respect, worse than expected outcomes of initiatives focused on reducing the Dino Group's carbon footprint may in the future generate additional reputational risks, dissatisfaction and protests among customers and ecology organizations, financial sanctions and incremental operating expenses.

Waste management and recycling

Rational waste management is one of the top priorities in our activity. The Company's policy in this respect is pursued by the Environmental Protection Department, which is responsible for the appropriate and legally compliant management of waste in all areas of the Company's activity.

The waste produced by the Dino Group is collected by dedicated and specialized companies based holding the appropriate collection documents. The waste generated by the Dino Group mainly consists of communal waste, waste paper, plastics and side products of animal origin (in the Agro-Rydzyna meat processing plant).

In 2023 the Company recycled 47.4 thousand tons of waste materials (+16.7% yoy) and 4.5 thousand tons of plastic (+2.3% yoy).

In the Dino Group we take the following actions whose purpose is to encourage proper waste management and recycling and minimize the mass of produced waste:

- observing and promoting waste segregation procedures in all areas (head office, stores, warehouses, meat processing plant),
- communication and education materials, especially instructions and posters on waste segregation,
- recycling all the return packaging made of plastic foil, waste paper and glass in the entire Group,
- introducing selective collection of waste in the head office and Dino stores to contribute to cutting the quantity of mixed communal waste,
- baling waste at the store level to compress its volume for transport and pressing waste in warehouses and preparing it to be recycled,
- cooperation with suppliers to use a system of reusable return packages for fruit and vegetables, whereby we do not produce waste in the form of disposable collective packages and diminish the quantity of food damaged in transport,
- promoting in all areas of the Group the minimization of printed matter, the use of automatic double-sided printing of documents; encouraging employees to reuse and recover reusable materials (e.g. plastic sleeves, folders etc.),
- installing tap water filters in the social rooms in the Dino Polska head office as a result of which our employees do not have to purchase bottled water,
- our Dino promotional newsletter is printed on paper with FSC and Ecolabel certificates, which guarantee that the paper used for printing is sourced and processed in a sustainable manner,
- in each Dino store and in the head office, our customers and employees can dispose of spent batteries, which are then passed on to the Dino – Najbliżej Ciebie Foundation; the revenue on the sales of spent batteries are used to pursue the Foundation's objectives set forth in its articles of association; the collected batteries are transmitted to specialized companies registered in the BDO system via a database

of products, packaging materials and waste management (BDO) for neutralization or recovery; uploading the documents into the BDO system makes it possible to control waste transport and management,

- we rolled out more ecological packaging in private label products using thinner film or made with recycled materials;
- we continue to pursue measures to improve ergonomics and logistics by introducing new rules for picking products on pallets, limiting collective packaging materials and utilizing them in the process of extending their lifetime.

Agro-Rydzyna applies the following measures to prevent the production of waste or limit the quantity of waste and its adverse environmental impact:

- transport of products in reusable containers,
- employee training on rational waste management,
- optimization of the consumption of raw materials during the technological process,
- handover of the largest quantities of waste for recovery,
- maintenance of the machine fleet and means of transport in a state of good repair,
- continuous modernization of the equipment and installation infrastructure – machinery and equipment.

Water consumption and production of wastewater

The Dino Group propagates effective water consumption among its employees. The consumption we monitor is at a reasonable level. We are in the process of implementing technical capabilities to manage water use more sparingly.

Water consumption and the intensity of water consumption in Dino Polska and the Dino Group*

	2023	2022	Change yoy
Dino Polska (water consumption, m ³)	285,318	272,823	4.6%
per PLN 1 million of revenue	11.1	13.8	-19.4%
Dino Group (water consumption, m ³)	616,987	567,942	8.6%
per PLN 1 million of revenue	24.0	28.7	-16.2%

* The Company calculates water consumption on the basis of data obtained from the water supply companies serving the various stores; having regard for the varying billing periods and the delay in when these companies provide consumption-related data, the Company's actual water consumption in 2023 may differ slightly and it will be adjusted in the annual report for 2023. Similarly, this Report contains adjusted data presented one year ago for 2022.

We dispose of liquid waste, i.e. sewage through the central sewer system and this is then sent to a sewage treatment plant. When it comes to runoff we utilize systems to remove precipitation from sealed surfaces, which makes it possible to retain water resources in an optimum fashion.

Reduction of harmful emissions into the environment

The Dino Group takes multiple initiatives to reduce the emissions of the greenhouse gases produced as a result of its operations. The Group's key investments in this area are as follows:

- installing photovoltaic panels on Dino stores,
- installing large photovoltaic farms at distribution centers – three installations were built in 2023,
- using modern refrigeration equipment – in 2023 we completed the replacement of older freezers that have low energy efficiency; new equipment on top of lower electricity consumption operates using propane as a natural cooling agent (R290),
- monitoring energy and controlling equipment in stores – at the end of 2023 this solution was rolled out in 850 stores; we plan to extend the energy management system across the entire network,
- lighting in stores and distribution centers using LED technology – in 2023 the replacement of the sodium parking fixtures with LED fixtures was completed,
- heat recovery systems in stores and distribution centers,
- forklift battery management system – this system extends the lifetime of the battery fleet, every distribution center is outfitted with such a system; 100% of the batteries are recycled,

- modernization and enhancing the effectiveness of the transport network the Company uses to distribute merchandise from its own distribution centers to stores.

Direct greenhouse gas emissions (scope 1)

In 2021 we started to collect data in the various areas of our business to calculate and publish an annual report on the direct emission of greenhouse gases. We estimate that in 2023 it was 80,927 tons of CO₂e (versus 78,739 tons of CO₂e in 2022), which is made up of the following:

- emission from fuel combustion in cars belonging to the company fleet: 4,430 tons of CO₂e (3,913 tons of CO₂e in 2022),
- emission from fuel combustion in the trucks used to distribute merchandise from distribution centers to Dino stores 62,660 tons of CO₂e (58,956 CO₂e in 2022),
- emission from dispersing cooling agents 11,319 tons of CO₂e (9,219 tons of CO₂e in 2022 (the data were calculated on the basis of the weight of the agents added to the functioning machinery),
- emission from the combustion of fuel powering reserve electricity generators 11 tons of CO₂e (44 tons of CO₂e in 2022),
- emission from the combustion of natural gas in heating and heat generation equipment 2,507 tons of CO₂e (6,606 tons of CO₂e in 2022).

We estimated the emission of direct greenhouse gases using the GHG Emissions Calculation Tool and applying indicators of global warming potential (GWP) from the Fifth IPCC Report – AR5.

At the end of 2023 the Company had a fleet of 1,038 cars – of which 909 were passenger cars and 129 were light trucks. Dino Polska's car fleet consists mainly of passenger vehicles and light trucks powered by diesel, unleaded fuel or liquid gas. Dino Polska uses a passenger car fleet management system making it possible to track and manage its environmental impact on a continual basis. The reports generated make it possible to calculate fuel consumption and monitor vehicle mileage. Thanks to these solutions the Fleet Management Department can respond on an ongoing basis in situations that require a reaction and it has a real impact on the level of the emissions of greenhouse gases. In addition, the company also has a policy of using company vehicles that obliges drivers to drive economically and safely.

The Dino Polska Group manages the entire logistics process using its own distribution centers. In conjunction with the Dino store network roll-out, the Group is steadily investing in the construction of new distribution centers thereby contributing to shortening the logistics routes between distribution centers and stores, enhancing the effectiveness of the overall transportation system, reducing fuel consumption and thereby reducing the quantity of harmful substances emitted into the atmosphere. Our goal is to continue ratcheting up the density of the Dino network around distribution centers, and thereby to continue reducing and optimizing the supply routes to our stores.

Merchandise is transported from distribution centers to Dino stores through a network of transport companies owning their own tractors. We expect and support these companies in the constant modernization of their fleet. As a result, in 2023, more than 96% of the diesel fuel consumed in conjunction with the distribution of the Company's goods was consumed by vehicles with engines meeting the most stringent exhaust emission standards (EURO6). Transport companies use the new trailers provided by Dino Polska and outfitted with refrigeration equipment dedicated for food transport. There were 764 trailers of this type at the end of 2023. Dino Polska has full control over its transport network. It monitors its effectiveness and optimizes it through a professional transportation management system (TMS).

The cooling agents released into the atmosphere used in air conditioners and refrigeration equipment are responsible for a substantial part of the carbon footprint of the grocery store network. For that reason at Dino Polska we advocate only modern and tested solutions in this area. Starting in 2019 the installations in coolers in the Company's newly-built distribution centers are based on an indirect cold water system that operates with a quantity of coolant that is many times smaller than in direct systems. In turn, the freezers in distribution centers, which we have been building since 2019 are fully based on installations using a neutral CO₂ agent.

Indirect emissions of greenhouse gases (scope 2)

Indirect emissions of greenhouse gases are related to the electricity we use in our operations to power equipment and lighting and heat our stores (using air-air heat pumps). To attenuate our environmental impact in this area we are taking efforts in three main areas:

- we advocate pro-ecological attitudes among our employees and we use equipment and lighting sparingly,
- we reduce the intensity of electricity consumption in our Group through the i) gradual replacement of the equipment used to equipment offering higher energy efficiency, ii) usage of LED lighting in our stores, distribution centers and parking lots, iii) usage of integrated lighting management systems in our distribution centers, and iv) implementation of sophisticated electricity management systems,
- we develop the capacities of our own installations generating electricity from renewable energy sources.

These actions in 2023 contributed to a 21.0% decline in electricity consumption per PLN 1 million of the Dino Group's revenue. Total electricity usage spanning the energy produced by renewable sources of energy (RES) by Dino grew 11.6% in connection with adding 250 new stores as part of the Dino network's rollout.

The total capacity of Dino's PV installations climbed from 63.5 MW at the end of 2022 to 82.9 MW at the end of 2023, while the total number of Dino stores outfitted with these installations rose from 1,701 to 2,138 in 2023. In 2023, 66.4 GWh of electricity was generated from renewable energy sources (65.6% more than in 2022).

Electricity consumption and the intensity of electricity consumption in Dino Polska and the Dino Group and the Dino Group's generation of electricity from renewable sources and indirect emissions of greenhouse gases*

	2023	2022	Change
Dino Polska - electricity purchase (MWh)	189,577	194,422	-2.5%
per PLN 1 million of revenue	7.4	9.8	-24.9%
Dino Group - electricity purchase (MWh)	239,411	233,897	2.4%
per PLN 1 million of revenue	9.3	11.8	-21.0%
Dino Group – electricity generated using renewable sources (MWh)	66,370	40,070	65.6%
Dino Group - electricity consumption (purchase + production; MWh)	305,781	273,967	11.6%
per PLN 1 million of revenue	11.9	13.8	-13.9%
Indirect greenhouse gas emissions - Dino Group (scope 2, tCO ₂)**	163,997	160,219	2.4%
per PLN 1 million of revenue (tCO ₂)	6.4	8.1	-21.0%

* The Company calculates the total volume of electricity purchased based on data obtained from energy companies serving the Dino Group's various facilities; having regard for the varying billing periods and the delay in when these companies provide consumption-related data, the Company's actual volume of purchase in 2023 may vary slightly and it will be adjusted in the annual report for 2024. Similarly, this Report provides adjusted data for 2022

** calculated using the location based method as the product of the electricity purchased by the Dino Group and the emission factor of electricity for end users published by the National Center for Balancing and Managing Emissions (KOBiZE) in 2021 (708 kg CO₂/MWh)

PV installations belonging to Dino Polska

	2023	2022	Change yoy
Number of stores outfitted with their own PV installations	2,138	1,701	25.7%
Total capacity of PV installations (stores and distribution centers) (MW)	82.9	63.5	30.6%

We have a stated goal of continuing to reduce the intensity of indirect greenhouse gas emissions (scope 2). For that reason we will continue to ratchet up the capacities of our solar powered installations. We assume that every new Dino store will be outfitted with PV panels. In 2023 we completed the installation of PV panels in all of the existing Dino stores provided that technical conditions and store location permitted. In parallel, we are building large PV farms on the sites of selected Dino distribution centers. We expect that in 2024 we will be able to double the generation of electricity from renewable sources gradually versus 2022.

Indirect emissions of greenhouse gases (scope 3)

The Dino Group has a number of initiatives aimed at reducing scope 3 greenhouse gas emissions. We do our utmost, while preserving the highest quality and competitive prices, to ensure that the fruit and vegetables we offer are sold in bulk to avoid the use of any additional unit plastic packaging.

Dino's compact and standardized store format poises us to function very effectively in small population centers. Thanks to that we are capable of locating our stores close to the places where customers live and consistently increase the density of our network. We also source staff members for our stores among the local population. In this manner we reduce the distance that separates local residents from the nearest store to do their daily shopping

or to their place of work, which cuts the emissions of the greenhouse gases related to the means of transport they use.

We encourage our administrative employees to demonstrate environmentally-friendly behavior. There is a DinoCar platform in the Company's head office, which makes it easy for employees to arrange shared rides to and from work at the Company's head office.

Our employees fly on business trips very rarely, with merely a few such trips a year. Most business trips are taken by car within Europe.

7.5.4. The "Business Relations" area

We base business relations on reciprocal trust and respect. We operate in an honest and transparent fashion. In the activities we undertake the overarching requirement is to adhere in full to the law and the generally accepted norms and social standards. Our business entailing its distinct nature exerts an impact on the business environment in which we function. We want to serve as an example as a Company that employs the best practices in its daily activities. We endeavor to extend our knowledge and improve the solutions used to date. We benefit from the best market practices and we transpose them into what our firm can do. We accurately report on our business activity to our local community.

The "Business Relations" area affects people inside as well outside of the organization. The "Business Relations" area is managed by observing our procedures and policies associated with cooperation with suppliers, partners, business partners, shareholders and investors.

Sourcing products from domestic suppliers

Our procurement policy supports the objective of providing Dino customers with safe products of the highest quality and at attractive prices. The Procurement Department Director as one of the key managers in the Company is responsible for strategy execution in this area. In addition to products under recognizable brands and fresh products, we also offer Dino customers products under lesser-known brands that are cheaper alternatives and private label products. We readily cooperate with smaller local suppliers.

Business ethics

We do business on the basis of clearly defined ethical principles and values at every level of the Dino Group's operations. They also extend to our supply chain and are described in the Dino Polska S.A. Code of Conduct for Suppliers, which is an attachment to the commercial contracts entered into with suppliers.

The provisions of the Code of Conduct for Suppliers are based on the ethical values we espouse in the following areas:

- caring about creating a good place of work for employees and associates,
- building business relations based on honesty and trust, and
- mindfulness of, and sensitivity to, our social surroundings and natural environment.

The Code of Conduct for Suppliers is addressed to all our suppliers of grocery and non-grocery products. This document does not allow for the use of child labor or forced labor. The Code of Conduct for Suppliers references human rights and does not permit any form of discrimination. In addition, it obligates suppliers to provide their workers with decent terms and conditions of work and lodging (if suppliers provide lodging) and adhere to OSH rules. The Code of Conduct for Suppliers treats suppliers as entities taking responsibility for the origin, quality and safety of the products and services rendered to Dino Polska. This document lays down an obligation of complying with regulations regarding minimum pay and working time and preventing conflicts of interest and corruption. Moreover, it obligates suppliers to conserve natural resources and mitigate their adverse environmental impact.

7.6. EU Taxonomy

In 2020 the European Parliament adopted Regulation (EU) 2020/852 of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088 ("Regulation on Taxonomy", "EU Taxonomy"). EU taxonomy is a tool to define effectiveness criteria for businesses and investors to make it possible to determine what type of business activity makes a significant contribution to attaining the

goals of the European Green Deal. For this process to be effective the EU Taxonomy creates a definition of sustainable activity and a system for the uniform classification of economic activities with an eye to their environmental impact, and precisely into the six following environmental goals:

- mitigation of climate change (CCM),
- adaptation to climate change (CCA),
- sustainable utilization and protection of water and marine resources (WTR),
- transition to a circular economy (CE),
- prevention of pollution and its control (PPC),
- protection and reconstruction of biodiversity and ecosystems (BIO).

The EU Taxonomy considers an activity to be sustainable if it:

- makes a significant contribution to achieving one of the six aforementioned goals and fulfills the technical screening criteria (used to specify the conditions by which a business activity is classified as making a significant contribution to attaining environmental goals),
- does not cause major damage to any of the other environmental goals,
- is conducted in accordance with the “minimum safeguards”, meaning an activity conducted while respecting human rights and employee rights, the rules of fair competition, fiscal regulations and anti-corruption regulations.

The EU Taxonomy obligates large economic operators that are public interest entities (among others companies listed on regulated markets) to publish a series of information in their non-financial activity annual reports making it possible for the recipients of these reports to assess to what extent the activity of the firm may be considered to be sustainable (according to the definition in EU Taxonomy). The following in particular forms part of this information:

- indication which activity of the firm is eligible to participate in the EU Taxonomy classification system, in other words which one is eligible for a sustainability assessment; the mere fact that a given activity is eligible or is not eligible to participate in the EU Taxonomy classification system does not say anything about whether it can be deemed to be sustainable under EU Taxonomy; economic activity is deemed to be eligible for the EU Taxonomy if it is listed in the table of activities included in the delegated acts to the Regulation on taxonomy; at present the list of these activities is incomplete and does not cover, for instance, the core activity conducted by Dino Polska; in their 2021 and 2022 reports the reporting companies, including Dino Polska stated their eligibility under the first two environmental goals (mitigation of climate change, adaptation to climate change), in the 2023 report companies additionally publish on their eligibility under the other four environmental goals,
- indication and disclosure of the key performance measures (KPI), or what portion of sales, capital expenditures and operating expenses is applicable to activity eligible to the EU Taxonomy classification system, and which portion is not; according to the regulations, in reference to the first two environmental goals, Dino Polska made this disclosure for the first time in the 2021 Annual Report, while it is doing so with respect to the other four environmental goals in this Report,
- assessment whether an activity that is eligible for the EU Taxonomy complies with the definition of sustainable activity, whether it makes a significant contribution to the achievement of one of the six environmental goals, it harms any of the others and is conducted while respecting the minimum safeguards; reporting companies, including Dino Polska discharge this obligation in their 2022 and 2023 reports and solely in reference to the first two environmental goals (mitigation of climate change and adaptation to climate change); as part of the EU Taxonomy those types of activities that make a significant (not just any) contribution to attaining the EU’s environmental goals are deemed to be sustainable, and accordingly, the mere fact that a company’s activity is not treated as environmentally sustainable under EU Taxonomy does not mean that one may draw conclusions regarding the environmental effectiveness of that company.

Dino Group’s activity eligible under the EU Taxonomy

Dino Polska’s core business, namely retail food sales in non-specialized stores has not yet been placed on the list of activities subject to the EU Taxonomy. The core business of the Agro-Rydzyna meat processing plant (production of meat and cold cuts) belonging to the Dino Group has also not been placed on this list. This stems

from the fact that the European Commission decided that during the first stage the EU Taxonomy would focus on activities that can make a significant contribution to any of the six environmental goals, meaning, to put it simply, activities that will exert a direct positive impact or help other activities exert a positive environmental impact or on sectors that till now have polluted the environment to the greatest extent, where by curtailing this adverse impact they could contribute to mitigation of climate change. Thus, as of the Report Date, the core business of the Dino Group is not subject to assessment in terms of sustainability according to the EU Taxonomy.

In addition to their core business, Dino Polska and its Subsidiaries conduct side activity or support core economic activity and incur investment expenditures and operating expenses related to activities disclosed on the list of activities subject to the EU Taxonomy. The following is part of this activity:

- collection and transport of waste other than hazardous waste in fractions segregated at the source (in the case of Dino Polska this activity pertains to the collection of waste and plastics and recycling them),
- generation of electricity using PV technology (in the case of Dino Polska this activity pertains to the generation of electricity by the PV installations owned by the Company and located on the rooftops of Dino stores and on the premises of its distribution centers), this production is conducted for own needs and does not generate revenue,
- transport using motorcycles, passenger vehicles and light user vehicles (in the case of Dino Polska this activity pertains to the lease of vehicles, mainly passenger cars for the Dino Group's employees),
- construction of new buildings (in the case of Dino Polska this activity pertains to the construction of new Dino stores, distribution centers and production buildings for the Agro-Rydzyna meat processing plant); an alternative activity recognized under the EU Taxonomy is (7.7) acquisition and ownership of buildings; the Company has decided to classify the aforementioned activities to activity (7.1) even though formally it is not engaged in construction work as it plays the role of investor in construction processes, this construction work is done on plots owned by the Dino Group and in accordance with the terms and conditions and design supplied by the Dino Group,
- renovation of existing buildings (in the case of Dino Polska this activity pertains mainly to the renovation of properties owned by the Dino Group; similarly to the item above, the Dino Group does not perform renovations on its own, rather it subcontracts this work to external entities); on account of the fact that the Company's accounting methods thus far do not allow it to separate precisely the investment expenditures related to renovations from the expenditures pertaining to the construction of new buildings and considering the fact that capital expenditures for renovations constitute an amount that is not higher than 1% of the capital expenditures for the construction of new buildings and 1% of total capital expenditures, the KPIs pertaining to renovation activity are presented solely in conjunction with the KPIs pertaining to the construction of new buildings.

All of the aforementioned activities are subject to analysis in terms of the scope of their impact on the two compulsory environmental goals in the 2023 reports pertaining to the EU Taxonomy, i.e. mitigation of climate change and adaptation to climate change.

Methodological explanations

According to art. 8 of the Taxonomy Regulation, the Company presents the revenue, capital expenditures and operating expenditures associated with the Dino Group's activities that are eligible for participation in the EU Taxonomy classification system and assesses them with an eye to their environmental sustainability (according to the EU Taxonomy).

The basis for the calculation and disclosure of the key performance indicators (KPIs) presented later in this section consists in the Consolidated Financial Statements of Dino Polska for 2023. The KPIs cover the Dino Group's entire activity. The amount of sales, capital expenditures and operating expenses eligible for the EU Taxonomy was calculated: after an analysis of the Dino Group's activities in terms of their eligibility for the EU Taxonomy, ii) on the basis of analysis of existing processes, current reporting systems and adopted assumptions stemming from the fact that the Group's current accounting methods may not be sufficient to allocate precisely capital expenditures and operating expenditures to the specific activities incorporated in the EU Taxonomy, iii) after appropriate allocation of sales, operating expenses and capital expenditures to the various activities. Where an activity was evaluated in the context of more than one environmental objective, the related turnover, capital

expenditures and operating expenses were assigned to only one objective for which it is most relevant in the Company's opinion.

In its assessment of whether a given activity satisfies the criterion of minimum social guarantees the Company adopted the approach that the entire activity of the Dino Group, which is conducted solely in Poland, while respecting the law, in particular the regulations concerning human rights, labor law, the Commercial Company Code, the law on competition and tax law, satisfies the criterion of minimum guarantees. In addition, Dino's activity is conducted in accordance with its internal Code of Conduct, Code of Conduct for Suppliers, Anti-mobbing Policy, Anti-corruption Policy and Work and Remuneration Rules and Regulations and is conducted in a manner enabling anonymous reporting of any possible violations in the foregoing areas, about which we have written more extensively in the other parts of section 7. *"Dino – the Closest to You". Dino Polska's Corporate Social Responsibility Report.*

KPI – Sales

The table below presents activities and the Dino Group's turnover related to them eligible for participation in the EU Taxonomy classification system and which are consistent with the classification system.

2023 financial year	Year			Criteria pertaining to a significant contribution						Criteria pertaining to the DNSH principle (“Do No Significant Harm”)												
Economic activity (1)	Code or codes (2)	Part of sales, 2023 (4)		Mitigation of climate change (5)	Adaptation to climate change (6)	Water and marine resources (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Mitigation of climate change (11)	Adaptation to climate change (12)	Water and marine resources (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum guarantees (17)	Share of activity compliant with the classification system (A.1.) or is eligible to be in the classification	Category - auxiliary activity (20)	Category - activity supporting transition (21)			
Text	Currency (PLN thousand)	%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	%	E	YES			
A. ACTIVITY ELIGIBLE FOR THE CLASSIFICATION SYSTEM																						
A.1. Types of environmentally sustainable activity (compliant with the classification system)																						
Collection and transport of waste other than hazardous waste in fractions segregated at source	CCM5.5./ CCA5.5/ CE2.3.	18,679	0.1%	YES	NO	N/EL	N/EL	NO	N/EL	YES	YES	YES	YES	YES	YES	YES	0.2%					
Sales of the environmentally sustainable activity (compliant with the classification system) (A.1)		18,679	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	YES	YES	YES	YES	YES	YES	YES	0.2%					
Including auxiliary		0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	YES	YES	YES	YES	YES	YES	YES	0.0%	E				
Including activity supporting transition		0	0.0%	0.0%	0.0%					YES	YES	YES	YES	YES	YES	YES	0.0%		YES			
A.2. Activity eligible for the classification system but that is not environmentally sustainable (activity not compliant with the classification system)																						
		%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL													
Generation of electricity using PV technology	CCM4.1./ CCA4.1/	0	0.0%																	0.0%		
Transport using motorcycles, passenger vehicles and light user vehicles	CCM6.5./ CCA6.5/	0	0.0%																	0.0%		
Construction of new buildings	CCM6.5./ CCA6.5/ CE3.1	0	0.0%																	0.0%		
Sales in activity eligible for the classification system but that is not environmentally sustainable (activity not compliant with the classification system) (A.2)		0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%											0.0%		
A. Sales on activity eligible for the classification system (A.1+A.2)		18,679	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%											0.2%		
B. ACTIVITY NOT ELIGIBLE FOR THE CLASSIFICATION SYSTEM																						
Sales on activity ineligible for the classification system		25,647,576	99.9%																			
TOTAL		25,666,255	100%																			

The Company's analysis demonstrates that roughly 0.1% of the Dino Group's sales come from an activity that is eligible for the EU Taxonomy's classification system. This activity pertains to the *collection and transport of waste other than hazardous waste in fractions segregated at the source*, which in the case of the Dino Group mainly means the collection of waste and plastics that emerge during the Group's activity and recycling them. This activity makes a significant contribution to the mitigation of climate change goal. Considering the scope of this activity (it pertains mainly to the waste produced by the Group) and its method of organization (it is run using resources functioning in the Company for the purposes of its core business), we are of the opinion that the climate-related risks are not significant in this activity and it does not cause major damage to the other goals.

The other 99.9% of sales comes from activity that does not qualify. Practically speaking, it pertains in its entirety to retail food sales. Total sales (the item "Total (A+B)" in the table) are understood as net sales revenue disclosed in the Consolidated Financial Statements (note 11 - Revenue from contracts with customers).

KPI – capital expenditures

The table below presents activities and the Dino Group's capital expenditures related to them eligible for participation in the EU Taxonomy classification system and which are consistent with the classification system.

2023 financial year	Year	Criteria pertaining to a significant contribution							Criteria pertaining to the DNSH principle ("Do No Significant Harm")							Minimum guarantees (17)	Share of activity compliant with the classification system (A.1.) or is eligible to be in the classification system (A.2) Capital expenditures, 2022 (18)	Category - activity supporting transition Category - auxiliary activity (20)	Category - activity supporting transition Category - auxiliary activity (20)
Economic activity (1)	Code or codes (2)	Capital expenditures (3)	Percentage of capital expenditures, 2023 (4)	Mitigation of climate change (5)	Adaptation to climate change (6)	Water and marine resources (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Mitigation of climate change (11)	Adaptation to climate change (12)	Water and marine resources (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)				
Text	Currency	%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	YES/NO	%	E	YES
A. ACTIVITY ELIGIBLE FOR THE CLASSIFICATION SYSTEM																			
A.1. Types of environmentally sustainable activity (compliant with the classification system)																			
Collection and transport of waste other than hazardous waste in fractions segregated at source	CCM5.5./ CCA5.5/ CE2.3.	3,914	0.3%	YES	NO	N/EL	N/EL	NO	N/EL	YES	YES	YES	YES	YES	YES	YES	0.2%		
Capital expenditures for the environmentally sustainable activity (compliant with the classification system) (A.1)		3,914	0.3%	0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	YES	YES	YES	YES	YES	YES	YES	0.2%		
Including auxiliary		0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	YES	YES	YES	YES	YES	YES	YES	0.0%	E	
Including activity supporting transition		0	0.0%	0.0%	0.0%					YES	YES	YES	YES	YES	YES	YES	0.0%		YES
A.2. Activity eligible for the classification system but that is not environmentally sustainable (activity not compliant with the classification system)																			
Generation of electricity using PV technology	CCM4.1./ CCA4.1/	50,877	4.4%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL								5.8%		
Transport using motorcycles, passenger vehicles and light user vehicles	CCM6.5./ CCA6.5/	8,199	0.7%														0.7%		
Construction of new buildings	CCM6.5./ CCA6.5/ CE3.1	566,516	48.6%														39.9%		
Capital expenditures in the activity eligible for the classification system but that are not environmentally sustainable (activity not compliant with the classification system) (A.2)		625,592	53.7%	53.7%	53.7%	0.0%	0.0%	48.6%	0.0%								46.4%		
A. Capital expenditures on activity eligible for the classification system (A.1+A.2)		629,506	54.0%	54.0%	53.7%	0.0%	0.0%	48.6%	0.0%								46.6%		
B. ACTIVITY NOT ELIGIBLE FOR THE CLASSIFICATION SYSTEM																			
Capital expenditures for activity not eligible for the classification system		537,261	46.0%																
TOTAL		1,166,767	100%																

54.0% of Dino Group's capital expenditure pertain to the Group's expenditures (understood as the purchase price of property, plant and equipment - Note 14 of the Consolidated Financial Statements, the purchase price of intangible assets - Note 16 of the Consolidated Financial Statements and the increase in leases - Note 15) pertaining to assets or processes related to the activities that qualify as part of the classification system or related to purchases in activity eligible for the classification system, incurred during the financial year before depreciation, amortization and any revaluations, including those resulting from revaluations and impairments, for the financial year, excluding changes in fair value. We have determined that in most cases they are not consistent with the classification system. In the event of capital expenditures related to the generation of electricity using PV technology (to be precise the installation of PV panels on Dino rooftops) this classification stems from our prudent approach. One may assert that this activity makes a significant contribution to the goal associated with mitigation of climate change; however, on account of the lack of a detailed environmental impact assessment and the lack of a climate risk analysis for this activity, we are not in a position to assert unequivocally that this activity does not cause major damage to the other environmental goals. 46.0% of the capital expenditures pertain to an activity that is not eligible for the EU Taxonomy's classification system. These capital expenditures are chiefly related to development of the land surrounding stores and distribution centers and the purchase of land, machinery, equipment and fittings and fixtures.

KPI - operating expenditures

The table below presents activities and the Dino Group's operating expenditures eligible for participation in the EU Taxonomy classification system.

2023 financial year	Year		Criteria pertaining to a significant contribution							Criteria pertaining to the DNSH principle (“Do No Significant Harm”)											
Economic activity (1)	Code or codes (2)	Operating expenses (3)	Percentage of operating expenses, 2023 (4)	Mitigation of climate change (5)	Adaptation to climate change (6)	Water and marine resources (7)	Pollution (8)	Circular economy (9)	Biodiversity (10)	Mitigation of climate change (11)	Adaptation to climate change (12)	Water and marine resources (13)	Pollution (14)	Circular economy (15)	Biodiversity (16)	Minimum guarantees (17)	Share of activity compliant with the classification system (A.1.) or is eligible to be in the classification system (A.2) Capital	Category - auxiliary activity (20)	Category - activity supporting transition (21)		
Text	Currency	%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NOYES/NOYES/NOYES/NOYES/NOYES/NO	YES/NO	%	E	YES		
A. ACTIVITY ELIGIBLE FOR THE CLASSIFICATION SYSTEM																					
A.1. Types of environmentally sustainable activity (compliant with the classification system)																					
Operating expenses for the environmentally sustainable activity (compliant with the classification system) (A.1)		0	0%	0%	0%	0%	0%	0%	0%	YES	YES	YES	YES	YES	YES	YES	0%				
Including auxiliary		0	0%	0%	0%	0%	0%	0%	0%	YES	YES	YES	YES	YES	YES	YES	0%	E			
Including activity supporting transition		0	0%	0%						YES	YES	YES	YES	YES	YES	YES	0%		YES		
A.2. Activity eligible for the classification system but that is not environmentally sustainable (activity not compliant with the classification system)																					
				Y; N; N/EL Y; N; N/EL Y; N; N/EL Y; N; N/EL Y; N; N/EL Y; N; N/EL																	
Collection and transport of waste other than hazardous waste in fractions segregated at source		0	0%											0%							
Generation of electricity using PV technology		0	0%											0%							
Transport using motorcycles, passenger vehicles and light user vehicles		0	0%											0%							
Construction of new buildings		0	0%											0%							
Operating expenses for an activity eligible for the classification system but that is not environmentally sustainable (activity not compliant with the classification system) (A.2)		0	0%	0%	0%	0%	0%	0%	0%							0%					
A. Operating expenses for an activity eligible for the classification system (A.1+A.2)		0	0%	0%	0%	0%	0%	0%	0%							0%					
B. ACTIVITY NOT ELIGIBLE FOR THE CLASSIFICATION SYSTEM																					
Operating expenses for an activity not eligible for the classification system		-	-																		
TOTAL		83,117	100%																		

The Dino Group's operating expenses (according to the EU Taxonomy are treated as direct uncapped costs concerning research and development, renovation activities in buildings, current leases, upkeep and repairs and any other direct expenditures related to the ongoing administration of non-current assets by an economic entity or third party that has been contracted to perform the requisite activities to ensure the continuous and effective operation of these assets) totaled PLN 83.1 million in 2023. Thus they are immaterial for the Dino business model (they account for 0.3% of the Group's total operating expenses treated as the sum total of cost of sales, sales and marketing expenses, general administration and other operating expenses; and 2.0% of sales and marketing expenses and general administration). Accordingly, the Company took advantage of an exemption from calculating the key performance metrics pertaining to operating expenditures.

The Dino Group's activity related to the EU Taxonomy's other environmental goals

The regulations pertaining to EU Taxonomy require that in 2024 (in reports for 2023) companies disclose the percentage of economic activity eligible for the classification system and economic activity not eligible for the classification system in total sales, capital expenditures and operating expenses in terms of the next four environmental goals (sustainable utilization and protection of water and marine resources, transition to a circular economy, prevention of pollution and its control, protection and reconstruction of biodiversity and ecosystems) and in terms of new activities added to the EU Taxonomy in respect of the first two goals (mitigation of, and adaptation to, climate change).

The table below shows the percentage of sales, operating expenses and capital expenditures related to Dino Polska Group's activities that qualify as part of the EU Taxonomy's structure.

	Sales	Capital expenditures	Operating expenses
<i>Goal: sustainable utilization and protection of water and marine resources</i>			
Percentage associated with eligible activities	0%	0%	0%
Percentage associated with non-eligible activities	100%	100%	100%
<i>Goal: transition to a circular economy</i>			
Percentage associated with eligible activities	0.1%	48.9%	0%
Percentage associated with non-eligible activities	99.9%	51.1%	100%
<i>Goal: prevention of pollution and its control</i>			
Percentage associated with eligible activities	0%	0%	0%
Percentage associated with non-eligible activities	100%	100%	100%
<i>Goal: protection and reconstruction of biodiversity and ecosystems</i>			
Percentage associated with eligible activities	0%	0%	0%
Percentage associated with non-eligible activities	100%	100%	100%
<i>Goal: mitigation of climate change*</i>			
Percentage associated with eligible activities	0%	0%	0%
Percentage associated with non-eligible activities	100%	100%	100%
<i>Goal: adaptation to climate change**</i>			
Percentage associated with eligible activities	0%	0%	0%
Percentage associated with non-eligible activities	100%	100%	100%

* only in respect to sections 3.18-3.21 and 6.18-6.20 of Appendix I to the (EU) Delegated Resolution 2021/2139

* only in respect to sections 5.13, 8.4, 9.3, 14.1 and 14.2 of Appendix II to the (EU) Delegated Resolution 2021/2139

The Dino Group's 2023 financial statements were the basis for computing the foregoing data. The amount of sales, capital expenditures and operating expenses eligible for the EU Taxonomy was calculated: after an analysis of the Dino Group's activities in terms of their eligibility for the EU Taxonomy, ii) on the basis of an analysis of existing processes, current reporting systems and assumptions made, iii) after appropriate allocation of sales, operating expenses and capital expenditures to the various activities.

The Company's analysis demonstrates that roughly 0.1% of the Dino Group's sales come from an activity that is eligible for the EU Taxonomy's classification system in reference to the circular economy goal. This activity pertains to the *collection and transport of waste other than hazardous and hazardous waste*. The other 99.9% of sales comes from activity that does not qualify. Practically speaking, it pertains in its entirety to retail food sales.

48.9% of the Dino Group's capital expenditures pertain to the Group's expenditures (understood as the purchase price of property, plant and equipment - Note 18 of the Consolidated Financial Statements, the purchase price of intangible assets - Note 20 of the Consolidated Financial Statements and the increase in leases - Note 19) pertaining to assets or processes related to activities that qualify as part of the EU Taxonomy's classification system (*collection and transport of waste other than hazardous and hazardous waste* - 0.3% of capital expenditures) and purchases in an activity eligible for the classification system (renovation of current buildings and construction of new buildings - a total of 48.6% of capital expenditures)

The Dino Group's operating expenses (according to the EU Taxonomy are treated as direct uncanceled costs concerning research and development, renovation activities in buildings, current leases, upkeep and repairs and any other direct expenditures related to the ongoing administration of non-current assets by an economic entity or third party that has been contracted to perform the requisite activities to ensure the continuous and effective operation of these assets) totaled PLN 83.1 million in 2023. Thus they are immaterial for the Dino business model (they account for 0.3% of the Group's total operating expenses treated as the sum total of cost of sales, sales and marketing expenses, general administration and other operating expenses; and 2.0% of sales and marketing expenses and general administration). Accordingly, the Company took advantage of an exemption from calculating the key performance metric pertaining to operating expenditures.

Activity related to nuclear energy and nuclear energy

According to (EU) delegated regulation 2022/1214 of 9 March 2022 companies should disclose information regarding activity related to nuclear energy and natural gas.

The table below presents information on whether the Dino Group had links to nuclear energy and natural gas in 2022 and 2023.

	Activity related to nuclear energy	
1.	The company conducts research, development, demonstration and deployment of innovative electricity generation installations producing energy as part of nuclear processes with a minimum quantum of waste from the fuel cycle, finances that activity or is exposed to it.	NO
2.	The Company is building and safely operating new nuclear facilities to generate electricity or technological heat, also for its heating system or industrial processes such as the production of hydrogen and the modernization thereof for safety while using the best available technology, is financing this activity or is exposed to it.	NO
3.	The Company is safely operating existing nuclear facilities to generate electricity or technological heat, also for its heating system or industrial processes, such as the production of hydrogen using nuclear energy, and the modernization thereof for safety, is financing this activity or is exposed to it.	NO
	Activity related to natural gas	
4.	The company is building or operating an installation to generate electricity using gaseous fossil fuels, is financing that activity or is exposed to it.	NO
5.	The company is building, modernizing and operating an installation to co-generate heat / cool energy and electricity using gaseous fossil fuels, is financing that activity or is exposed to it.	NO
6.	The company is building, modernizing and operating an installation to generate heat / cool energy using gaseous fossil fuels, is financing that activity or is exposed to it.	NO

The Dino Group did not conduct any activity in 2022 and 2023 related to nuclear energy and natural gas. Therefore, the amount and share of this activity in the key performance indicators (KPI; in the numerator and the denominator) are zero. Accordingly, and for the purpose of preserving the transparency of information and the transparency of the entire Report, the Dino Group does not disclose additional tables referring to these activities (they could only assume zero values).

7.7. Risks

Demanding situation on the labor market may unfavorably affect the Dino Group's operations

The Dino Group operates in a sector characterized by relatively high employee turnover. In the face of the declining level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, the Group may not be able to secure new employees having sufficient experience and qualifications. This may also lead to additional pressure on higher costs of compensation. The occurrence of the aforementioned circumstances may have an adverse impact on the quality of client service and Dino Group's business. The Dino Group strives to counteract such a risk chiefly by constantly monitoring the labor market situation and analyzing its competitiveness in this area. The HR department and the departments responsible for training and development are being strengthened, inter alia by hiring additional employees.

Loss of the Dino Polska Group's key employees or the inability to hire a sufficient number of qualified employees may exert an adverse impact on the Dino Polska Group's operations and its development in the future

One of the key factors driving the Dino Polska Group's business in the future, especially its ongoing growth, geographic expansion and the execution of the adopted strategy is having the appropriate number of qualified and committed employees. Many people acting in managerial functions in the Dino Polska Group have many years of work experience in the Dino Polska Group and in the retail grocery market. There is a risk that in connection with its development the Dino Polska Group will not manage to retain key employees, source key personnel to fill vacancies or staff newly-created positions with employees holding the appropriate qualifications and experience, and may be compelled to incur considerable costs to hire and train them. Moreover, the Dino Polska Group cannot rule out that its competitors or other entities operating on the retail grocery market will offer prospective employees better conditions of employment. Staff shortages and the loss of key employees may unfavorably affect the Dino Polska Group's further business development.

The occurrence of one or several of the above risk factors may have a material adverse effect on the activities, financial standing and results of Dino Polska and the Dino Polska Group.

Risk of claims being lodged against the Dino Group on account of work accidents

The occurrence of work accidents, including fatal accidents may put the Dino Group in jeopardy of claims from employees or other eligible parties, which may exert an adverse impact on its capacity to source new employees, activities, financial standing, results or prospects.

The production of fresh meat and processed meat products coming from a single supplier may be disrupted

Agro-Rydzyna, which produces products from fresh meat and Dino Polska, which sells food products are therefore subject to many regulations pertaining to health protection and sanitary regulations that are applicable to food production. Giving consideration to the complexity of the food production process, there is a risk that Agro-Rydzyna in particular may fail to meet all the sanitary requirements and procedures, including the ones pertaining to health and safety, and also monitoring and conducting laboratory analyses of the quality of raw materials and finished products. If the meat processing plant run by Agro-Rydzyna fails to meet the qualitative requirements and the ones pertaining to health protection and the sanitary requirements ensuing from the relative regulations, the production of goods using fresh meat may be curtailed or even interrupted. The occurrence of the aforementioned circumstances may have an adverse impact on Dino Polska's brand and reputation, and as a consequence, on the Company's financial standing, results or prospects and share price. The Group counteracts this risk by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Client complaints, product liability claims, procedures for retracting products from sale, OSH issues, negative advertisement, litigation or other factors may lead to a decline in the value of the Dino brand

The Dino Group's success is partially dependent on brand recognition and the company's value related to it, while Dino's brand and trademarks constitute key assets in the Dino Group's operations. Preparing, packing, transporting, storing and selling perishables and products other than groceries carry the risk of product contamination or poisoning, quality deterioration or defects that may potentially lead to retracting products from sale, claims for damages or negative advertisement, and may also entail costs ensuing from the foregoing events. Food and non-food products may contain substances that in certain cases may induce disease, bodily injury or death. The sale (or allegations concerning an alleged sale) of contaminated products, of lower quality or defective products may lead to product liability claims or the retraction of products from sale. The risk of product liability claims or obligations to retract a product from sale are particularly material in the context of the sales conducted by the Dino Group of fresh food products.

All client complaints, product liability claims, cases of retracting products from sale, OSH issues, negative advertisement, litigation or other factors reducing the value of the Dino brand may lead to damage to its reputation and unfavorably affect the Dino Group's activities, financial standing and results.

In addition, the Dino Group, as a producer of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers.

The occurrence of any of the above risk factors may have a material adverse effect on the Dino Group's reputation, activities, financial standing and results. The Dino Group counteracts the foregoing risks by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Changes to legal regulations, among others, pertaining to the production of food, fire protection and safety, employment law and environmental protection regulations and insufficient efforts in these areas may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations. In addition, actions are increasingly more frequently expected to be taken by entities conducting business in the foregoing areas transcending legal requirements.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the

meat processing plant operated by Agro-Rydzyna to meet the new requirements or social expectations. Otherwise, it may be the subject of more rigorous inspections leading to financial penalties, its brand may be in jeopardy, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results. The Dino Polska Group prevents these risks by submitting to internal procedures and legal regulations and by monitoring its environmental impact and by pursuing environmentally-friendly projects.

7.8. Final information

Dino Polska's Corporate Social Responsibility Reports are prepared on an annual basis.

Dino Polska's Corporate Social Responsibility Report satisfies the requirements of the representation on non-financial information in accordance with the Accounting Act of 29 September 1994. The most recent representation on non-financial information was published on 23 March 2023.

8. REPRESENTATIONS OF THE DINO POLSKA MANAGEMENT BOARD AND SUPERVISORY BOARD

Representation of the Dino Polska Management Board on selecting an audit firm and the selection procedure

Pursuant to § 70 Section 1 Item 7 and § 71 Section 1 Item 7 of the Finance Minister's Regulation of 29 March 2018 on current and periodic information transmitted by securities issuers and the conditions for recognizing information required by legal regulations of a non-member state as equivalent (Journal of Laws, 2018.757 of 20 April 2018) and the Supervisory Board's representation, the Management Board of DINO POLSKA S.A. reports that:

- the audit firm auditing the Company's Financial Statements for the year ended 31 December 2023 and the Consolidated Financial Statements of the DINO POLSKA S.A. Group for the year ended 31 December 2023 was selected in accordance with the legal regulations, including those related to the selection and selection procedure of an audit firm,
- the audit firm and members of the audit team met the conditions for drafting an impartial and independent audit report of the annual financial statements pursuant to effective provisions of law, professional standards and professional ethics principles,
- DINO POLSKA S.A. complies with the applicable regulations related to rotating the audit company and key statutory auditor and mandatory cooling off periods,
- DINO POLSKA S.A. has a policy concerning audit company selection and provision of additional non-audit services to the issuer by the audit company, an affiliate of the audit company or a member of its network, including services conditionally exempted from the prohibition of being provided by an audit company.

Izabela Biadała

Michał Krauze

Piotr Ścigala

Management Board Member

Management Board Member

Management Board Member

***Representation of the Dino Polska Supervisory Board
on the functioning of the Audit Committee***

Pursuant to § 70 Section 1 Item 8 and § 71 Section 1 Item 8 of the Finance Minister's Regulation of 29 March 2018 on current and periodic information transmitted by securities issuers and the conditions for recognizing information required by legal regulations of a non-member state as equivalent (Journal of Laws, 2018.757 of 20 April 2018), the DINO POLSKA S.A. Supervisory Board declares that:

- DINO POLSKA S.A. and its statutory bodies observe the provisions on establishing, composition and dealings of the Audit Committee, including the fulfillment of independence criteria by its members and requirements concerning knowledge and skills related to the industry in which the issuer operates, as well as to accounting or auditing of financial statements,
- The Audit Committee performed and performs the tasks of the audit committee prescribed by the applicable laws.

Tomasz Biernacki

Maciej Polanowski

Eryk Bajer

Supervisory Board Chairman

Supervisory Board
Vice-Chairman

Supervisory Board member

Piotr Borowski

Sławomir Jakszuk

Supervisory Board member

Supervisory Board member

***Evaluation of the Dino Polska Supervisory Board concerning the financial statements and the activity report
in terms of compliance with the ledgers, documents and the facts***

The Supervisory Board of DINO POLSKA SA, acting pursuant to § 70 Section 1 Item 14 and § 71 Section 1 Item 12 of the Finance Minister's Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent (Journal of Laws, 2018.757 of 20 April 2018), after familiarizing itself with the data and information forming part of the Financial Statements and Consolidated Financial Statements of DINO POLSKA S.A. for the year ended 31 December 2023 and the Management Board Report on the Activity of the Company and the DINO POLSKA S.A. Group in 2023 states that they are compliant with the ledgers, documents and the facts.

The Supervisory Board performed its assessment in particular based on: i) information provided to the Company's Audit Committee by the audit firm, Ernst & Young Audyt Polska sp. z o.o. sp. k. auditing the financial statements, ii) information and data provided to the Supervisory Board by the Company's Management Board, iii) information provided to the Supervisory Board by the Audit Committee following the Audit Committee's performance of tasks prescribed by the law and internal regulations. The Supervisory Board decided that the preparation of the financial statements and the management board activity report for 2023 does not trigger any doubts in terms of correctness.

Tomasz Biernacki

Maciej Polanowski

Eryk Bajer

Supervisory Board Chairman

Supervisory Board
Vice-Chairman

Supervisory Board member

Piotr Borowski

Sławomir Jakszuk

Supervisory Board member

Supervisory Board member

Representation of the Dino Polska Management Board on accuracy and compliance of the financial statements with the law

Pursuant to § 70 Section 1 Item 6 and § 71 Section 1 Item 6 of the Finance Minister's Regulation of 29 March 2018 on current and periodic information transmitted by securities issuers and the conditions for recognizing information required by legal regulations of a non-member state as equivalent (Journal of Laws, 2018.757 of 20 April 2018), the Management Board of DINO POLSKA S.A. ("Company") represents that according to its best knowledge that:

- The Financial Statements of DINO POLSKA S.A. for the year ended 31 December 2023 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of DINO POLSKA S.A. and its financial result,
- The Consolidated Financial Statements of the DINO POLSKA S.A. Group for the year ended 31 December 2023 have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the DINO POLSKA S.A. Group and its financial result,
- The Management Board's Report on the Activity of the Company and the DINO POLSKA S.A. Group in 2023 contains a true picture of the development, accomplishments and standing of the Company and the Group, including the description of the fundamental threats and risks.

Izabela Biadała

Michał Krauze

Piotr Ścigała

Management Board Member

Management Board Member

Management Board Member